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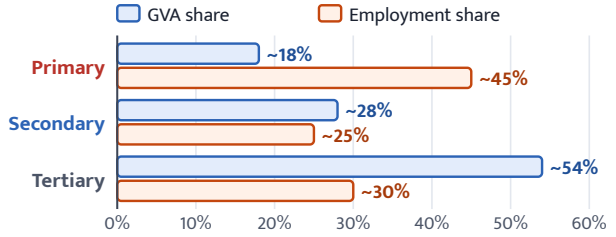
Part 1: Basic Concepts, Planning, National Income & Inflation

01 Introduction to Economy and Basic Concepts

Sectors of the Economy PYQ 12

Sectors of the Economy & Collars — share in GVA & jobs

Primary	Secondary	Tertiary	Quaternary	Quinary
Red collar	Blue collar	White collar	Knowledge	Gold collar
agri · mining	mfg · power	services	R&D · IT	decisions



Trap: mining & quarrying = **primary** · construction, electricity-gas-water = **secondary** · India leapt from agriculture straight to services

- **Total sectors:** All economic activities mainly divided into **5 sectors**
- **Primary sector (agriculture & allied):** direct use of natural resources • agriculture • animal husbandry • fisheries • forestry • **mining & quarrying** • **Red Collar Job**
- **Secondary sector (industrial):** processing/manufacturing of primary products as raw material • manufacturing • construction (buildings, roads) • **electricity, gas & water supply** • **Blue Collar Job**
- **Tertiary sector (services):** provides services to primary and secondary • trade • hotels • transport • communication • banking • insurance • real estate • public administration & defence • **White Collar Job**
- **Quaternary sector (knowledge):** advanced form of tertiary • intellectual capacity • research & development • information technology • high-level consultancy services
- **Quinary sector (decision-making):** top policy makers • senior government advisers • vice-chancellors of universities • CEOs of big companies • **Gold Collar Job**
- **Primary — GVA & employment:** agriculture, forestry, fishing, mining, quarrying • red collar • 3rd in Gross Value Added (lowest, ~18%) • **1st in employment (highest, ~45%)**
- **Secondary — GVA & employment:** manufacturing, construction, electricity & water supply • blue collar • 2nd in GVA (~28%) • 2nd in employment (~25%)
- **Tertiary — GVA & employment:** banking, transport, trade, education, health • white collar • **1st in GVA (highest, ~54%)** • 3rd in employment (~30%)

Mnemonic (components of primary sector): "Krishi-Van-Machhli ki Khaan" — Krishi = agriculture, Van = forestry, Machhli = fishing, Khaan = mining & quarrying

Points to Note

1. **Mining and Quarrying:** not secondary — in national income accounting it is **primary sector** (though counted in the Index of Industrial Production)
2. **Construction and electricity-water supply:** not services/tertiary — integral parts of the **secondary sector**
3. **Anomaly of structural change:** usual path agriculture → industry → services; India leapt **directly from agriculture to services**

Types of Economic Systems PYQ 8

- **Capitalist (market) economy:** propounder **Adam Smith** • book *The Wealth of Nations* (1776)
- **Capitalist — features:** private ownership of means of production • basis 'profit maximisation' • price set by demand-supply • state non-intervention (laissez-faire) • market forces = **'Invisible Hand'** (Adam Smith)
- **Socialist (state) economy:** propounder **Karl Marx** • book *Das Kapital* (1867)
- **Socialist — features:** state/community control of means of production • aim 'maximum social welfare' • prices and output fixed by central planning authority • adopted as 'communist economy' in Soviet Union — complete abolition of private property
- **Mixed economy:** propounder **John Maynard Keynes** • book *The General Theory of Employment, Interest and Money* (1936)
- **Mixed — features:** coexistence of public and private sectors • India formally adopted it through the **first Industrial Policy (6 April 1948)**
- **Ownership:** capitalist — private individuals • socialist — wholly government/state • mixed — both government and private
- **Main objective:** capitalist — maximum profit • socialist — maximum public welfare • mixed — profit along with social welfare
- **Price determination:** capitalist — market demand-supply • socialist — central planning authority • mixed — market mechanism + government regulation
- **Economic freedom:** capitalist — complete (consumer sovereignty) • socialist — absent • mixed — controlled

Economic Growth vs Economic Development and Key Indices PYQ 19

- **Economic Growth:** **quantitative** concept • long-term rise in real GDP, GNP or per capita income • value-neutral • ignores income distribution/quality of life
- **Economic Development:** **qualitative and quantitative** • growth + progressive improvement in education, health, living standard, nutrition, infrastructure
- **Amartya Sen's definition:** development = 'expansion of capabilities' and 'freedom'
- **Physical Quality of Life Index (PQLI):** developed by **Morris D. Morris** • 1979 • for the Overseas Development Council
- **PQLI — 3 indicators:** infant mortality rate • life expectancy at age one • basic literacy rate
- **PQLI — scale:** 0 to 100 (100 best, 0 worst) • per capita income **not included**
- **Human Development Index (HDI):** developed by **Mahbub-ul-Haq** (Pakistani) and **Amartya Sen** (Indian) • 1990
- **HDI — issued by:** United Nations Development Programme (UNDP) • annual 'Human Development Report'
- **HDI — 3 dimensions, 4 indicators:** long and healthy life — life expectancy at birth

- **HDI — knowledge (2 indicators):** mean years of schooling (adults aged 25 years and above) • expected years of schooling (likely schooling of a child of school-entry age)
- **HDI — decent standard of living:** **GNI per capita** at purchasing power parity (PPP)
- **HDI — calculation:** since 2010 the **Geometric Mean** of the three dimensions • value 0 to 1
- **Global Multidimensional Poverty Index (MPI):** developed by **OPHI** (Oxford Poverty and Human Development Initiative) and UNDP • 2010 • replaced the 'Human Poverty Index' • 3 dimensions, 10 indicators
- **MPI — health (2):** nutrition • child mortality • each weight 1/6
- **MPI — education (2):** years of schooling • school attendance • each weight 1/6
- **MPI — standard of living (6):** cooking fuel • sanitation • drinking water • electricity • housing • assets • each weight 1/18
- **National MPI (NITI Aayog):** 10 + **2 new** = **12 indicators** • **maternal health** (health dimension) • **bank account** (standard of living dimension)

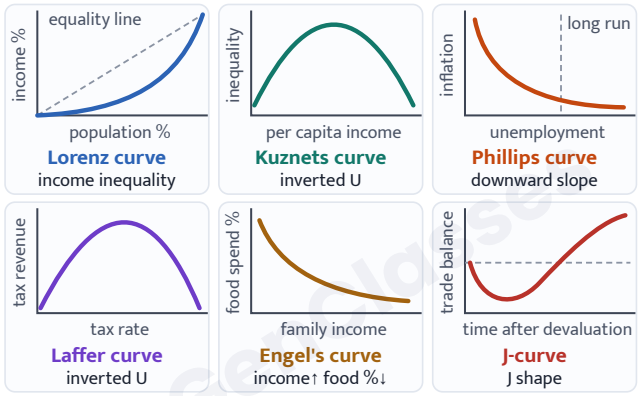
Mnemonic (3 dimensions of HDI): "Ji-Shi-Aa" — Ji = Jeevan pratyasha (life expectancy), Shi = Shiksha (education), Aa = Aay (income)

Points to Note

1. **Infant mortality rate: not part** of HDI — it is in PQLI (asked several times by UPPSC)
2. **Income in HDI:** not per capita GDP — **per capita GNI** at PPP

Major Economic Curves PYQ 16

Key Economic Curves — know the shape Y vs X



Trap: Lorenz = income inequality · Laffer = tax rate vs revenue · long-run Phillips curve = vertical line

- **Lorenz Curve:** Max O. Lorenz (1905) • cumulative % of population vs cumulative % of national income • **income inequality** • the farther from the 'line of absolute equality' (45° line), the greater the inequality
- **Gini Coefficient:** Corrado Gini (1912) • mathematical/statistical form of the Lorenz curve • value **0 to 1** • **0** = **perfect equality** • **1** = **perfect inequality** (all income with one person)
- **Kuznets Curve:** Simon Kuznets • per capita income (economic development) vs income inequality • **inverted 'U'** • inequality rises initially, stabilises, falls at high development
- **Environmental Kuznets Curve:** Gene Grossman and Alan Krueger • per capita income vs environmental degradation (pollution) • **inverted 'U'** • pollution rises initially, falls after a certain income level through clean technology
- **Phillips Curve:** A. W. Phillips (1958) • **inflation rate vs unemployment rate** • **inverse relation** (downward sloping) • in the short run higher inflation means lower unemployment, and vice versa
- **Laffer Curve:** Arthur Laffer (1974) • **tax rate vs total tax revenue** • **inverted 'U'** • beyond the optimum point, raising tax rate reduces revenue due to tax evasion and disincentive
- **Engel's Curve:** Ernst Engel (1857) • **household income vs expenditure on food** • as income rises, the **percentage share** of food spending **falls** • share on luxuries and education-health rises
- **Beveridge Curve:** William Beveridge • **unemployment rate vs job vacancies** • inverse relation • more vacancies, lower unemployment
- **J-Curve:** Stephen Magee • **currency devaluation vs balance of trade** • **'J' shape** • right after devaluation imports costlier → trade deficit widens • later exports rise and balance improves

Mnemonic (key curves and themes): "Lorenz ki asamanta, Phillips ki berozgari, Laffer ka tax, Engel ki thaali, Kuznets ka ulta U" — Lorenz = inequality, Phillips = unemployment, Laffer = tax, Engel = food plate, Kuznets = inverted U

Points to Note

1. **Lorenz vs Laffer:** Lorenz = **income distribution inequality**; Laffer = **tax rate and tax revenue** — do not confuse similar names
2. **Long-run Phillips Curve:** Milton Friedman and Edmund Phelps — no relation between inflation and unemployment in the long run • a **Vertical Line** at the natural rate of unemployment

One-liner Facts

- **Sector-wise share in GDP (descending):** tertiary (services) > secondary (industry) > primary (agriculture)
- **Sector-wise share in workforce/employment (descending):** primary (agriculture) > tertiary (services) > secondary (industry)
- **Human Development Report:** published continuously by **UNDP** since 1990
- **Trickle Down Theory:** benefits of growth automatically percolate to the lowest rung of society
- **Circular flow model:** savings, taxes, imports = **'Leakages'** • investment, government spending, exports = **'Injections'**

02 Economic Planning and Five-Year Plans in India

Historical Evolution of Planning PYQ 21

- **Constitutional basis:** **Seventh Schedule** • **Concurrent List (Entry 20)** — 'economic and social planning'
- **Inspiration:** **Soviet Union** (Joseph Stalin, started 1928)
- **Planned Economy for India, 1934:** **Sir M. Visvesvaraya** • **first attempt** at planning • 10-year plan • aim to double national income by shifting labour from agriculture to industry

- **FICCI proposal, 1934:** **Ghanshyam Das Birla** • then president of the Federation of Indian Chambers of Commerce and Industry • stressed need for a national planning commission
- **National Planning Committee, 1938:** chairman **Jawaharlal Nehru** • inspiration **Subhas Chandra Bose** • formed at Congress **Haripura session (1938)** • report not fully implemented due to World War II
- **Bombay Plan (A Plan of Economic Development for India), 1944:** **8 industrialists** — J.R.D. Tata • G.D. Birla • Ardeshir Dalal • Purushottamdas Thakurdas • Kasturbhai Lalbhai • A.D. Shroff • John Mathai • Lala Shri Ram
- **Bombay Plan — features:** 15-year, capitalist-leaning • aim to double per capita income with investment of Rs 10,000 crore • chief architect **Ardeshir Dalal**
- **Gandhian Plan, 1944:** **Shriman Narayan Agarwal** • cottage and village industries • decentralised self-reliant rural economy
- **People's Plan, 1945:** **M. N. Roy** (Manabendra Nath Roy) • on behalf of Indian Federation of Labour • inspired by Marxist socialism • top priority to nationalisation and development of **agriculture and consumer goods**
- **Sarvodaya Plan, 1950:** **Jayaprakash Narayan** (published January 1950) • Vinoba Bhave's Sarvodaya idea and Gandhian principles • land reforms and decentralised planning • some parts accepted by government
- **Planning and Development Department, 1944:** Viceroy **Lord Wavell** • August 1944 • executive member **Sir Ardeshir Dalal**
- **Economic Planning Committee, 1947:** All India Congress Committee • November 1947 • chairman **Pt. Jawaharlal Nehru** • recommended a permanent 'Planning Commission'
- **Planning Commission — formation:** **15 March 1950** • recommendation of **K. C. Neogy Committee** (Advisory Planning Board, 1946) • by a **resolution of the Union Cabinet**
- **Planning Commission — nature:** **Extra-constitutional** • **Non-statutory** • advisory
- **Planning Commission — office bearers:** first chairman Pt. Nehru (PM ex-officio chairman) • first deputy chairman **Gulzarilal Nanda** • last deputy chairman **Montek Singh Ahluwalia**
- **National Development Council (NDC) — formation:** **6 August 1952** • on recommendation of the draft First Five-Year Plan • extra-constitutional and non-statutory
- **NDC — composition:** Prime Minister (ex-officio chairman) • all Union Cabinet ministers • Chief Ministers of all states • administrators of Union Territories • all members of the Planning Commission
- **NDC — functions:** **final approval** of Five-Year Plans • states' participation in planning (symbol of cooperative federalism) • **K. Santhanam** called it a **'Super Cabinet'**

Mnemonic (chronology of planning): "Vishwa (1934) ne Haripura (1938) me Bombay-Gandhi (1944) ke Jan (1945) ka Sarvodaya (1950) kiya" — Vishwa = Visvesvaraya, Haripura = National Planning Committee, Bombay-Gandhi = Bombay Plan and Gandhian Plan, Jan = People's Plan, Sarvodaya = Sarvodaya Plan

Points to Note

1. **National Planning Committee (1938):** formed at the initiative of Congress president **Subhas Chandra Bose**, but chaired by **Pt. Jawaharlal Nehru**
2. **Final approval of plans:** not Parliament or Planning Commission — the **National Development Council (NDC)**

Five-Year Plans — First Plan (1 April 1951 – 31 March 1956) PYQ 38

- **Model:** **Harrod-Domar growth model** • young economist **K. N. Raj** played key role in the draft — advocated 'slow and steady' rather than rapid growth
- **Top priority:** **agriculture, irrigation and power projects** • to tackle food crisis and refugee problem
- **Growth rate:** target **2.1%** • achieved **3.6%** • fully successful
- **Multipurpose river valley projects:** **Bhakra Nangal** (Sutlej) • **Damodar Valley Project** • **Hirakud Dam** (Mahanadi) • Nehru — 'temples of modern India'
- **Community Development Programme:** **2 October 1952** • with US Ford Foundation support • National Extension Service in 1953
- **Other achievements:** first phase of land reforms (implementation of zamindari abolition laws) • production started at Sindri fertiliser factory (Jharkhand) and Chittaranjan Locomotive Works (West Bengal)
- **Institutions:** IIT Kharagpur (1951) • University Grants Commission (1953)

Second Five-Year Plan (1956 – 1961)

- **Model:** **P. C. Mahalanobis model** • four-sector • developed in 1953
- **Top priority:** **rapid industrialisation** • development of heavy and basic industries
- **Growth rate:** target **4.5%** • achieved **4.27%**
- **Industrial Policy Resolution (30 April 1956):** **'Economic Constitution of India'** • goal **'socialistic pattern of society'**
- **1956 policy — 3 schedules:** Schedule A — 17 industries exclusively for state • Schedule B — 12 industries for both state and private • Schedule C — rest for private sector
- **Bhilai Steel Plant (Chhattisgarh):** Soviet Union (USSR) collaboration
- **Durgapur Steel Plant (West Bengal):** Britain (UK) collaboration
- **Rourkela Steel Plant (Odisha):** West Germany collaboration
- **Foreign exchange crisis:** severe in 1957
- **Launch of Panchayati Raj:** Balwant Rai Mehta Committee (1957) • **2 October 1959** • **Nagaur** district, Rajasthan
- **Khadi and Village Industries Commission:** 1957

Third Five-Year Plan (1961 – 1966)

- **Model:** input-output model of **Sukhamoy Chakravarty** and **John Sandee** • synthesis of Mahalanobis four-sector and Domar models
- **Top priority:** **'Self-reliant and Self-generating'** economy • equal importance to agriculture and industry
- **Growth rate:** target **5.6%** • achieved only **2.8%** • among the most unsuccessful plans
- **3 reasons for failure:** India-China war (1962) • India-Pakistan war (1965) • severe centennial drought of 1965-66
- **Bokaro Steel Plant (Jharkhand):** Soviet Union (USSR) collaboration • 1964

- **Institutions:** Food Corporation of India (FCI — January 1965) • Agricultural Prices Commission (APC — January 1965; renamed 'Commission for Agricultural Costs and Prices' — CACP in 1985) • IDBI (July 1964) • UTI (February 1964)

Plan Holiday (1966 – 1969)

- **Reason:** failure of Third Plan and resource shortage • Fourth Plan postponed • **3 annual plans** (1966-67, 1967-68, 1968-69)
- **Second devaluation of rupee:** **6 June 1966** • **36.5%** • to boost exports and tackle balance of payments crisis • first devaluation September 1949
- **Green Revolution (1966-67):** from Kharif season • High Yielding Variety (HYV) seeds, chemical fertilisers, irrigation
- **Green Revolution — fathers:** global **Norman Borlaug** • Indian **M. S. Swaminathan** • term 'Green Revolution' **William S. Gaud**
- **Lead Bank Scheme:** 1969 • Gadgil Committee recommendation

Fourth Five-Year Plan (1969 – 1974)

- **Model:** open consistency model of **Ashok Rudra and Alan S. Manne** • drafted by then deputy chairman **D. R. Gadgil**
- **Top priority:** **'Growth with Stability'** • **'progressive achievement of self-reliance'**
- **Growth rate:** target **5.7%** • achieved **3.3%** • reasons — Bangladesh Liberation War 1971, refugee crisis, 1973 international oil crisis
- **Bank nationalisation:** **19 July 1969** • **14 major commercial banks** • deposits above Rs 50 crore
- **MRTP Act:** Monopolies and Restrictive Trade Practices Act, 1969
- **Operation Flood (White Revolution):** 13 January 1970 • National Dairy Development Board (Anand, Gujarat) • **Dr. Verghese Kurien**
- **Other programmes:** family planning programme given prominence • 'Drought Prone Areas Programme' (DPAP) in 1973-74
- **Gadgil Formula (1969):** allocation of central assistance to states
- **First underground nuclear test:** 18 May 1974 • Pokhran (Rajasthan) • **Smiling Buddha**

Fifth Five-Year Plan (1974 – 1979, ended in 1978)

- **Model:** Planning Commission's investment model • drafted by **D. P. Dhar (Durga Prasad Dhar)**
- **Top priority:** **'Removal of Poverty'** • **'attainment of self-reliance'**
- **Growth rate:** target **4.4%** • achieved **4.8%**
- **Minimum Needs Programme (MNP):** first year of plan, 1974
- **20-Point Economic Programme:** 1975 • Indira Gandhi
- **Regional Rural Banks (RRBs):** **2 October 1975** • Narasimham Committee • first — Prathama Gramin Bank, Moradabad (UP)
- **Antyodaya Yojana:** 1977-78 • first by Rajasthan government • Centre launched **'Food for Work'** programme
- **Premature termination:** Janata Party government (PM Morarji Desai) • terminated **one year early (1978)**

Rolling Plan (1978 – 1980)

- **Global propounder:** Swedish economist **Gunnar Myrdal** • book *Asian Drama* (1968)
- **Implemented in India by:** Janata Party government • Planning Commission deputy chairman **Prof. D. T. Lakdawala**
- **TRYSEM (Training of Rural Youth for Self Employment):** 15 August 1979 • self-employment training for rural youth
- **Ended:** 1980 • Indira Gandhi's return to power

Sixth Five-Year Plan (1980 – 1985)

- **Model:** Input-Output Model
- **Top priority:** **poverty alleviation and employment generation** • modernisation of infrastructure
- **Growth rate:** target **5.2%** • achieved **5.7%**
- **Second bank nationalisation:** **15 April 1980** • **6 commercial banks** • deposits above Rs 200 crore
- **NABARD:** **12 July 1982** • **Sivaraman Committee** • apex institution for agriculture and rural development
- **EXIM Bank:** January 1982
- **Integrated Rural Development Programme (IRDP):** nationwide from 2 October 1980 • started 1978-79
- **National Rural Employment Programme (NREP):** October 1980
- **Development of Women and Children in Rural Areas (DWCRA):** September 1982
- **Rural Landless Employment Guarantee Programme (RLEGP):** 15 August 1983

Seventh Five-Year Plan (1985 – 1990)

- **Model:** **John W. Miller model** (wage-goods model) • deputy chairmen Dr. Manmohan Singh and Pranab Mukherjee
- **Top priority:** **'Food, Work and Productivity'**
- **Growth rate:** target **5.0%** • achieved **6.01%**
- **Private sector:** for the first time **private sector given priority over public sector**
- **Prof. Raj Krishna:** highlighted 6% rate in place of the slow rate (3.5%) up to the Seventh Plan
- **Indira Awas Yojana:** 1985-86
- **Ganga Action Plan:** January 1986
- **Technology Mission on Oilseeds:** 1986 • boost oilseed production • associated with National Agricultural Cooperative Marketing Federation of India (NAFED) • **Yellow Revolution**
- **TRIFED:** 1987 • marketing of tribal products
- **SEBI:** 12 April 1988 as non-statutory body • statutory status **30 January 1992**
- **Jawahar Rozgar Yojana (JRY):** 1 April 1989 • merger of NREP + RLEGP
- **Nehru Rozgar Yojana (NRY):** October 1989 • for urban poor
- **Speed Post service:** 1986 • Department of Posts

Two Annual Plans (1990 – 1992)

- **Reason:** political instability at Centre • **severe Balance of Payments (BoP) crisis of 1991** • Eighth Plan delayed
- **Economic reforms (July 1991):** PM **P. V. Narasimha Rao** • Finance Minister **Dr. Manmohan Singh** • **Liberalisation, Privatisation, Globalisation (LPG — Rao-Manmohan model)**
- **Third devaluation of rupee:** July 1991 • three stages • ~18-19%
- **New Industrial Policy:** **24 July 1991** • licence raj abolished

Eighth Five-Year Plan (1992 – 1997)

- **Model:** **John W. Miller model** • drafter and deputy chairman **Pranab Mukherjee**
- **Top priority:** **'Human Resource Development'** • employment, education, public health at the centre of development
- **Growth rate:** target **5.6%** • achieved **6.8%**
- **Indicative Planning:** first plan after liberalisation

- **73rd and 74th Constitutional Amendments (1992):** constitutional status to Panchayati Raj and municipalities
- **Prime Minister's Rozgar Yojana (PMRY):** 2 October 1993 • educated unemployed youth
- **National Social Assistance Programme (NSAP):** 15 August 1995
- **Mid-Day Meal Scheme:** 15 August 1995 • nutrition and enrolment in primary schools • current name **PM POSHAN**
- **World Trade Organization (WTO):** **1 January 1995** • India a founding member
- **Manual Scavenging:** target of complete elimination • law in 1993

Ninth Five-Year Plan (1997 – 2002)

- **Model:** input-output model
- **Top priority:** **'Growth with Social Justice and Equity'**
- **Growth rate:** target **6.5%** • achieved **5.4%** • impact of East Asian financial crisis 1997 and Kargil war 1999
- **4 key dimensions:** quality of life • employment generation • regional balance • self-reliance
- **Swarna Jayanti Shahari Rozgar Yojana (SJSRY):** 1 December 1997
- **Kisan Credit Card (KCC):** August 1998 • **R. V. Gupta Committee**
- **Swarnajayanti Gram Swarozgar Yojana (SGSY):** 1 April 1999 • merger of 6 schemes — IRDP, TRYSEM, DWCRA, SITRA, GKY, MWS
- **Antyodaya Anna Yojana (AAY):** 25 December 2000 • cheap foodgrains to poorest families
- **Rural schemes:** Pradhan Mantri Gramodaya Yojana • **Pradhan Mantri Gram Sadak Yojana (PMGSY — 25 December 2000)**
- **Sarva Shiksha Abhiyan (SSA):** 2001
- **FEMA, 1999:** replaced old FERA • effective from 1 June 2000

Tenth Five-Year Plan (2002 – 2007)

- **Top priority:** inclusive development and equity • first time **state-wise growth targets** set in consultation with states
- **Monitorable social indicators:** literacy • sex ratio • infant mortality rate • forest cover
- **Growth rate:** target **8.0%** • achieved **7.6%**
- **Targets by 2007:** literacy rate 75% • reduce poverty ratio by 5% • forest cover 25%
- **FRBM Act:** Fiscal Responsibility and Budget Management Act, 2003
- **National Food for Work Programme:** November 2004 • 150 most backward districts
- **Bharat Nirman Programme (2005):** 6 components of rural infrastructure — irrigation, roads, housing, water supply, electrification, telecommunication
- **National Rural Health Mission (NRHM):** 12 April 2005
- **NREGA (National Rural Employment Guarantee Act, 2005):** passed September 2005 • **2 February 2006** • Bandlapalli village, Anantapur district, Andhra Pradesh • 200 districts
- **MGNREGA:** NREGA renamed on 2 October 2009

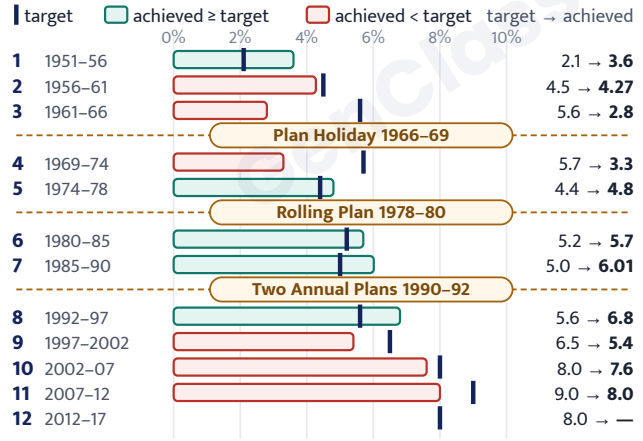
Eleventh Five-Year Plan (2007 – 2012)

- **Drafter:** **C. Rangarajan** • deputy chairman Montek Singh Ahluwalia
- **Theme:** **'Towards Faster and More Inclusive Growth'**
- **Growth rate:** target **9.0%** (revised 8.1%) • achieved **8.0%** • **highest achieved rate** in planning history
- **National Education Plan:** special emphasis on education • as called by PM Manmohan Singh
- **Monitorable targets:** total **27** • 6 categories
- **Agriculture:** **National Food Security Mission (October 2007)** • **Rashtriya Krishi Vikas Yojana (2007)**
- **Others:** **Pradhan Mantri Adarsh Gram Yojana (2009-10)** • **Right to Education Act (RTE, 2009)** — effective 1 April 2010
- **Swabhimaan campaign:** February 2011 • financial inclusion
- **National Rural Livelihood Mission (NRLM — Aajeevika):** June 2011

Twelfth Five-Year Plan (2012 – 2017) — Last Five-Year Plan

- **Theme:** **'Faster, More Inclusive and Sustainable Growth'**
- **Growth rate:** initial target **8.2%** • revised by NDC to **8.0%** • agriculture target 4.0% • manufacturing target 10.0%
- **Monitorable Targets:** total **25**
- **Economic growth:** real GDP growth 8% • agriculture 4% • manufacturing 10% • every state to achieve higher average growth than in the 11th Plan
- **Poverty and employment:** reduce head-count consumption poverty by **10 percentage points** • **5 crore (50 million)** new work opportunities in non-farm sector
- **Education:** mean years of schooling 7 • 20 lakh additional seats in higher education
- **Health:** IMR **25 per thousand** • MMR **100 per lakh** (1 per thousand) • TFR **2.1 (replacement level)** • child sex ratio (0-6 years) 950
- **Infrastructure:** investment **9%** of GDP • all villages connected by all-weather roads • complete electrification • rural tele-density 70%
- **Environment and sustainability:** green cover increase of **1 million hectares** per year • **30,000 MW** renewable energy capacity • reduce Emission Intensity by 20-25% of 2005 level by 2020
- **Service delivery:** 90% households linked to banking • Aadhaar-enabled Direct Benefit Transfer (DBT) of subsidies

Quick Comparative Table of Five-Year Plans



Remember: highest achieved **11th (8.0%)** · 5th ended in 4 years

- **First (1951–56):** Harrod-Domar model (K. N. Raj) • agriculture, irrigation and power • target 2.1% • achieved 3.6%
- **Second (1956–61):** P. C. Mahalanobis model • rapid development of heavy and basic industries • target 4.5% • achieved 4.27%

- **Third (1961–66):** Sukhamoy Chakravarty and John Sandee • self-reliant and self-generating economy • target 5.6% • achieved 2.8%
- **Fourth (1969–74):** Ashok Rudra-Alan Manne (D. R. Gadgil) • growth with stability and self-reliance • target 5.7% • achieved 3.3%
- **Fifth (1974–78):** D. P. Dhar model • removal of poverty (Garibi Hatao) and self-reliance • target 4.4% • achieved 4.8%
- **Sixth (1980–85):** input-output model • poverty alleviation, employment generation and modernisation • target 5.2% • achieved 5.7%
- **Seventh (1985–90):** John W. Miller model • food, work and productivity • target 5.0% • achieved 6.01%
- **Eighth (1992–97):** John W. Miller (Pranab Mukherjee) • all-round human resource development • target 5.6% • achieved 6.8%
- **Ninth (1997–2002):** input-output model • growth with social justice and equity • target 6.5% • achieved 5.4%
- **Tenth (2002–07):** Planning Commission's approach paper • inclusive growth, equity and state-wise targets • target 8.0% • achieved 7.6%
- **Eleventh (2007–12):** C. Rangarajan draft • towards faster and more inclusive growth • target 9.0% • achieved 8.0%
- **Twelfth (2012–17):** Montek Singh Ahluwalia • faster, more inclusive and sustainable growth • target 8.0% • achieved —

Mnemonic (Second Plan steel plants): "Bhiru, Dubri, Raj" and in Third "Boru" — Bhiru = Bhilai-Russia, Dubri = Durgapur-Britain, Raj = Rourkela-Germany, Boru = Bokaro-Russia

Mnemonic (three plan holidays): "66 se 69 ka sookha, 78 se 80 ka roll, 90 se 92 ka bhugtan sankat" — 1966-69 plan holiday (drought), 1978-80 rolling plan, 1990-92 annual plans (payments crisis)

Points to Note

1. **'Garibi Hatao' slogan:** Indira Gandhi • **1971 general elections** (Fourth Plan period); but 'removal of poverty' as formal objective in the **Fifth Plan (1974–78)** — read question wording carefully
2. **Order of steel plants:** Bhilai, Durgapur, Rourkela in the **Second Plan**; **Bokaro** in the **Third Plan (1964)** with Soviet help
3. **11th vs 12th theme:** 11th — 'Faster and More Inclusive'; 12th added the word **'Sustainable'**

Economic Planning and Regional Division in Uttar Pradesh PYQ 9

- **UP State Planning Commission:** established **1971** • Chief Minister ex-officio chairman
- **State Transformation Commission (STC):** on the lines of NITI Aayog • **September 2022** • State Planning Commission restructured and renamed
- **STC — composition:** chairman **Chief Minister** • ex-officio members — Finance Minister, both Deputy CMs, Agriculture Minister, Social Welfare Minister etc.
- **Economic regions:** **4 economic regions** by the Planning Department
- **Western region (30 districts):** **most developed** • highest agricultural productivity, per capita income, industrialisation, urbanisation
- **Central region (10 districts):** second in development • Lucknow, Kanpur Nagar etc.
- **Bundelkhand region (7 districts):** Jhansi • Lalitpur • Jalaun • Hamirpur • Mahoba • Banda • Chitrakoot • lowest population density • irrigation problem due to plateau terrain
- **Eastern region (28 districts):** highest population pressure and poverty • **lowest** per capita income
- **Agro-climatic zones:** **9 Agro-Climatic Zones** • **20 Agro-Ecological Zones**

One-liner Facts

- **Hindu Rate of Growth:** **Prof. Raj Krishna** • the **slow 3.5%** national income growth rate from the First to Sixth Plan
- **Indicative Planning:** from the **Eighth Plan** • market-oriented model replacing centralised imperative planning
- **Fifth Plan:** only plan terminated one year before its 5-year term (in 4 years, 1978)
- **Highest GDP growth rate:** **Eleventh Plan (8.0%)**
- **Gadgil-Mukherjee Formula:** determination of **plan financial assistance from Centre to states** under the Plans

03 NITI Aayog and Major Indices

NITI Aayog: Establishment and Administrative Structure PYQ 14

- **Full name:** National Institution for Transforming India
- **Established:** **1 January 2015** • on 15 August 2014 the Prime Minister announced abolition of the Planning Commission from the Red Fort
- **Nature:** formed by a resolution of the Union Cabinet • **extra-constitutional (non-constitutional) and non-statutory body** • Government of India's apex **policy think tank**
- **Guiding principle 1:** not Top-Down — **Bottom-Up approach**
- **Cooperative Federalism:** national development through joint participation of Centre and States
- **Competitive Federalism:** healthy competition among States through indices and rankings
- **No power of financial allocation:** unlike the Planning Commission, **no power** to allocate funds to States • this power now rests fully with the Finance Ministry and the Finance Commission
- **Chairperson:** Prime Minister of India (ex-officio)
- **Governing Council:** Chief Ministers of all States • Chief Ministers of UTs with legislatures (Delhi, Puducherry, Jammu and Kashmir) • Lt. Governors/Administrators of other UTs
- **Regional Councils:** formed for a fixed tenure to address specific issues of more than one State or a particular region • convened by the **Prime Minister** • members: Chief Ministers and Lt. Governors of the region
- **Special Invitees:** experts from various fields and Union Ministers nominated by the Prime Minister
- **Vice-Chairperson:** appointed by the Prime Minister • rank **equivalent to Cabinet Minister**
- **Vice-Chairpersons in order:** First — Arvind Panagariya (January 2015 – August 2017) • Second — Dr. Rajiv Kumar (September 2017 – April 2022) • Current (Third) — **Suman K. Bery** (since 1 May 2022)
- **Full-time Members:** rank equivalent to Minister of State • e.g. Dr. V. K. Saraswat, Prof. Ramesh Chand, Dr. V. K. Paul, Arvind Virmani

- **Part-time Members:** maximum **2** from leading universities and research institutions • in ex-officio capacity, on rotational basis
- **Ex-Officio Members:** **maximum 4** from the Union Council of Ministers nominated by the Prime Minister • usually Home, Finance, Defence, Agriculture Ministers
- **Chief Executive Officer (CEO):** Secretary-level officer of Government of India • appointed by the Prime Minister for a fixed tenure
- **CEOs in order:** First — Sindhushree Khullar • Second — Amitabh Kant • Third — Parameswaran Iyer • Current (Fourth) — **B. V. R. Subrahmanyam**

Basis of Comparison	Planning Commission (1950–2014)	NITI Aayog (since 2015)
Planning approach	Top-Down • centralised	Bottom-Up • decentralised
Financial powers	Power to allocate funds to ministries and State governments	**No power** to allocate funds • only a think tank
Role of States	Mere spectators at National Development Council meetings	Direct and active role in policy-making via Governing Council
Membership structure	No provision for part-time members	2 part-time members from research institutions
Appointment of Secretary	Secretary through normal administrative process	CEO appointed by the Prime Minister

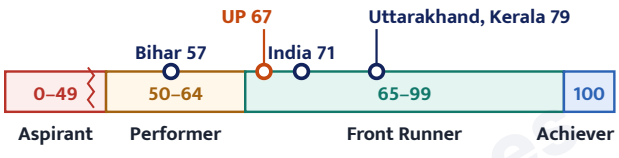
Two Major Hubs of NITI Aayog and Three-tier Action Plan

- **Team India Hub:** coordination between States and Centre • vehicle of cooperative federalism
- **Knowledge and Innovation Hub:** strengthens think-tank capabilities • conducts research
- **Long-term planning documents:** in place of Five-Year Plans
- **15-year Vision Document:** long-term framework from 2017-18 to 2031-32
- **7-year National Development Strategy (Strategy Document):** 2017-18 to 2023-24 • also released 'Strategy for New India @75'
- **3-year Action Agenda:** 2017-18 to 2019-20 • short-term practical targets

Major Programmes and Indices of NITI Aayog (Uttar Pradesh Special) PYQ 15

SDG India Index 2023-24

4 categories & scores



scale 0–100 (left part compressed)

Trap: UP 67 = **Front Runner** (65–99) · top Uttarakhand & Kerala (79) · bottom Bihar (57)

- **Aspirational Districts Programme (ADP):** launched **January 2018** • rapid transformation of **112** socio-economically backward **districts**
- **5 ADP themes and weightage:** Health and Nutrition 30% • Education 30% • Agriculture and Water Resources 20% • Financial Inclusion and Skill Development 10% • Basic Infrastructure 10% • **Delta Ranking** on 49 performance indicators
- **Aspirational districts of Uttar Pradesh (8):** **Chitrakoot, Chandauli, Sonbhadra, Fatehpur, Balrampur, Siddharthnagar, Bahraich, Shravasti**
- **Aspirational Blocks Programme (ABP):** launched **7 January 2023** • Saturation in **500 backward blocks**
- **Uttar Pradesh in ABP:** **68 blocks** in the central programme • additionally the State runs the Chief Minister Fellowship Programme in its own **100 aspirational blocks**
- **Atal Innovation Mission (AIM):** launched 2016 • Atal Tinkering Labs (ATL) in schools • Atal Incubation Centres (AIC) for startups
- **SDG India Index:** since 2018 with the United Nations • in **2023-24** India's composite score **71**
- **SDG 2023-24 States:** top **Uttarakhand and Kerala** (79) • bottom Bihar (57) • **Uttar Pradesh 67** — in **Front Runner** (65 to 99) category
- **National Multidimensional Poverty Index (National MPI):** NITI Aayog discussion paper (2024) • from 29.17% in 2013-14 to **11.28%** in 2022-23 • about 24.82 crore people out of poverty
- **Uttar Pradesh in MPI:** **first** in number of people escaping poverty (5.94 crore)
- **Export Preparedness Index:** Tamil Nadu and Maharashtra lead coastal States • **Uttar Pradesh among top performers in Landlocked category**
- **Other indices:** India Innovation Index • Composite Water Management Index (CWMI) • School Education Quality Index (SEQI) • State Energy and Climate Index (SECI)
- **State Health Index:** with World Bank and Union Health Ministry • report 'Healthy States, Progressive India'
- **Health Index results:** Kerala top among large States • Uttar Pradesh at lower rungs but **top in Incremental Performance** (improvement from base year to reference year)

Mnemonic (8 aspirational districts of UP): "Chitra-Chanda-Son ne Fateh kiya, Bal-Siddh-Bahra-Shravasti ko" — Chitra = Chitrakoot, Chanda = Chandauli, Son = Sonbhadra, Fateh = Fatehpur, Bal = Balrampur, Siddh = Siddharthnagar, Bahra = Bahraich, Shravasti = Shravasti

Points to Note

1. **Zonal Council:** under States Reorganisation Act, 1956 • chaired by **Union Home Minister** • statutory body
2. **NITI Aayog's Regional Council:** convened by the **Prime Minister** • chaired by NITI Aayog Chairperson (PM) or his nominee — do not confuse the two

One-liner Facts

- **Member limits:** ex-officio members maximum **4** • part-time members maximum **2**
- **Vice-Chairperson:** appointed by the **Prime Minister** • rank equivalent to **Union Cabinet Minister**
- **Major initiatives:** **Women Entrepreneurship Platform (WEP)** • **e-AMRIT** — electric mobility portal

- **4 categories of SDG Index:** **Aspirant (0–49)** • **Performer (50–64)** • **Front Runner (65–99)** • **Achiever (100)**
- **Largest reduction in number of poor:** **Uttar Pradesh** • followed by Bihar and Madhya Pradesh

04 National Income Accounting

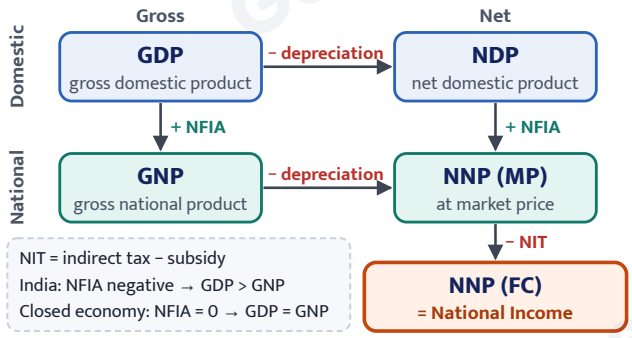
History of National Income Estimation in India and Committees PYQ 24

- **1867-68 — Dadabhai Naoroji:** per capita income **Rs 20** • national income Rs 340 crore • **first estimate** of national income in India
- **Naoroji's book:** **Poverty and Un-British Rule in India** (published 1901; papers read in 1876) • **Drain of Wealth Theory**
- **1899 — William Digby:** Rs 18 • assessed impact of famines and British exploitation
- **1911 — Findlay Shirras:** Rs 49 • also estimates for 1921 and 1931
- **1931-32 — Dr. V. K. R. V. Rao** (Vijendra Kasturi Ranga Varadaraja Rao): **Rs 62** • **first scientific and systematic estimate** of national income
- **Rao's method:** divided economy into two sectors (agriculture and corporate) and used national income accounting system
- **1949 — National Income Committee:** formed August 1949 • chairman **Prof. P. C. Mahalanobis** • other two members **Dr. D. R. Gadgil** and **Dr. V. K. R. V. Rao** • adviser Simon Kuznets
- **National Income Committee estimates:** per capita income **Rs 246.90** for 1948-49 • total national income Rs 8,650 crore • first report 1951 • final report 1954
- **Central Statistical Office (CSO):** on National Income Committee's recommendation, **2 May 1951** • HQ New Delhi • Industrial Statistics Wing Kolkata • estimated national income and released 'National Accounts Statistics' (white paper)
- **National Sample Survey Office (NSSO):** **1950** • initiative of Prof. Mahalanobis • quinquennial household consumption expenditure surveys for unemployment and poverty
- **National Statistical Commission (NSC):** on **Dr. C. Rangarajan Committee** (2000) recommendation • **1 June 2005** • first chairman Suresh Tendulkar
- **National Statistics Day:** **29 June** • birth anniversary of Prof. P. C. Mahalanobis • (World Statistics Day 20 October)
- **National Statistical Office (NSO):** order of **23 May 2019 merged CSO and NSSO** • under **Ministry of Statistics and Programme Implementation (MoSPI)** • currently releases national income data

Basic Concepts and Formulae of National Income PYQ 27

- **Four aggregates (GDP, NDP, GNP, NNP):** only **three adjustment rules** needed
- **Rule 1 — Gross to Net:** wear and tear of capital goods (machines) = **Depreciation** or consumption of fixed capital
- **Formula:** Net = Gross − Depreciation
- **Rule 2 — Domestic to National:** Domestic = production within geographical/economic territory (incl. embassies, ships) by both residents and non-residents
- **National:** production only by **Normal Residents** • whether within the country or abroad
- **Formula:** National = Domestic + Net Factor Income from Abroad (NFIA)
- **NFIA:** income earned abroad by Indian residents − income earned in India by foreign residents
- **NFIA for India:** usually **negative** • hence India's GDP is larger than its GNP
- **Rule 3 — Factor Cost (FC) to Market Price (MP):** factor cost = payments to four factors • rent to land • wages to labour • interest to capital • profit to enterprise
- **On reaching market:** government levies indirect taxes (price rises) • gives subsidies/grants (price falls)

From GDP to National Income — three adjustment rules



PI = NI − corporate tax − undistributed profit + transfers
PDI = PI − direct tax = consumption + saving

- **Formula:** Market Price (MP) = Factor Cost (FC) + Net Indirect Taxes (NIT)
- **Formula:** Net Indirect Taxes (NIT) = Indirect Taxes − Subsidies
- **Gross Domestic Product (GDP):** money value of all **final goods and services** produced within domestic territory in a financial year (1 April to 31 March) by residents and non-residents • intermediate goods excluded — avoids **double counting**
- **Net Domestic Product (NDP):** NDP = GDP − Depreciation • depreciation rates set by Union Ministry of Commerce and Industry • depreciation never zero, so NDP always less than GDP
- **Gross National Product (GNP):** GNP = GDP + NFIA
- **Net National Product (NNP):** NNP = GNP − Depreciation
- **NNP at Factor Cost (NNP-FC):** theoretically the country's **National Income**
- **Formula:** National Income (NNP-FC) = NNP-MP − Indirect Taxes + Subsidies
- **Per Capita Income:** most suitable measure of economic development and living standard • Per Capita Income = National Income / Total Population
- **Transfer Payments:** unilateral payments with no current production in return • old-age pension • unemployment allowance • scholarships • gifts • Remittances from abroad • interest on national debt
- **Status of transfer payments:** **not included** in national income • but part of **Personal Income**
- **Personal Income (PI):** National Income − Corporate Tax − undistributed corporate profits + transfer payments
- **Personal Disposable Income (PDI):** Personal Income − **direct personal taxes (e.g. income tax)** − government fees/fines • income left for consumption or saving
- **Formula:** PDI = Personal Income − Direct Taxes = Consumption + Saving

Historic Methodological Changes of January 2015 (GVA and New Base Year) PYQ 11

- **Background:** in line with UN System of National Accounts (**SNA 2008**) • by Central Statistical Office in January 2015
- **Base year change:** **2004-05 to 2011-12** • India's first base year 1948-49
- **Current base year:** **2022-23** • new series from 27 February 2026 (earlier 2011-12; before that 2004-05)
- **Headline measure:** earlier GDP at Factor Cost (GDP-FC) • after 2015 **GDP at Constant Market Prices** is the official GDP
- **Gross Value Added (GVA):** for sector-wise output, **GVA at Basic Prices** replaced GDP at factor cost
- **In GVA:** production taxes (e.g. land revenue, stamp duty) and production subsidies **included** • product taxes (e.g. GST, customs duty) **excluded**
- **Formula:** GDP-MP = GVA at Basic Prices + Product Taxes − Product Subsidies
- **Data source expansion:** for manufacturing, not only Annual Survey of Industries (ASI) — also Ministry of Corporate Affairs' **MCA-21 database**

Three Methods of Computing National Income and Other Concepts PYQ 10

- **Product Method (Value Added Method):** sum of net value added by all producing enterprises • in India used for **agriculture, forestry, fishing, mining, manufacturing**
- **Income Method:** sum of incomes of all factors — rent + wages + interest + profit + mixed income • in India used for **services sector (banking, trade, transport, public administration)**
- **Expenditure Method:** sum of total expenditure on final goods and services • in India partly used in **construction sector**
- **Formula:** GDP = C + I + G + (X − M) • C = private final consumption expenditure • I = gross domestic capital formation/investment • G = government final consumption expenditure • X − M = net exports (exports − imports)
- **GDP at current prices (Nominal GDP):** valued at the same year's prevailing market prices • includes effect of inflation • not a true picture of real growth
- **GDP at constant prices (Real GDP):** at constant prices of base year (currently **2022-23**) • free from inflation • **best indicator of economic growth**
- **GDP Deflator:** ratio of GDP at current and constant prices • measures change in average price level (inflation) of **all goods and services** produced
- **Formula:** GDP Deflator = (Nominal GDP / Real GDP) × 100
- **Green Accounting (Green GDP):** conventional GDP − monetary cost of natural resource depletion and environmental degradation (pollution) • for India's framework **Prof. Partha Dasgupta Committee** formed in 2011
- **Capital-Output Ratio (COR):** capital required for one unit of output
- **Incremental Capital-Output Ratio (ICOR):** additional units of investment needed for 1% additional GDP growth • **lower the ICOR, more efficient the economy** (more output with less capital)

Mnemonic (GDP to National Income): "Sakal se mulyahras ghatao to shuddh pao, gharelu me NFIA jodo to rashtriya banao, bazar mulya se shuddh apratyaksh kar ghatao to sadhan lagat pao" — Gross − Depreciation = Net • Domestic + NFIA = National • MP − NIT = FC

Points to Note

1. **Not included in national income:** sale-purchase of second-hand goods (old car/house) • sale-purchase of shares and bonds (only transfer of financial ownership) • household services of homemakers • transfer payments (pension, scholarship) • illegal income from smuggling/black-marketing
2. Agent's **brokerage/commission on sale of second-hand goods is included** — a current-year service
3. **Retirement pension included** (deferred wages) • old-age/widow pension **not included**
4. **Closed Economy:** zero foreign trade • NFIA = 0 • hence **GDP and GNP always equal**

One-liner Facts

- **National income estimation:** **National Statistical Office (NSO)** under Ministry of Statistics and Programme Implementation
- **Purchasing Power Parity (PPP):** India is the world's **third** largest economy • after China and USA
- **Largest contributor to domestic savings:** **Household Sector** • then private corporate • then public sector
- **Most suitable measure of economic growth:** growth in **Real Per Capita NNP** at constant prices
- **Uttar Pradesh GSDP:** about **8 to 9%** of national GDP • target **1 trillion dollars**

05 Inflation and Price Indices

Inflation: Concept, Causes and Types PYQ 31

- **Definition:** **sustained and significant rise** in general price level • **purchasing power of money falls** • prices of goods rise
- **Coulborn:** "Too much money chasing too few goods"
- **Demand-Pull Inflation:** Aggregate Demand rising faster than aggregate supply
- **Demand-pull causes:** rise in money supply • rise in government expenditure (deficit financing) • cut in direct taxes raising disposable income • fall in interest rates (cheap monetary policy) • population growth • black money
- **Cost-Push Inflation:** producers raise prices due to rising cost of factors of production
- **Cost-push causes:** rise in raw material prices (especially **crude oil**) • rise in wage rates • rise in indirect taxes (GST, excise duty) • Supply Bottlenecks in infrastructure • hoarding
- **Structural Inflation:** in developing countries • lack of storage • poor transport network • market imperfections • monsoon dependence of agriculture
- **Creeping Inflation:** **3% or less** • **necessary and beneficial** for economic growth and investment
- **Walking/Trotting Inflation:** **3% to 10%** (single digit) • warning signal for central bank
- **Running Inflation:** **10% to 20%** (double digit) • very harmful to poor and middle class

- **Galloping/Hyperinflation:** three or four digits (hundreds/thousands %) • monetary system collapses completely • e.g. Germany of 1920s, Venezuela, Zimbabwe

Special Terms Related to Inflation

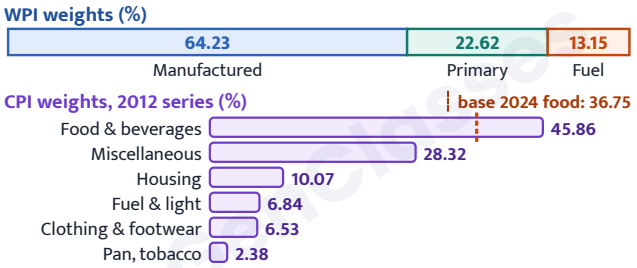
- **Deflation:** opposite of inflation • sustained fall in general price level due to lack of demand • rate below zero (**negative**) • output falls, unemployment rises
- **Disinflation:** prices rising, but **rate of inflation gradually falling** • e.g. 8% → 6% → 4% • prices do not fall, only pace slows
- **Stagflation:** Stagnation + Inflation • **high inflation + economic slowdown (low GDP growth) + high unemployment** together • contradicts **Phillips Curve**
- **Reflation:** government/central bank deliberately raises money supply, cuts taxes, gradually lifts prices to pull economy out of severe recession and deflation spiral
- **Skewflation:** general price level stable, but extraordinary jump in price of **one commodity/small group** (e.g. only onions or pulses)
- **Core Inflation:** 'underlying inflation' • headline inflation minus **food and fuel (energy)** • indicates long-term trend
- **Headline Inflation: all items** of consumer basket (incl. food and fuel) • in India **CPI (Combined)** is headline inflation
- **Base Effect:** mathematical effect of previous year's price index on current year's % calculation • if last year's inflation was high, normal rise this year shows a lower rate
- **Protein Inflation:** sharp rise in prices of milk, eggs, meat, fish, pulses due to rising incomes and changing diets
- **Shrinkflation:** same price, **smaller weight/size** of pack • e.g. 8 instead of 10 biscuits in a Rs 5 pack

Measuring Inflation in India: WPI vs CPI PYQ 22

WPI vs CPI

issuer & weights

WPI (wholesale)	CPI (Combined)
Office of Economic Adviser Commerce & Industry Ministry base 2011-12 · 697 goods services not included	NSO, MoSPI base 2024 (earlier 2012) goods + services RBI anchor (April 2014)



Trap: WPI has **no services** · headline inflation = **CPI (Combined)**

- **Main indices:** two — Wholesale Price Index (WPI) and Consumer Price Index (CPI)
- **WPI issuer: Office of Economic Adviser** • Department for Promotion of Industry and Internal Trade (DPIIT) • **Ministry of Commerce and Industry**
- **WPI base year: 2011-12** • changed from 2004-05 in May 2017
- **Covered in WPI: only goods (697 items) • services not included** • May 2017 revision removed effect of indirect taxes
- **WPI — Manufactured Products:** 564 items • weight **64.23%** (highest)
- **WPI — Primary Articles:** 117 items • weight **22.62%** (second)
- **WPI — Fuel and Power:** 16 items • weight **13.15%** (lowest)
- **CPI:** change in retail price paid by final consumer • **both goods and services** • 4 types in India
- **CPI — Rural, Urban and Combined: National Statistical Office (NSO)**, MoSPI • base year **2024** (new series from 12 February 2026; earlier 2012)
- **CPI (Combined) as monetary anchor:** from **April 2014**, on Urjit Patel Committee recommendation, RBI made **CPI (Combined)** the main benchmark for monetary policy in place of WPI
- **CPI-IW (Industrial Workers): Labour Bureau**, Ministry of Labour and Employment • base year **2016** (changed from 2001 in October 2020) • basis of **Dearness Allowance (DA)** of Central and State employees
- **CPI-AL (Agricultural Labourers): Labour Bureau**, Ministry of Labour and Employment • base year **1986-87** • for revising minimum wages of rural agricultural labourers
- **CPI-RL (Rural Labourers): Labour Bureau**, Ministry of Labour and Employment • base year **1986-87** • measures cost of living of rural non-agricultural and agricultural workers
- **CPI (Combined) new series (base 2024):** COICOP 2018 • 12 divisions • Food and Beverages weight **36.75%** • 358 items (308 goods + 50 services)
- **2012 series, 6 groups — Food and Beverages: 45.86%** (highest • hence food inflation quickly raises retail inflation)
- **2012 series — Miscellaneous (health, education, transport, recreation services):** 28.32%
- **2012 series — Housing:** 10.07% • Housing weight in rural CPI is **zero**
- **2012 series — Fuel and Light:** 6.84% • Clothing and Footwear: 6.53% • Pan, Tobacco and Intoxicants: 2.38%
- **Inflation Targeting:** agreement between Government and RBI under MPC • retail inflation (CPI-Combined) **4% (±2% tolerance band — minimum 2%, maximum 6%)** • statutory target

Impact of Inflation on Different Sections of the Economy PYQ 18

- **Debtor/Borrower: gains** • purchasing power of money was higher when loan taken, real value fallen when repaid
- **Creditor/Lender: loses** • principal and fixed interest received have lower purchasing power
- **Fixed income group (pensioners, salaried): loses** • prices rise, money income does not rise proportionately • real income falls
- **Producers, entrepreneurs, traders and farmers: gain** • product prices rise faster than costs • profit margin rises
- **Bond and debenture holders (Fixed Interest): lose** • interest pre-fixed • Real Return falls
- **Equity (share) holders: gain** • higher company profits mean higher Dividend
- **Imports and exports: imports rise, exports fall** • Indian goods costlier (uncompetitive) in world market • foreign goods seem cheaper • trade deficit widens
- **Purchasing power (Value of Money): falls • inverse relationship** between inflation and value of money

Measures to Control Inflation PYQ 13

- **Monetary measures (RBI — Dear Money Policy): raise Repo Rate, Bank Rate, Marginal Standing Facility (MSF) rate** • borrowing costlier for banks • loan demand falls

- **Raise CRR and SLR:** Cash Reserve Ratio and Statutory Liquidity Ratio • less lendable funds (liquidity) with banks
- **Open Market Operations (OMO):** RBI **sells Government Securities (G-Secs)** • excess money of public and banks flows to RBI
- **Fiscal measures (Government):** cut unnecessary government expenditure • **Surplus Budget**
- **Raise direct taxes (income tax, corporate tax):** lower disposable income and market demand • raise public borrowing (from the public)
- **Administrative/supply-side: ban on exports** of essential goods (pulses, edible oil) • **cut import duties to ease imports**
- **PDS and hoarding:** release of buffer stock through Public Distribution System • action against hoarding under Essential Commodities Act

Mnemonic (WPI component weight order): "Vinirman (64%) se chhota Prathmik (22%), sabse chhota Indhan (13%)" — Manufactured Products > Primary Articles > Fuel and Power

Mnemonic (gainers in inflation): "Rini aur vyapari muskuraye, rindata aur vetanbhogi ghabraye" — debtors and traders = gain • creditors and salaried = loss

Points to Note

1. **Debtor vs Creditor:** UPPSC's favourite question • in inflation the **borrower (Debtor) gains** • the **lender (Creditor) loses**
2. **WPI — Ministry of Commerce and Industry • CPI-Combined — Ministry of Statistics and Programme Implementation (NSO)** • CPI for industrial and agricultural workers — **Labour Ministry (Labour Bureau)**
3. **OMO:** to control inflation RBI **sells** securities (to absorb money) • to fight recession it **buys** them

One-liner Facts

- **Inflation = indirect and Regressive Tax:** hits the poorest hardest
- **Inflation tax / Bracket Creep:** money income rises (not real purchasing power) and people move into higher income-tax slabs
- **Urjit Patel Committee (2014): Flexible Inflation Targeting** and Monetary Policy Committee (MPC) system
- **WPI vs CPI:** WPI **excludes services entirely** • CPI includes both goods and services
- **CPI-IW:** base year **2016** • published monthly by **Labour Bureau**, Shimla/Chandigarh

Part 2: Money, Banking, Fiscal Policy & Taxation

06 Money and Money Supply

Types of Money and Legal Status PYQ 7

- **Fiat Money:** issued by government order/law • full backing by a physical commodity (gold/silver) not mandatory • e.g. **Indian Rupee**
- **Legal Tender:** no one can legally refuse to accept it in settlement of debts/payments
- **Unlimited Legal Tender:** all paper notes above 1 rupee • valid for payment of any amount • **Section 26** of RBI Act 1934
- **Limited Legal Tender:** Coinage Act 2011 • coins of 1 rupee and above valid only up to **₹1000** • 50 paise coins only up to **₹10**
- **Small Coins:** coins below 50 paise officially withdrawn in 2011
- **Rupee Symbol (₹):** designed by **Udaya Kumar** • adopted **15 July 2010** (Government of India) • blend of Devanagari 'Ra' and Roman 'R' • 5th currency in the world with its own distinct symbol
- **Gresham's Law:** "**Bad money drives good money** out of circulation" • asked directly in context of money supply and metallic money

Measures of Money Supply PYQ 12

Money Supply: the M0 to M4 Ladder — RBI · April 1977

M0 — Reserve Money · High Powered · Monetary Base
Currency in circulation + bankers' deposits with RBI + 'other' deposits

M1 Narrow	Public's notes-coins + demand dep. + other deposits with RBI		Most liquid
M2 Narrow	M1	+ PO savings bank deposits	
M3 Broad	M1	+ Bank time deposits	Aggregate Monetary Resources · inflation
M4	M3	+ All PO savings org. deposits excluding NSC	Least liquid

Money Multiplier = M3 / M0 · lower CRR + more banking → higher
Orange = post office, even numbers (M2, M4) · order: M1 > M2 > M3 > M4

- **Beginning:** RBI introduced four concepts (M1, M2, M3, M4) from **April 1977**
- **New Aggregates: 1998, Y. V. Reddy Committee** recommendation • new monetary (NM1, NM2, NM3) and liquidity aggregates (L1, L2, L3)
- **M0 (Reserve Money):** currency in circulation + bankers' deposits with RBI + 'other' deposits with RBI • also called **High Powered Money / Monetary Base**
- **M1 (Narrow Money):** currency with public (notes + coins) + demand deposits with banks + other deposits with RBI • **most liquid** • least profitable for banks
- **M2:** M1 + savings deposits with post office savings banks • part of narrow money • post office deposits cannot be withdrawn by cheque
- **M3 (Broad Money):** M1 + time/fixed deposits with banks • also called **Aggregate Monetary Resources** • most used for assessing inflation
- **M4:** M3 + total deposits with post office savings organisations (**excluding NSC**) • **least liquid**
- **Decreasing Order of Liquidity:** M1 > M2 > M3 > M4 • order asked directly
- **Money Multiplier:** ratio of broad money to reserve money • Money Multiplier = M3 / M0
- **Money Multiplier Rule:** lower the CRR + wider the spread of banking habits → **higher** the money multiplier

Points to Note

1. The 1 rupee note does not bear the RBI Governor's signature — it bears the **Finance Secretary's** • 1 rupee note and all coins issued by the **Ministry of Finance (Government of India)** • distributed by RBI

2. Inter-bank deposits (one bank's money in another bank) are not part of M1/M3 — only currency with the **'public'** and the public's demand/time deposits
3. M4 does not include all post office deposits — **National Savings Certificates (NSC)** explicitly excluded

Mnemonic (liquidity and breadth): "1 aur 2 sankeern hain, 3 sabse vyapak hai, dakghar sam sankhya (2 aur 4) me aata hai" — 1 and 2 are narrow, 3 is broadest, post office comes in even numbers: both M2 and M4 add post office deposits

One-liner Facts

- **Decimal Coinage System:** from **1 April 1957** • rupee = 100 naye paise
- **First Rupee Coin of Independent India:** minted in **1950**
- **Mahatma Gandhi Series Notes:** by RBI from **1996**
- **Languages on Notes:** besides Hindi and English, **15 languages** of Schedule 8 (17 languages in all)
- **Mints — 4 in total:** Mumbai (1829, oldest) • Kolkata (1952) • Hyderabad (1903) • **Noida (Uttar Pradesh, 1988, newest)**

07 RBI and Monetary Policy

Reserve Bank of India: Historical and Structural Facts PYQ 10

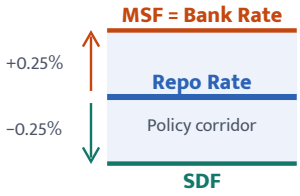
- **Recommendation:** **Hilton Young Commission (1926)** • also called 'Royal Commission on Indian Currency and Finance'
- **Establishment:** RBI Act 1934 • **1 April 1935** • authorised capital ₹5 crore • initially a private shareholders' bank
- **Headquarters:** initially **Kolkata** • **permanently shifted to Mumbai in 1937**
- **Nationalisation:** **1 January 1949** • Reserve Bank of India (Transfer to Public Ownership) Act 1948
- **First Governor:** **Sir Osborne Smith** (1935–1937) • signed no Indian currency note
- **First Indian Governor (also first of independent India):** **C. D. Deshmukh** (1943–1949) • nationalisation during his tenure
- **Longest Tenure:** **Benegal Rama Rau** (1949–1957, about 7.5 years)
- **Only Prime Minister to be Governor:** **Dr. Manmohan Singh** (1982–1985)
- **Accounting Year:** before July 2020, 1 July–30 June • **Bimal Jalan Committee** recommendation • from 2020-21, **1 April–31 March** (same as government's financial year)
- **Note Issue System:** **Minimum Reserve System** since **1956 (fully 1957)**
- **Minimum Reserve:** **₹200 crore** mandatory at all times • **₹115 crore gold** + **₹85 crore foreign currency assets**
- **Earlier System:** **Proportional Reserve System** from 1935 to 1956

Monetary Policy Committee (MPC) PYQ 8

- **Basis of Formation:** **Urjit Patel Committee (2014)** • amendment of RBI Act 1934 (**Section 45ZB**) • constituted **2016**
- **Composition:** **6 members** in total
- **3 Members from RBI:** Governor (ex-officio chairperson) • Deputy Governor in charge of monetary policy • one officer nominated by the Central Board
- **3 Members Appointed by Government:** external experts • term **4 years** • **not eligible for reappointment**
- **Decision Process:** majority • in a tie, **Governor has the casting vote** • no veto power
- **Quorum:** at least **4 members** • at least **4 meetings** a year (in practice bi-monthly, i.e. 6)
- **Inflation Targeting:** CPI (Combined) based target **4%** • ±2% tolerance band (minimum 2%, maximum 6%)
- **Failure of Target:** outside the band for **3 consecutive quarters** • RBI submits an explanatory report to government

Instruments of Monetary Policy: Quantitative and Qualitative PYQ 16

Policy Corridor and Instruments — Repo ± 0.25%



Quantitative (total volume)	≠	Qualitative (direction (selective))
Repo · Rev. Repo · SDF · MSF · Bank Rate · OMO **CRR**: with RBI, **cash only**, no interest · Sec 42 **SLR**: **with bank** · cash, gold, G-secs · BR Act S. 24 · max **40%**		**Margin Req.**: asset − loan **Credit Rationing**: caps **Moral Suasion**: advice **Direct Action**: penalty **In inflation**: Repo, Rev. Repo, CRR, SLR ↑ · OMO sell

- **Repo Rate:** RBI → commercial banks, **short-term (1 to 90 days)** loans against government securities • also called policy rate • in inflation RBI will **raise** it (credit costlier, liquidity falls)
- **Reverse Repo Rate:** banks park surplus funds with RBI and earn interest • in inflation **raise** (banks keep money with RBI instead of lending)
- **Standing Deposit Facility (SDF):** **April 2022** • absorbs liquidity from banks **without collateral (collateral-free)** • new **floor** of the policy corridor • usually 0.25% below repo • in inflation **raise**
- **Marginal Standing Facility (MSF):** **2011** • scheduled banks in emergency borrow **overnight** even by pledging **securities from SLR quota** • **upper limit** of the corridor • 0.25% above repo • in inflation **raise**
- **Bank Rate:** **long-term loans** to banks / rediscounting of bills without repurchase agreement • used as penal rate (equal to MSF) • in inflation **raise**
- **Cash Reserve Ratio (CRR):** fixed % of Net Demand and Time Liabilities (**NDTL**) with RBI **only in cash** • **Section 42** of RBI Act 1934 • in inflation **raise** (lending capacity falls directly)
- **Statutory Liquidity Ratio (SLR):** fixed % of NDTL **with the bank itself** in cash, gold or unencumbered government securities • **Section 24** of Banking Regulation Act 1949 • in inflation **raise** • maximum limit **40%**
- **Open Market Operations (OMO):** purchase/sale of government securities by RBI • in inflation RBI will **sell** securities (to absorb cash)
- **Qualitative (Selective) Instruments:** aim is to set the **direction** of credit, not its total volume
- **Margin Requirement:** difference between value of pledged asset and loan amount given

- **Credit Rationing:** fixing maximum credit limit for different sectors
- **Moral Suasion:** advice and persuasion to banks without penal action
- **Direct Action:** penalty/restriction on banks violating rules

Points to Note

1. RBI pays **no interest** on CRR — whereas banks earn interest/return on government securities held under SLR
2. Since the **2006 amendment**, CRR has no statutory minimum (earlier 3%) or maximum (earlier 15%)
3. The **2007 amendment** removed the SLR minimum (earlier 25%) — but the maximum is still **40%**
4. All scheduled banks and primary dealers can participate in repo — but in MSF **only scheduled commercial banks**

Mnemonic (RBI in inflation): "Mehngai aayi to darein badhayi, pratibhutiyan bechin aur nakdi ghatayi" — when inflation came, rates raised, securities sold, cash cut: repo, reverse repo, CRR, SLR all raised • securities sold under OMO

One-liner Facts

- **Fiscal vs Monetary Policy:** fiscal policy by **Ministry of Finance** • monetary policy by **MPC (RBI)**
- **Liquidity Adjustment Facility (LAF):** **Narasimham Committee-II (1998)** recommendation • started **2000** • repo and reverse repo are its parts
- **Market Stabilisation Scheme (MSS):** RBI–government agreement to absorb surplus liquidity • **April 2004**
- **Operation Twist:** simultaneous sale of short-term and purchase of long-term securities • on the lines of US Federal Reserve • first used in India **December 2019**
- **Local Boards (4):** Mumbai • Kolkata • Chennai • New Delhi • 5 members each • 4-year term

08 Banking System and Financial Inclusion in India

Historical Evolution of Banking and Nationalisation PYQ 14

- **First Bank of India:** **Bank of Hindustan (1770)** • Alexander and Company • Kolkata • European management
- **Three Presidency Banks:** Bank of Bengal (1806/1809) • Bank of Bombay (1840) • Bank of Madras (1843)
- **Imperial Bank of India:** **1921** • merger of the three Presidency Banks
- **State Bank of India (SBI):** **Gorwala Committee** (All India Rural Credit Survey Committee, 1952) • **1 July 1955** • nationalisation of Imperial Bank
- **First Bank Managed by Indians:** **Oudh Commercial Bank (1881)** • headquarters **Faizabad (present Ayodhya, UP)** • first Indian bank with limited liability
- **First Bank with Wholly Indian Capital and Management:** **Punjab National Bank (1894)** • efforts of Lala Lajpat Rai and others • Lahore
- **Nationalisation Phase I:** **19 July 1969** • Fourth Five-Year Plan • PM Indira Gandhi • **14 major commercial banks** • deposits **₹50 crore or more**
- **Nationalisation Phase II:** **15 April 1980** • Sixth Five-Year Plan • **6 banks** • deposits **₹200 crore or more**
- **First Mutual Merger:** 1993 • **New Bank of India** merged with **Punjab National Bank** • first merger among nationalised banks
- **Public Sector Banks (PSBs):** after major mergers, **12** in total (SBI + 11 nationalised banks)

Specialised Banks and Development Financial Institutions PYQ 15

- **Regional Rural Banks (RRBs):** **2 October 1975** • **M. Narasimham Working Group (1975)** • headquarters in respective region
- **First RRB:** **Prathama Grameen Bank (Moradabad, UP)** • sponsored by Syndicate Bank
- **RRB Capital Ratio:** **Centre 50% : State 15% : Sponsor Bank 35%**
- **NABARD:** **12 July 1982** • **B. Sivaraman Committee (CRAFICARD, 1979)** • Mumbai • Sixth Five-Year Plan
- **NABARD's Role:** apex **refinance** institution for agriculture and rural development • does not lend directly to farmers
- **EXIM Bank:** **1 January 1982** • Export-Import Bank Act 1981 • Mumbai • apex institution for financing foreign trade (exports-imports)
- **National Housing Bank (NHB):** **9 July 1988** • National Housing Bank Act 1987 • **New Delhi** • apex housing finance institution • in 2019 RBI sold its 100% stake to Government of India
- **SIDBI:** **2 April 1990** • SIDBI Act 1989 • **Lucknow (UP)** • apex institution for promotion and financing of MSMEs
- **MUDRA Bank:** **8 April 2015** • subsidiary of SIDBI • Mumbai • credit to non-corporate small business sector
- **MUDRA Loan Categories:** **Shishu** (up to ₹50,000) • **Kishore** (₹50,000–5 lakh) • **Tarun** (₹5–10 lakh) • **Tarun Plus** (₹10–20 lakh, from Budget 2024)
- **NaBFID:** **2021** • NaBFID Act 2021 • Mumbai • new development financial institution for financing national infrastructure and development

Priority Sector Lending (PSL) PYQ 6

- **Target:** all domestic commercial banks (and foreign banks with 20 or more branches) • **40%** of **Adjusted Net Bank Credit (ANBC)**
- **RRBs and Small Finance Banks:** PSL target **75%** (for Small Finance Banks **60%** from 2025-26)
- **Urban Co-operative Banks (UCBs):** target raised in phases to 75%
- **Main Categories (8 in total):** Agriculture • MSME • Export Credit • Education • Housing • Social Infrastructure • Renewable Energy • Others
- **Sub-targets:** Agriculture **18%** of total (of which 10% for small and marginal farmers) • Weaker sections **12%** of total

Banking Reform Committees, Basel Norms and NPA PYQ 11

- **Non-Performing Asset (NPA):** instalment of principal/interest overdue for **90 days**
- **NPA in Agricultural Loans:** based on **crop cycle** • short-duration crops **2 crop seasons** • long-duration crops **1 crop season**
- **Sub-standard Asset:** NPA for 12 months or less
- **Doubtful Asset:** in sub-standard category for more than 12 months
- **Loss Asset:** declared irrecoverable by bank/auditor

- **SARFAESI Act, 2002:** seizure and sale of defaulter's pledged assets without court intervention • applies to NPAs above ₹1 lakh • **not applicable to agricultural land**
- **Indradhanush Plan (2015):** **7-point action plan** for revival of public sector banks
- **Indradhanush 7 Points:** Appointments • Bank Board Bureau • Capitalisation • De-stressing • Empowerment • Framework of Accountability • Governance Reforms
- **Bank Board Bureau (BBB, 2016):** now replaced by **Financial Services Institutions Bureau (FSIB, July 2022)**
- **Basel Norms:** **Bank for International Settlements (BIS)**, Basel (Switzerland) • banking risk management • fixes **Capital Adequacy Ratio (CAR/CRAR)**
- **CRAR Norms:** Basel-III global **8%** • RBI for Indian banks **9%** • for public sector banks 12%
- **Narasimham Committee-I (1991) and II (1998):** overall banking sector reform • reduction in SLR/CRR • NPA classification • capital adequacy
- **Nachiket Mor Committee (2013):** **Payment Banks** • comprehensive financial inclusion
- **Usha Thorat Committee:** licensing guidelines for **Small Finance Banks**
- **P. J. Nayak Committee (2014):** review of governance of bank boards • led to Bank Board Bureau
- **Goiporia Committee (1990) and Damodaran Committee (2011):** **customer service reforms** in banks
- **Deepak Mohanty Committee (2015):** medium-term path on financial inclusion
- **Raghuram Rajan Committee (2008):** financial sector reforms

Points to Note

1. RRBs do not operate in all states — **Sikkim and Goa** have no RRB
2. Payment Banks (e.g. Airtel Payments Bank, India Post Payments Bank) **only accept deposits** (maximum **₹2 lakh** per customer) • **no loans or credit cards** — Small Finance Banks can lend and accept all types of deposits
3. NABARD was not set up in the Fifth Plan — **12 July 1982**, **Sixth Five-Year Plan (1980–1985)** (famous UPPCS trap)

Mnemonic (RRB share 50 : 35 : 15): "Kendra aadha, bank paintees, rajya pandrah" — Centre = 50%, Sponsor Bank = 35%, State = 15%

Mnemonic (Payment vs Small Finance): "Mor ne payment kiya, Usha ne chhota finance kiya" — Nachiket Mor = Payment Bank, Usha Thorat = Small Finance Bank

One-liner Facts

- **Pradhan Mantri Jan-Dhan Yojana (PMJDY):** world's largest financial inclusion scheme • **28 August 2014** • motto "Mera Khata, Bhagya Vidhata" • **₹10,000** overdraft • **₹2 lakh** accident insurance
- **Lead Bank Scheme:** recommendation of **Gadgil Study Group** and **Nariman Committee** • RBI • **December 1969** • each district assigned to a lead bank
- **Kisan Credit Card (KCC):** **R. V. Gupta Committee** • **August 1998** • model prepared by NABARD
- **Co-operative Banking — Three-tier:** state level State Co-operative Bank (StCB) • district level District Central Co-operative Bank (DCCB) • village level Primary Agricultural Credit Societies (PACS)
- **Integrated Ombudsman Scheme:** RBI • **November 2021** • 'One Nation, One Ombudsman' principle

09 Fiscal Policy, Budget and Deficits

Budget: Constitutional and Historical Perspective PYQ 9

- **Constitutional Provision:** the word 'Budget' nowhere in the Constitution • **Article 112** uses **'Annual Financial Statement'** • for states **Article 202**
- **First Budget of India:** **7 April 1860** • **James Wilson** • father of the Indian Budget
- **First Budget of Independent India:** **26 November 1947** • first Finance Minister **R. K. Shanmukham Chetty**
- **First Budget of Republic of India:** **28 February 1950** • **John Mathai**
- **Most Budgets Presented:** **Morarji Desai** • **10 times** in all (8 annual + 2 interim)
- **First Woman to Present Budget:** **Indira Gandhi (1970)** • as PM holding interim Finance portfolio
- **First Full-time Woman Finance Minister:** **Nirmala Sitharaman** • record for most consecutive budgets • 2021 **first paperless digital budget**
- **Railway Budget Separated:** **Acworth Committee (1921)** recommendation • separated from General Budget in **1924**
- **Railway Budget Merged:** **Bibek Debroy Committee** • from **Budget 2017-18** (announced September 2016) merged back into General Budget
- **Other 2017-18 Changes:** budget date shifted from last working day of February to **1 February** • distinction of **Plan and Non-plan Expenditure** abolished

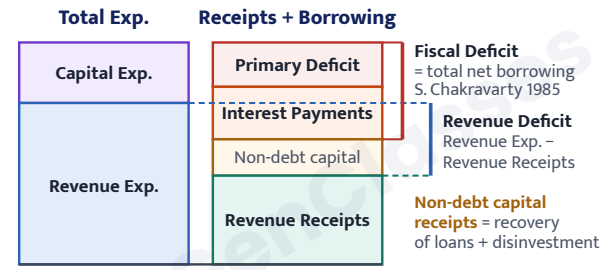
Budget Structure: Receipts and Expenditure PYQ 11

- **Revenue Account — Nature:** **no change** in Liabilities or Assets • **Recurring**
- **Capital Account — Nature:** liabilities rise/fall or assets fall/rise • **Non-recurring**
- **Revenue Receipts — Tax Revenue:** Income Tax • Corporation Tax • GST • Customs Duty
- **Revenue Receipts — Non-tax Revenue:** **interest** received by government • **dividends and profits** from PSUs • fees • fines • **Grants**
- **Capital Receipts:** **recovery of loans** (loans given to states/foreign countries returned) • **disinvestment receipts** (sale of PSU shares) • **borrowings** (market loans, treasury bills, external debt)
- **Revenue Expenditure:** **interest payments** (largest single item of expenditure) • salaries and pensions • defence revenue expenditure (maintenance) • subsidies (fertiliser, food, petroleum) • grants to states
- **Capital Expenditure:** **creation of capital assets** (roads, bridges, schools, hospitals, purchase of defence equipment) • **repayment of loans** (only **principal**) • loans to states and foreign governments

Types of Budgetary Deficits and Formulae PYQ 15

Deficit Map: Formulae at a Glance

1 question every year



FD	Total Exp. – (Rev. Receipts + Non-debt Cap. Receipts)
PD	Fiscal Deficit – Interest Payments
ERD	RD – grants to states for capital assets · Rangarajan
Budget Def.	Total Exp. – Total Receipts · zero since 1997
Monetized	part of FD met by RBI printing new currency

- **Exam Trend:** at least 1 question every year in UPPCS on these formulae or their ascending/descending order
- **Revenue Deficit (RD):** revenue receipts < revenue expenditure • government borrowing even for daily consumption expenses
- **RD Formula:** Revenue Deficit = Revenue Expenditure – Revenue Receipts
- **Effective Revenue Deficit (ERD):** **Budget 2011-12** • **Rangarajan Committee** recommendation • included in FRBM Act in 2012
- **ERD Formula:** Effective Revenue Deficit = Revenue Deficit – Grants to states for creation of capital assets
- **Budget Deficit Formula:** Budget Deficit = Total Expenditure (Revenue + Capital) – Total Receipts (Revenue + Capital)
- **Budget Deficit Now:** ad-hoc treasury bills abolished from 1997 • budget deficit zero • replaced by **Fiscal Deficit**
- **Fiscal Deficit (FD):** **Sukhamoy Chakravarty Committee (1985)** • shows government's **Total Borrowing Requirements**
- **FD Formula:** Fiscal Deficit = Total Expenditure – (Revenue Receipts + Non-debt Creating Capital Receipts)
- **FD Formula (expanded):** Fiscal Deficit = Total Expenditure – (Revenue Receipts + Recovery of Loans + Disinvestment Receipts)
- **FD in Simple Terms:** Fiscal Deficit = **total net borrowing** by government
- **Primary Deficit (PD):** borrowing needed for current year's expenses excluding interest on past loans
- **PD Formula:** Primary Deficit = Fiscal Deficit – Interest Payments
- **Monetized Deficit:** part of FD met by RBI by **printing new currency** (buying government bonds)

Fiscal Responsibility and Budget Management Act (FRBM, 2003) PYQ 6

- **Dates:** passed **2003** • in force from **5 July 2004**
- **N. K. Singh Committee (2016):** FRBM review • targets by 2022-23
- **Fiscal Deficit Target:** **2.5%** of GDP
- **Revenue Deficit Target:** **0.8%** of GDP
- **Debt-to-GDP Target:** Centre + States combined **60%** • **Centre 40%** • **States 20%**
- **Escape Clause:** national security, war, national calamity, severe fall in agricultural output • maximum **0.5%** deviation from target

Union Budget and Uttar Pradesh Budget: Updated Fiscal Data PYQ 8

- **Fiscal Deficit Path:** by 2025-26 **below 4.5% (about 4.4%)** • 2024-25 Budget Estimate 4.9% • Revised Estimate 4.8%
- **Target from 2026-27:** keep Centre's **Debt-to-GDP ratio** on a declining path every year • **50±1%** by 2030-31
- **Rupee Comes From (in order):** borrowings and other liabilities (highest) → Income Tax → GST → Corporation Tax
- **Note:** in recent years receipts from **personal income tax** exceed corporation tax
- **Rupee Goes To (in order):** **interest payments** (largest item, about 20%) → states' share of taxes and duties → central sector schemes → Finance Commission and other transfers → defence and subsidies
- **UP Fiscal Discipline:** FRBM limit **3.5%** of GSDP • fiscal deficit within about **2.97% to 3.46%**
- **UP — Revenue Surplus State:** revenue receipts > revenue expenditure • more funds for capital infrastructure
- **UP Own Tax Revenue Sources:** **State GST (SGST)** first → VAT (on petroleum products) → Excise Duty → Stamp and Registration fees

Points to Note

1. Borrowing is a capital receipt, but **interest on it is not capital expenditure** — interest payment is always **revenue expenditure** • repayment of principal is capital expenditure
2. Interest received by government is also **revenue receipt**
3. All grants are non-repayable and create no asset — **revenue expenditure** for the Centre, **revenue receipt** for states (even if states use them for capital works; that part is deducted in Effective Revenue Deficit)

Mnemonic (general order of deficits): "Rajkoshiya sabse bada, phir rajasv, phir prabhavi rajasv, aur prathamik sabse chhota" — Fiscal largest, then Revenue, then Effective Revenue, Primary smallest: FD > RD > ERD > PD

Mnemonic (Primary Deficit): "Rajkosh se byaj ghatao, prathamik ghata pao" — subtract interest from fiscal, get primary: PD = FD – Interest

One-liner Facts

- **Zero-Based Budgeting (ZBB):** father **Peter A. Pyhrr (1970)** • in India **1987-88** budget, V. P. Singh • first state Andhra Pradesh
- **Gender Budgeting:** from **2005-06 Union Budget** • Gender Budget Statement showing allocation for women's empowerment separately
- **Outcome Budget:** first in **2005-06** • P. Chidambaram • evaluates physical outcomes, not just spending
- **Vote on Account (Article 116):** advance approval of Parliament only for **expenditure side** • Interim Budget covers both receipts and expenditure
- **Fiscal Drag:** inflation raises money income → higher tax slab • tax burden rises without rise in real income • aggregate demand falls

10 Indian Taxation System & Finance Commission

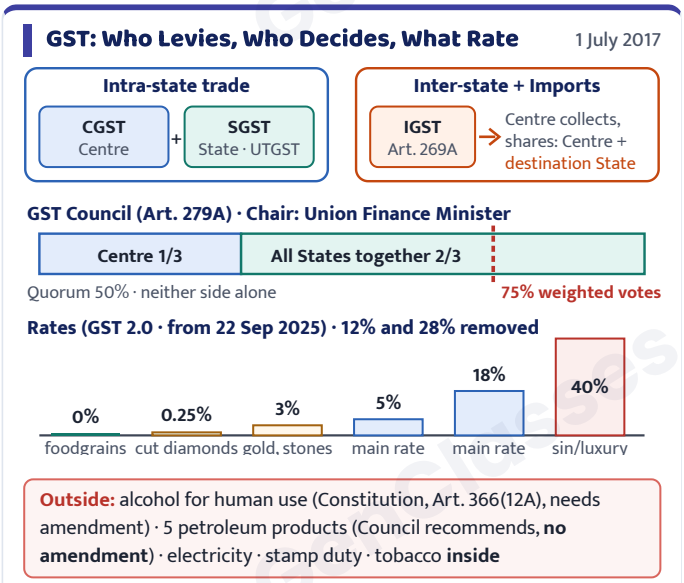
Tax Concepts & Curves PYQ 10

- **Impact of Tax:** the person on whom the government first levies the tax • who deposits the tax with the government
- **Incidence of Tax:** the person who bears the **final economic burden** of the tax
- **Direct Tax:** impact and incidence on the **same person** • burden cannot be shifted • e.g. Income Tax, Corporation Tax, Capital Gains Tax • generally **Progressive**
- **Indirect Tax:** impact on one person (shopkeeper/producer), incidence on another (consumer) • burden can be shifted • e.g. GST, Customs Duty
- **Nature of Indirect Tax: Regressive** — rich and poor pay the same rate on the same good
- **Progressive Tax:** tax rate rises as income rises (e.g. India's personal income tax) • reduces income inequality
- **Regressive Tax:** relative tax burden falls as income rises
- **Proportional Tax:** same tax rate whatever the income level
- **Laffer Curve: Arthur Laffer** • inverted 'U' relationship between tax rates and total tax revenue
- **Laffer Curve conclusion:** beyond an optimum point, raising the tax rate makes revenue **fall** instead of rise
- **Tax Buoyancy:** total percentage rise in tax revenue with GDP growth • includes the effect of changes in tax rates
- **Tax Elasticity:** automatic rise in tax revenue from GDP growth alone, **without any government change** in tax rates or base

Classification of Direct & Indirect Taxes and Major Committees PYQ 12

- **Direct — Personal Income Tax:** excluding agricultural income • tax on agricultural income is a **State** subject
- **Direct — Corporation Tax:** on net profits of companies
- **Direct — Minimum Alternate Tax (MAT):** on book profits of zero-tax companies
- **Direct — Capital Gains Tax:** on gains from sale of property/shares
- **Direct — Securities Transaction Tax (STT):** on purchase-sale in the stock market • since **2004**
- **Indirect — Goods and Services Tax (GST)**
- **Indirect — Customs Duty:** on imports and exports
- **Indirect — Central Excise Duty:** at present only on **petroleum products and tobacco**
- **Indirect — State Excise Duty:** on alcohol for human consumption
- **Indirect — Stamp and Registration Duty:** on transfer of immovable property
- **Wealth Tax:** abolished in Budget **2015-16**
- **Gift Tax:** abolished in **1998** • gifts above Rs 50,000 now taxable under Income Tax
- **Angel Tax:** fully abolished for all classes of investors in Budget **2024-25**
- **Raja Chelliah Committee (1991):** comprehensive tax reform in India (both direct and indirect)
- **Vijay Kelkar Committee (2002):** direct and indirect tax reform • key committee that recommended **GST**
- **L. K. Jha Committee (1977):** indirect tax reform • suggested MANVAT
- **Wanchoo Committee (1971):** direct taxes and black money
- **Parthasarathi Shome Committee (2012):** on **GAAR (General Anti-Avoidance Rules)** • GAAR effective from **1 April 2017**
- **Asim Dasgupta Committee (2000):** Empowered Committee that drafted State VAT and the GST framework
- **VAT:** first State **Haryana (2003)** • last State **Uttar Pradesh (1 January 2008)**

Goods and Services Tax (GST) PYQ 14



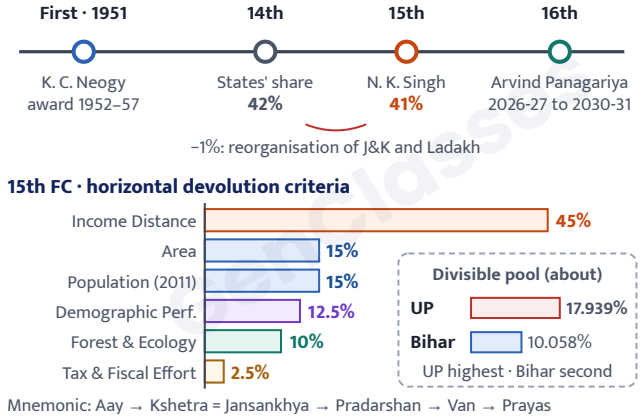
- **Constitutional basis: 101st Constitutional Amendment Act, 2016** • Bill: 122nd Amendment Bill
- **Implemented: 1 July 2017** • based on **Canada's** dual GST model
- **First GST in the world: France (1954)**
- **Ratification:** first State **Assam** • last **Jammu and Kashmir**
- **Nature: Destination-based**, multi-stage, consumption tax • **Input Tax Credit (ITC)** at every stage • ends 'tax on tax' (Cascading Effect)
- **CGST (Central GST):** on intra-state trade • levied and collected by the Centre
- **SGST (State GST):** on intra-state trade • levied and collected by the State • UTGST in Union Territories
- **IGST (Integrated GST — Article 269A):** on **inter-state trade** and **imports** • levied and collected by the **Centre**
- **IGST sharing:** later divided between the Centre and the **destination State** where the good is consumed
- **GST Council — Article 279A: Constitutional body** • constituted by the President
- **GST Council Chairperson: Union Finance Minister**
- **GST Council members:** Union Minister of State for Finance + Finance/Taxation Ministers of all States and UTs with legislature
- **Quorum: 50% (one-half)** of total members
- **Decision-making:** at least **three-fourths (75%)** majority of weighted votes of members present and voting
- **Vote weightage:** Centre = **1/3 (33.33%)** • all States together = **2/3 (66.67%)**
- **Meaning of weightage:** neither can the Centre impose a decision alone, nor can States pass a proposal without the Centre's consent

- **Tax rates (GST 2.0, from 22 September 2025):** 0% (essential foodgrains) • two main rates **5% and 18%** • **40%** on sin/luxury goods • 12% and 28% slabs removed
- **Special rates:** gold and precious stones **3%** • cut diamonds **0.25%**
- **Outside — alcoholic liquor for human consumption:** excluded from GST definition **by the Constitution itself** • Article 366(12A) • inclusion needs a Constitutional amendment
- **Outside — 5 petroleum products:** Crude Oil • High Speed Diesel • Petrol (Motor Spirit) • Natural Gas • Aviation Turbine Fuel (ATF)
- **Inclusion of petroleum:** from the date the GST Council recommends • **without Constitutional amendment**
- **Outside — others:** **Electricity** • sale of immovable property (stamp duty)

Finance Commission: 15th and 16th Finance Commission PYQ 13

Finance Commission at a Glance

Art. 280 · 1 + 4



- **Constitutional provision:** **Article 280** • constituted by the President every 5 years (or earlier) • quasi-judicial constitutional body
- **Composition:** **1 Chairman + 4 other members**
- **First Finance Commission:** constituted **1951** • Chairman **K. C. Neogy** • award period 1952–57

Feature	15th Finance Commission (2020-21 and 2021-26)	16th Finance Commission (2026-27 to 2030-31)
Chairman	**N. K. Singh (Nand Kishore Singh)**	**Dr. Arvind Panagariya** (former first Vice-Chairman, NITI Aayog)
Secretary	Arvind Mehta	**Ritvik Ranjanam Pandey**
Full-time/other members	Ajay Narayan Jha, Ashok Lahiri, Anoop Singh, Ramesh Chand	Ajay Narayan Jha, Annie George Mathew, Manoj Panda, Soumya Kanti Ghosh
Vertical Devolution / period	States' share in divisible tax pool **41%** (1% less than 14th FC's 42% — due to reorganisation of J&K and Ladakh)	Recommendations apply **1 April 2026 to 31 March 2031** (5 years)

- **15th FC — Horizontal Devolution (descending order):** criteria and weights for distribution among States
- **Income Distance:** **45%** • highest weight • the further behind in per capita income, the larger the share
- **Area:** **15%**
- **Population (Census 2011):** **15%** • 15th FC for the first time fully dropped the 1971 Census and used only **Census 2011**
- **Demographic Performance:** **12.5%** • rewards States with low fertility rate
- **Forest and Ecology:** **10%**
- **Tax and Fiscal Efforts:** **2.5%** • lowest weight
- **Uttar Pradesh's share:** **highest (about 17.939%)** among all States in the divisible pool • second **Bihar (about 10.058%)**

Mnemonic (15th FC criteria, descending): "Aay (45) ne Kshetra (15) aur Jansankhya (15) me Pradarshan (12.5) karke Van (10) me Prayas (2.5) kiya" — Aay = Income Distance > Kshetra = Area = Jansankhya = Population > Pradarshan = Demographic Performance > Van = Forest & Ecology > Prayas = Tax Effort

Points to Note

1. Tobacco products are not outside GST — they are **within GST** (28% + Compensation Cess; **40%** slab once the cess ends), and the Centre also levies **Central Excise Duty**; only **alcohol for human consumption** is fully outside
2. States do not get 41% of Surcharge (tax on tax) and Cess (tax for a specific purpose like education/health) — these are **not part of the divisible pool** (Articles 270 and 271); the Centre is not bound to share them

One-liner Facts

- **Tobin Tax:** Nobel laureate **James Tobin** • on **international currency exchange (spot currency transactions)** to curb speculation
- **Pigouvian Tax:** to control the **negative externality** of an economic activity (e.g. carbon emission/pollution)
- **Windfall Tax:** on **unexpected huge profits** of companies (especially oil and energy) from sudden favourable market conditions without extra effort
- **CENVAT (Central Value Added Tax):** introduced **2000-01** replacing MODVAT (1986) • related to Central Excise Duty
- **GST Network (GSTN):** IT infrastructure for GST • **not-for-profit (Section 8) company** • now 100% government-owned (50% Centre + 50% States)

11 Quick Chronology Matching Table

- **Establishment of Imperial Bank of India:** 1921
- **Separation of Railway Budget from General Budget (Acworth Committee):** 1924
- **Establishment of Reserve Bank of India (RBI):** 1 April 1935
- **Nationalisation of RBI:** 1 January 1949
- **First Finance Commission (K. C. Neogy):** 1951
- **Establishment of State Bank of India (SBI):** 1 July 1955
- **Decimal currency system and Minimum Reserve System:** 1 April 1957
- **Nationalisation of 14 major banks (deposits ≥ Rs 50 crore):** 19 July 1969

- **Lead Bank Scheme launched:** December 1969
- **Establishment of Regional Rural Banks (RRB):** 2 October 1975
- **Nationalisation of 6 more banks (deposits ≥ Rs 200 crore):** 15 April 1980
- **Establishment of EXIM Bank:** 1 January 1982
- **Establishment of NABARD:** 12 July 1982
- **Establishment of National Housing Bank (NHB):** 9 July 1988
- **Establishment of SIDBI (HQ: Lucknow):** 2 April 1990
- **Kisan Credit Card (KCC) scheme launched:** August 1998
- **FEMA (Foreign Exchange Management Act) in force:** 1 June 2000 • replaced FERA (1973)
- **FRBM Act in force:** 5 July 2004
- **Approval of Rupee symbol (₹):** 15 July 2010
- **Launch of Pradhan Mantri Jan-Dhan Yojana:** 28 August 2014
- **Launch of MUDRA Bank (PMMY):** 8 April 2015
- **Constitution of Monetary Policy Committee (MPC):** 2016
- **GST implemented in India:** 1 July 2017
- **Standing Deposit Facility (SDF) introduced by RBI:** April 2022
- **Period of 16th Finance Commission recommendations:** 1 April 2026 – 31 March 2031

Part 3: Agriculture, Industry, External Sector, International Organisations & Schemes

12 Indian Agriculture & Allied Sectors

Land Reforms (Zamindari Abolition, Tenancy Reforms & Ceiling) PYQ 14

- **Permanent Settlement (1793):** **Lord Cornwallis** • **19%** of British India's area (Bengal, Bihar, Odisha, Varanasi, North Karnataka)
- **Terms of Permanent Settlement:** Zamindar treated as owner of land • **10/11** of rent to the Company, **1/11** to the Zamindar
- **Ryotwari System (1792/1820):** **Thomas Munro** and **Captain Read** • first experiment **1792** in Baramahal (Tamil Nadu)
- **Extent of Ryotwari:** largest **51%** of British India (Madras, Bombay, East Bengal, Assam, Coorg) • peasant (ryot) himself owner of land
- **Mahalwari System (1822):** **Holt Mackenzie** • reformed in 1833 by **Martin Bird** ('Father of land revenue system in North India')
- **Extent of Mahalwari:** **30%** of British India (United Provinces/Uttar Pradesh, Central Provinces, Punjab) • unit of land revenue **'village or mahal'**
- **Agrarian Reforms Committee:** December **1947** • Chairman **J.C. Kumarappa** • led to Zamindari abolition in the 1950s
- **Constitutional provisions:** First Constitutional Amendment **1951** • added **Ninth Schedule** and **Articles 31A and 31B** • land reform laws kept out of judicial review
- **UP Zamindari Abolition and Land Reforms Act, 1950:** Presidential assent **26 January 1951** • in force across the State **1 July 1952**
- **Consolidation of Holdings (Chakbandi):** first voluntary consolidation **1920 Baroda** • first compulsory consolidation law **1936 Central Provinces**
- **UP Consolidation of Holdings Act:** passed **1953** • began **1954** in **Kairana** tehsil (Muzaffarnagar) and **Musafirkhana** tehsil (Sultanpur) • whole of UP **1958**
- **Bhoodan Movement:** Acharya **Vinoba Bhave** • **18 April 1951** • **Pochampalli** (Telangana/then Andhra Pradesh) • first land donor **Ramachandra Reddy**
- **Gramdan Movement:** **1952** • **Mangroth village (Hamirpur, UP)** — first Gramdan village • Koraput (Odisha) also a major centre
- **Operation Barga (1978):** **West Bengal** Government • registration and protection of rights of sharecroppers (bargadars)
- **SVAMITVA Scheme:** pilot **24 April 2020** (National Panchayati Raj Day) • nationwide **24 April 2021** • drone survey of rural inhabited areas • property card **'Gharauni'**

Points to Note

1. UP Zamindari Abolition Act is named **1950**, but came into force from **1 July 1952**
2. UP Consolidation Act is of **1953** • pilot start **1954** (Kairana and Musafirkhana) • whole State from **1958**
3. Largest area under British rule was not Zamindari (19%) — it was **Ryotwari (51%)**

Green Revolution and Various Agricultural Revolutions PYQ 28

Colour Revolutions and Fathers — Rainbow = all (2000)

Green	foodgrains · **M.S. Swaminathan** (world: Borlaug)
White	milk · **Verghese Kurien** · Operation Flood
Yellow	oilseeds · **Sam Pitroda**
Blue	fish · **Hiralal Chaudhuri**, Arun Krishnan
Pink	prawn, onion, pharma · **Durgesh Patel**
Red	meat, tomato · **Vishal Tiwari**
Golden	fruits, honey, horticulture · **Nirpakh Tutej**
Silver	eggs, poultry · **Indira Gandhi**

Other revolutions in one word

Silver Fibre	cotton	Golden Fibre	jute
Brown	fertiliser, leather	Black	petroleum
Round	potato	Almond	spices
Silent	coarse grains	Parbhani	okra
Saffron	saffron, solar	Evergreen	Swaminathan

Trap: Silver = eggs, **Silver Fibre** = cotton · **Golden Fibre** = jute

- **Father of global Green Revolution:** **Norman Borlaug** • American agricultural scientist • worked in Mexico • **1970** Nobel Peace Prize
- **Term 'Green Revolution':** first used **1968** • **William S. Gaud**
- **Father in India:** **M.S. Swaminathan** • Bharat Ratna 2024
- **Start in India:** Plan Holiday after the Third Plan, **1966-67 (Kharif)** • High Yielding Varieties Programme • Food & Agriculture Minister **C. Subramaniam**
- **Dwarf wheat varieties:** imported from Mexico **Lerma Rojo-64A** • **Sonora-63** • **Sonora-64** • later developed **Kalyan Sona** and **Sonalika**
- **Dwarfing genes:** wheat — **Norin-10** • rice — **Dee-geo-woo-gen**
- **Main rice varieties:** **IR-8** • **Jaya** ('miracle rice')
- **Three main components:** improved dwarf seeds • chemical fertilisers • assured irrigation
- **Greatest benefit:** crop — **wheat** • region — **Punjab, Haryana, Western UP**
- **Evergreen Revolution:** concept of M.S. Swaminathan • sustainable rise in farm output without ecological and social harm

- **Rainbow Revolution:** New National Agricultural Policy, July **2000** • all revolutions (Green, White, Yellow, Blue etc.) combined for holistic development
- **Green Revolution:** foodgrains (mainly wheat and rice) • M.S. Swaminathan (India), Norman Borlaug (World)
- **White Revolution (Operation Flood):** milk • **Dr. Verghese Kurien** • from 13 January 1970 • 3 phases: 1970-80, 1981-85, 1985-96
- **Yellow Revolution:** oilseeds (especially mustard and sunflower) • **Sam Pitroda** • Technology Mission on Oilseeds, 1986 under Rajiv Gandhi
- **Blue Revolution:** fish • **Dr. Hiralal Chaudhuri** and **Dr. Arun Krishnan**
- **Pink Revolution:** prawn, onion and pharmaceuticals • **Durgesh Patel**
- **Red Revolution:** meat and tomato • **Vishal Tiwari**
- **Golden Revolution:** fruits, honey and overall horticulture • **Nirpakh Tutej**
- **Silver Revolution:** eggs and poultry • **Indira Gandhi**
- **Silver Fibre Revolution:** cotton
- **Golden Fibre Revolution:** jute
- **Brown Revolution:** fertilisers, leather and non-conventional energy
- **Black Revolution:** petroleum, mineral oil and biodiesel (Jatropha)
- **Round Revolution:** potato
- **Almond (Badami) Revolution:** spices
- **Silent Revolution:** coarse grains (Shree Anna)
- **Parbhani Revolution:** okra (bhindi)
- **Evergreen Revolution (table):** holistic and sustainable agriculture through biotechnology • M.S. Swaminathan
- **Saffron Revolution:** saffron production • solar energy in energy context

Mnemonic (fathers of revolutions): "Swami ka hara khet, Kurien ka safed doodh, Pitroda ki peeli sarson, Hiralal ki neeli machhli, Durgesh ka gulabi pyaaz, Vishal ka laal tamatar, Nirpakh ka sunehra phal, Indira ka rajat anda" — Swaminathan = Green, Kurien = White, Pitroda = Yellow, Hiralal = Blue, Durgesh = Pink, Vishal = Red, Nirpakh = Golden, Indira = Silver

Cropping Pattern, Seasons & Agro-climatic Zones

PYQ 22

- **Kharif (sown June-July, harvested September-October):** paddy • jowar • bajra • maize • ragi • arhar (tur) • moong • urad • groundnut • soybean • sesame • castor • cotton • jute • sunn hemp • sugarcane • tobacco
- **Rabi (sown October-November, harvested March-April):** wheat • barley • gram • pea • masoor • mustard • rapeseed • linseed • safflower • potato • berseem
- **Zaid (sown March-April, harvested June):** watermelon • muskmelon • kakdi • cucumber • bottle gourd • ridge gourd • moong • urad • sunflower
- **Agro-climatic zones:** Planning Commission (1989, Seventh Plan) • **15 zones**
- **Agro-ecological zones:** Indian Council of Agricultural Research and National Bureau of Soil Survey & Land Use Planning • **20 zones** and **60 sub-zones**
- **Uttar Pradesh: 9 agro-climatic zones • 20 agro-ecological zones • 8 soil group zones**
- **Marginal holding:** below 1 hectare • about **68.5%** of all holdings in India • over **80%** in UP
- **Small holding:** 1 to 2 hectares
- **Semi-medium holding:** 2 to 4 hectares
- **Medium holding:** 4 to 10 hectares
- **Large holding:** above 10 hectares
- **Average holding size:** India **1.08 hectare** • UP **0.73 hectare**
- **Agriculture Census:** first **1970-71** • every **5 years** • by Ministry of Agriculture
- **11th Agriculture Census (2021-22):** first time digital, on smartphones and tablets

Minimum Support Price (MSP), CACP & Food Security

PYQ 31

- **Agricultural Prices Commission:** on recommendation of **L.K. Jha Committee (1964)** • established **1 January 1965**
- **CACP:** renamed **'Commission for Agricultural Costs and Prices'** in **1985** • attached office of Ministry of Agriculture & Farmers Welfare
- **Recommendation vs announcement:** CACP **recommends** • final **announcement and approval** by **CCEA (Cabinet Committee on Economic Affairs)** chaired by PM • twice a year (before Rabi and Kharif sowing)
- **Crops covered:** 22 + 1 = **23**
- **Cereals (7):** paddy • wheat • maize • jowar • bajra • ragi • barley
- **Pulses (5):** gram • arhar (tur) • moong • urad • masoor
- **Oilseeds (7):** groundnut • rapeseed-mustard • soybean • sesame • sunflower • safflower • nigerseed
- **Commercial crops (3):** cotton • raw jute • copra (coconut)
- **De-husked coconut:** support price fixed on the basis of copra • hence **22 notified** crops in all
- **Sugarcane (1):** not MSP — **Fair and Remunerative Price (FRP)** • before 2009 'Statutory Minimum Price' • legally binding on sugar mills under Sugarcane (Control) Order **1966**
- **Cost A2:** actual paid-out cash and kind expenses on seeds, fertilisers, pesticides, hired labour, leased land, fuel, irrigation
- **Cost A2 + FL:** A2 + imputed value of Family Labour (FL)
- **Current MSP formula: at least 1.5 times (150%) of A2 + FL** • since Budget **2018-19**
- **Cost C2 (comprehensive cost):** A2 + FL + imputed rent on owned land + interest on fixed capital
- **National Commission on Farmers (Swaminathan) recommendation: C2 + 50%**
- **Food Corporation of India (FCI):** Food Corporations Act **1964** • established **14 January 1965** at Chennai (then Madras) • present HQ **New Delhi**
- **1992 — RPDS:** Revamped Public Distribution System • in **1775** backward blocks
- **June 1997 — TPDS:** Targeted Public Distribution System • BPL and APL division
- **25 December 2000 — Antyodaya Anna Yojana (AAY): 35 kg** per month to poorest families • rice Rs 3/kg, wheat Rs 2/kg
- **National Food Security Act (NFSA), 2013:** from **5 July 2013** • rural **75%** + urban **50%** = total **67%** of population
- **NFSA entitlement:** priority households **5 kg per person per month** • Antyodaya **35 kg per household per month**

- **PM Garib Kalyan Anna Yojana:** from 1 January 2024 for next **5 years (till 2028)** • free foodgrains to about **81.35 crore** beneficiaries
- **Shanta Kumar Committee (2014-15):** FCI restructuring • buffer stock norms reform • recommended cutting beneficiary coverage **from 67% to 40%**

Points to Note

1. MSP is **recommended by CACP**, but **approved/announced by CCEA** — not by the Agriculture Ministry or NITI Aayog
2. Sugarcane **FRP** is fixed by CCEA on CACP's recommendation; UP Government additionally announces a **State Advised Price (SAP)** — usually higher than FRP
3. CACP and FCI both date to **January 1965** — but CACP is a **non-statutory** advisory body, FCI a **statutory** corporation (1964 Act)

Agricultural Credit, NABARD, Kisan Credit Card & Crop Insurance PYQ 25

- **NABARD:** recommended by **B. Sivaraman Committee** (CRAFICARD, 1979) • NABARD Act **1981** • established **12 July 1982** (Sixth Plan)
- **NABARD details:** HQ **Mumbai** • initial paid-up capital **Rs 100 crore** • after Amendment Act 2017, **100% Government of India** stake (RBI stake ended)
- **Rural Infrastructure Development Fund (RIDF):** **1995-96** • under NABARD • commercial banks falling short of Priority Sector Lending (PSL) targets deposit funds here
- **Kisan Credit Card (KCC):** **August 1998** • Finance Minister **Yashwant Sinha** • recommended by **R.V. Gupta Committee** • model prepared by NABARD
- **KCC extension:** since **2019** animal husbandry and fisheries farmers also covered
- **Regional Rural Banks (RRB):** recommended by **M. Narasimham Working Group** • established **2 October 1975**
- **First 5 RRBs:** **Prathama Bank (Moradabad, UP)** — sponsored by Syndicate Bank, India's first RRB • Gorakhpur (UP) • Bhiwani (Haryana) • Jaipur (Rajasthan) • Malda (West Bengal)
- **RRB capital structure:** Centre **50%** • sponsor bank **35%** • State **15%**
- **States without RRB:** **Sikkim** and **Goa**
- **Land Development Banks:** **long-term loans** (15 to 20 years) • first land mortgage bank **1920 Jhang (Punjab)** • real beginning **1929 Madras**
- **Short-term credit:** less than 15 months • seeds, fertilisers, wages and other running costs
- **Medium-term credit:** 15 months to 5 years • pump sets, cattle purchase, land improvement
- **Long-term credit:** 5 to 20 years • tractors, heavy machinery, purchase of new land
- **Pradhan Mantri Fasal Bima Yojana (PMFBY):** **18 February 2016** • effective from Kharif 2016
- **PMFBY premium (payable by farmers):** Kharif **2%** • Rabi **1.5%** • commercial and horticultural **5%**

Major Agricultural Boards, Institutions & Crop Production Data PYQ 26

- **Coffee Board:** 1942 • Bengaluru (Karnataka) • Ministry of Commerce & Industry
- **Rubber Board:** 1947 • Kottayam (Kerala) • Ministry of Commerce & Industry
- **Tea Board:** 1954 • Kolkata (West Bengal) • Ministry of Commerce & Industry
- **Tobacco Board:** 1976 • Guntur (Andhra Pradesh) • Ministry of Commerce & Industry
- **Spices Board:** 1987 • Kochi (Kerala) • Ministry of Commerce & Industry
- **National Jute Board:** 2009 • Kolkata (West Bengal) • Ministry of Textiles
- **National Grape Processing Board:** 2009 • Pune (Maharashtra) • Ministry of Food Processing Industries
- **National Fisheries Development Board:** 2006 • Hyderabad (Telangana) • Ministry of Fisheries, Animal Husbandry and Dairying
- **National Turmeric Board:** 2023 (notification) • **Nizamabad (Telangana)** • Ministry of Commerce & Industry
- **National Makhana Board:** announced in Budget **2025-26** • Bihar • Ministry of Agriculture & Farmers Welfare
- **NAFED (National Agricultural Cooperative Marketing Federation):** established **2 October 1958** • HQ New Delhi
- **TRIFED (Tribal Cooperative Marketing Development Federation of India):** established **1987** (functional from 1988) • Ministry of Tribal Affairs
- **AGMARK:** Agricultural Produce (Grading and Marking) Act **1937** (amended 1986) • quality certification mark
- **AGMARK offices:** central office (Directorate of Marketing and Inspection) **Faridabad (Haryana)** • Central AGMARK Laboratory **Nagpur (Maharashtra)**
- **e-NAM (National Agriculture Market):** **14 April 2016** • implemented by **Small Farmers' Agribusiness Consortium (SFAC)**
- **Total foodgrains:** 1. **Uttar Pradesh** • 2. Madhya Pradesh • 3. Punjab • UP contributes ~18% of national output
- **Wheat:** 1. **Uttar Pradesh** • 2. Madhya Pradesh • 3. Punjab • **Punjab** first in productivity per hectare
- **Rice (paddy):** 1. Telangana / West Bengal • 2. **Uttar Pradesh** • 3. Punjab • Telangana and WB on top in latest Economic Survey
- **Sugarcane and sugar:** 1. **Uttar Pradesh** • 2. Maharashtra • 3. Karnataka • UP first in sugarcane and ethanol production
- **Potato:** 1. **Uttar Pradesh** • 2. West Bengal • 3. Bihar
- **Total pulses:** 1. Madhya Pradesh • 2. Maharashtra • 3. Rajasthan
- **Pulses crop-wise:** gram — Maharashtra/MP first • arhar — Maharashtra first • **masoor and pea — Uttar Pradesh first**
- **Total oilseeds:** 1. Rajasthan • 2. Madhya Pradesh • 3. Gujarat
- **Oilseeds crop-wise:** **mustard — Rajasthan** • **groundnut — Gujarat** • **soybean — Madhya Pradesh/Maharashtra** first
- **Coarse grains (Shree Anna):** 1. Rajasthan • 2. Karnataka • 3. Madhya Pradesh
- **Coarse grains crop-wise:** **bajra — Rajasthan** • **jowar — Maharashtra** • **maize — Karnataka** first
- **Cotton:** 1. Gujarat • 2. Maharashtra • 3. Telangana
- **Jute and Mesta:** 1. West Bengal • 2. Assam • 3. Bihar

- **Milk and total livestock:** 1. **Uttar Pradesh** • 2. Rajasthan • 3. Madhya Pradesh • close contest between UP and Rajasthan • UP first in buffalo population
- **Total fruits and mango:** 1. Andhra Pradesh (total fruits) • 2. Maharashtra • 3. **Uttar Pradesh** • UP first in **mango, guava, amla**
- **Total vegetables:** 1. **Uttar Pradesh** • 2. West Bengal • 3. Madhya Pradesh

One-liner Facts

- **Handbook of Agriculture:** published by **Indian Council of Agricultural Research (ICAR)** • ICAR established **16 July 1929**
- **First Agricultural University:** **17 November 1960** • **Pantnagar** (then UP, now Uttarakhand) • Govind Ballabh Pant University of Agriculture & Technology
- **National Commission on Farmers:** constituted **18 November 2004** • Chairman **M.S. Swaminathan**
- **National Farmers' Day (Kisan Diwas):** **23 December** • birth anniversary of Chaudhary Charan Singh
- **National Food Security Mission (NFSM):** **October 2007** (11th Plan) • to raise output of rice, wheat and pulses
- **100% organic:** first State **Sikkim (2016)** • first Union Territory **Lakshadweep**

13 Industrial Sector and Infrastructure

Industrial Policy Resolutions (1948, 1956, 1991)

PYQ 16

Journey of Industrial Policies 1948 → 2002

- **6 Apr 1948** — **First Policy** · S.P. Mookerjee · **'Mixed Economy'** · 4 categories
- **30 Apr 1956** — **'Economic Constitution'** · Mahalanobis · 3 Schedules
  - A · 17 State monopoly
  - B · 12 progressively State
  - C · rest private, Licence Raj
- **1969** — **MRTP Act** · Dutt Committee
- **1977** — George Fernandes · **DIC (1978)** · 'Tiny Sector'
- **24 Jul 1991** — **New Policy · LPG** · Narasimha Rao · Manmohan Singh
- **2002** — **Competition Act** replaced MRTP · Raghavan Ctte

Compulsory licence
18 · 1991 → **4 · now**
tobacco · defence-aerospace · explosives · hazardous chem.

Reserved for public sector
17 → 8 → **2 · now**
atomic energy · parts of railway operations

- **First Industrial Policy:** 6 April 1948 • presented by independent India's first Minister of Industry and Supply **Dr. Syama Prasad Mookerjee** • laid foundation of **'Mixed Economy'**
- **4 categories of 1948:** (1) Central monopoly (arms, atomic energy, railways) • (2) 6 basic industries under State control (coal, iron-steel, aircraft, shipbuilding, telephone, mineral oil) • (3) Regulated industries (18 industries) • (4) Private and cooperative sector
- **Second Industrial Policy:** 30 April 1956 • called **'Economic Constitution of India'** • 'Bible of Mixed Economy'
- **Aim of 1956:** socialist pattern of society in line with Second Five Year Plan (Mahalanobis model) • industries in **3 Schedules**
- **Schedule-A (17 industries):** exclusive State (Government) monopoly
- **Schedule-B (12 industries):** progressively State-owned • private sector supplementary role • e.g. fertilisers, aluminium, machine tools
- **Schedule-C (all remaining industries):** open to private sector • but under Licence Raj (Industries Development and Regulation Act 1951)
- **1969:** on **Dutt Committee** recommendation, **MRTP Act 1969** (Monopolies and Restrictive Trade Practices Act)
- **Replacement of MRTP:** **Competition Act 2002** on **Raghavan Committee** recommendation
- **1977 Policy:** Janata Party Government's Industries Minister **George Fernandes** • set up **'District Industries Centres' (DIC, 1978)** • concept of **'Tiny Sector'**
- **New Industrial Policy:** 24 July 1991 • PM P.V. Narasimha Rao • Finance Minister Dr. Manmohan Singh • LPG reforms (Liberalisation, Privatisation, Globalisation)
- **1991 — Licensing:** abolished except for **18 industries** • at present licence compulsory for only **4 industries**
- **4 licensed industries:** tobacco and cigars • electronic aerospace and defence equipment • industrial explosives • hazardous chemicals
- **Reserved for public sector:** reduced from 17 to **8** • at present only **2 sectors** — atomic energy • some parts of railway operations

Maharatna, Navratna and Miniratna Companies

PYQ 21

- **Maharatna Scheme:** started December 2009 • effective from 2010
- **Maharatna eligibility (1-2):** (1) already has 'Navratna' status • (2) listed on Indian stock exchange under SEBI regulations
- **Maharatna eligibility (3-6):** in last **3 years** average annual turnover over **₹25,000 crore** • average annual net worth over **₹15,000 crore** • average annual net profit after tax over **₹5,000 crore** • significant global presence
- **Maharatna financial autonomy:** without prior Government approval may invest in one project up to **15%** of net worth or **₹5,000 crore**
- **Total Maharatnas in India:** **14** (in order below)
- **1. NTPC (2010):** National Thermal Power Corporation
- **2. ONGC (2010):** Oil and Natural Gas Corporation
- **3. SAIL (2010):** Steel Authority of India Limited
- **4. IOCL (2010):** Indian Oil Corporation Limited
- **5. CIL (2011):** Coal India Limited
- **6. BHEL (2013):** Bharat Heavy Electricals Limited
- **7. GAIL (2013):** GAIL (India) Limited
- **8. BPCL (2017):** Bharat Petroleum Corporation Limited
- **9. HPCL (2019):** Hindustan Petroleum Corporation Limited
- **10. PGCIL (2019):** Power Grid Corporation of India Limited
- **11. PFC (2021):** Power Finance Corporation
- **12. REC (September 2022):** Rural Electrification Corporation Limited
- **13. OIL (August 2023):** Oil India Limited
- **14. HAL (October 2024):** Hindustan Aeronautics Limited • **14th Maharatna** • HQ: Bengaluru
- **Navratna Scheme (1997):** Miniratna Category-I companies • 'Excellent' or 'Very Good' rating in 3 of last 5 years • composite score of **60 or more out of 100** on 6 selected parameters

- **Navratna autonomy:** investment up to **₹1,000 crore** or **15%** of net worth
- **Current Navratnas:** total **26** • e.g. Rail Vikas Nigam, IRCON, RITES, IREDA, Mazagon Dock, Solar Energy Corporation, NHPC, SJVN
- **Miniratna Scheme:** started 1997
- **Miniratna Category-I:** continuous profit in last **3 years** • pre-tax profit **₹30 crore** or more in at least one of these years • investment autonomy up to ₹500 crore
- **Miniratna Category-II:** continuous profit in last **3 years** • positive net worth • investment autonomy up to ₹300 crore
- **Administrative change (July 2021):** 'Department of Public Enterprises' (DPE) moved from Ministry of Heavy Industries to **Ministry of Finance** as a new (sixth) department

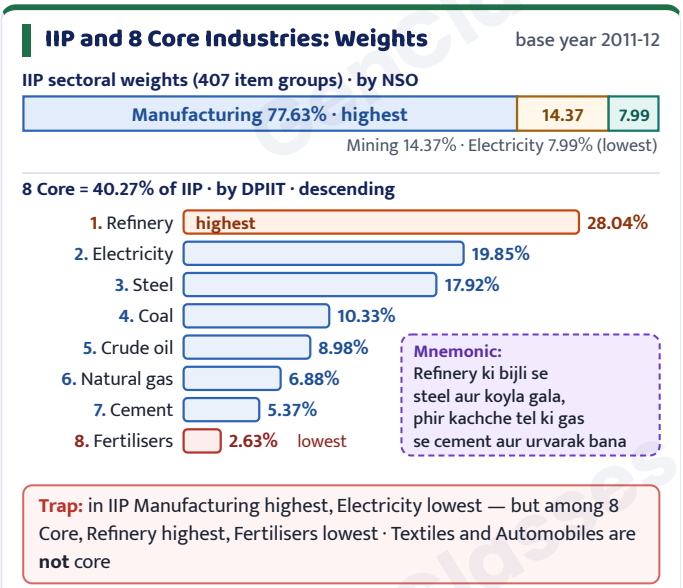
Micro, Small and Medium Enterprises (MSME) and Key Committees PYQ 19

- **MSMED Act 2006:** separate definitions for manufacturing and services sectors
- **1 July 2020 (Atmanirbhar Bharat Package):** separate definitions ended • single composite criterion based on **'Investment' and 'Annual Turnover'** for both
- **Union Budget 2025-26:** historic increase in limits • effective 1 April 2025 • investment limit 2.5 times • turnover limit 2 times

Category	From 1 July 2020 (revised 2020)	Budget 2025-26 (From 1 April 2025)
Micro	Investment ₹1 crore • Turnover up to ₹5 crore	Investment **₹2.5 crore** • Turnover up to **₹10 crore**
Small	Investment ₹10 crore • Turnover up to ₹50 crore	Investment **₹25 crore** • Turnover up to **₹100 crore**
Medium	Investment ₹50 crore • Turnover up to ₹250 crore	Investment **₹125 crore** • Turnover up to **₹500 crore**

- **Committees on small and cottage industries:** chronological • very important for matching
- **Karve Committee (1955):** Village and Small Industries Committee • development of rural and small industries in Second Five Year Plan
- **Nayak Committee (1991):** credit availability and sickness of small industries • recommended working capital loan equal to **20%** of annual turnover
- **Abid Hussain Committee (1995, report 1997):** problems of small industries • recommended **ending reservation** of small sector
- **S.S. Kohli Committee (2000):** rehabilitation of sick units in small sector
- **U.K. Sinha Committee (2019):** set up by RBI • economic and financial sustainability of MSME sector
- **SIDBI:** Small Industries Development Bank of India • established **2 April 1990** (Act of Parliament 1989) • **HQ: Lucknow (U.P.)** • apex institution for MSME financing and development
- **U.P. 'One District One Product' (ODOP):** **24 January 2018** (first Uttar Pradesh Diwas) • inspired by Japan's 'One Village One Product' model
- **ODOP matching (1):** **Kala Namak rice** – Siddharthnagar • **Jaggery** – Ayodhya and Muzaffarnagar • **Moonj products** – Amethi, Sultanpur, Prayagraj • **Terracotta** – Gorakhpur • **Wooden toys** – Chitrakoot
- **ODOP matching (2):** **Brass** – Moradabad • **Glass bangles** – Firozabad • **Perfume (Ittar)** – Kannauj • **Locks and hardware** – Aligarh • **Asafoetida (Hing)** – Hathras
- **ODOP matching (3):** **Flute** – Pilibhit • **Black pottery** – Azamgarh • **Herbs/Gaura stone craft** – Mahoba • **Tarkashi art** – Mainpuri

Index of Industrial Production (IIP), Eight Core Industries and Disinvestment PYQ 24



- **IIP released by:** **National Statistics Office (NSO)** under MoSPI (Ministry of Statistics and Programme Implementation) • **monthly**
- **IIP base year:** **2011-12** • changed from 2004-05 in May 2017
- **IIP sectoral weights (total 407 item groups):** **Manufacturing 77.63%** (highest) • Mining 14.37% • **Electricity 7.99%** (lowest)
- **Eight Core Industries — released by:** Office of the Economic Adviser, **DPIIT** (Department for Promotion of Industry and Internal Trade), Ministry of Commerce and Industry • monthly
- **Core industries — total weight in IIP:** **40.27%** • base year **2011-12**
- **Core weights in descending order (asked directly):** 1. **Refinery Products 28.04%** (highest) • 2. Electricity 19.85% • 3. Steel 17.92% • 4. Coal 10.33%
- **Core weights (contd.):** 5. Crude Oil 8.98% • 6. Natural Gas 6.88% • 7. Cement 5.37% • 8. **Fertilisers 2.63%** (lowest)

Mnemonic (8 core industries, descending): "Refinery ki bijli se steel aur koyla gala, phir kachche tel ki gas se cement aur urvarak bana" — Refinery > Electricity > Steel > Coal > Crude Oil > Natural Gas > Cement > Fertilisers

- **C. Rangarajan Committee (1993):** first major committee on disinvestment in public sector enterprises
- **Disinvestment Commission (1996):** chaired by **G.V. Ramakrishna**
- **DIPAM:** Department of Investment and Public Asset Management • Department of Disinvestment formed **1999** • renamed 'DIPAM' under Ministry of Finance in **April 2016**
- **National Investment Fund (NIF):** formed **November 2005** • restructured April 2013 — moved out of Consolidated Fund into **'Public Account'** • disinvestment proceeds go into it

Points to Note

1. In overall IIP, **Manufacturing (77.63%)** highest, **Electricity (7.99%)** lowest — but within 8 core industries, **Refinery Products (28.04%)** highest, **Fertilisers (2.63%)** lowest
2. IIP released by **NSO (Ministry of Statistics)** — 8 core index released by **DPIIT (Ministry of Commerce and Industry)**
3. Textiles and Automobiles are **not included** in the 8 core industries

Historic First Units of Major Industries and Infrastructure PYQ 18

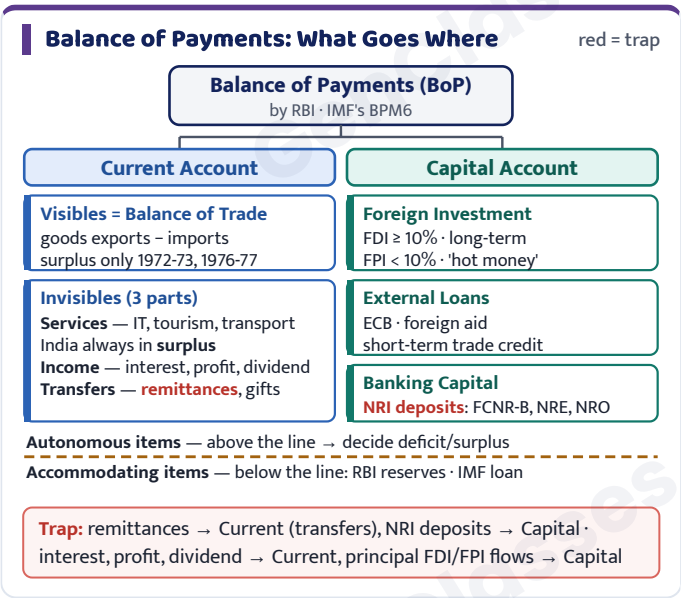
- **Iron and steel — first attempt: 1830, Porto Novo (Tamil Nadu)** • failed
- **Iron and steel — first successful modern plant: 1874, Kulti** (Barakar Iron Works, West Bengal)
- **TISCO: 1907** • Jamsetji Tata • Sakchi (Jamshedpur, Jharkhand) • confluence of Subarnarekha and Kharkai rivers
- **Second Plan — Bhilai (Chhattisgarh, 1959):** collaboration with **Soviet Union (Russia)**
- **Second Plan — Rourkela (Odisha, 1959):** collaboration with **Germany** • first under Hindustan Steel Limited
- **Second Plan — Durgapur (West Bengal, 1959/62):** collaboration with **Britain (U.K.)**
- **Third Plan — Bokaro (Jharkhand, 1964):** collaboration with **Soviet Union (Russia)**
- **Cotton textiles — first mill: 1818, Fort Gloster (Kolkata)** • failed
- **Cotton textiles — first successful modern mill: 1854, Mumbai** • **Cowasji Nanabhai Davar**
- **Cotton textiles — epithets:** Kanpur – 'Manchester of North India' • Ahmedabad – 'Manchester/Boston of India'
- **Jute — first mill: 1855, Rishra (near Kolkata)** • George Auckland
- **Paper — first machine-based mill: 1832, Serampore (West Bengal)** • failed
- **Paper — first successful: 1879 Lucknow** (Upper India Couper Paper Mills) • **1881 Titagarh**
- **Newsprint — first mill: Nepanagar (Madhya Pradesh, 1947/1955)**
- **Cement — first successful plant: 1904, Madras (Chennai)** • production by Indian Cement Company at Porbandar in 1914
- **Fertiliser — first superphosphate plant: 1906, Ranipet (Tamil Nadu)**
- **Fertiliser — first public sector plant of independent India: 1951, Sindri (Jharkhand)**
- **Aluminium — first plant: 1937, J.K. Nagar (Asansol, West Bengal)**
- **HINDALCO (1958):** Renukoot (Sonbhadra, U.P.)
- **PM Gati Shakti (National Master Plan): 13 October 2021** • multi-modal connectivity
- **7 engines of Gati Shakti:** Roads • Railways • Airports • Ports • Mass Transport • Waterways • Logistics Infrastructure
- **National Logistics Policy (NLP): 17 September 2022** • cut logistics cost from 13-14% of GDP towards global benchmark (8%) • among top 25 in Logistics Performance Index by **2030**
- **Make in India: 25 September 2014** • manufacturing growth 12-14% per year • manufacturing share in GDP up to 25% • focused on **25 sectors**

One-liner Facts

- **First Industrial Policy:** formally announced **6 April 1948** • **Abid Hussain Committee** relates to reforms in small industries
- **National Manufacturing Policy (NMP): 4 November 2011** • created 'National Investment and Manufacturing Zones' (NIMZ)
- **Competition Commission of India (CCI):** under Competition Act 2002 on **14 October 2003** • fully functional from May 2009 • HQ: New Delhi
- **MUDRA Bank: 8 April 2015** • subsidiary of SIDBI • loans: **Shishu** (up to ₹50,000) • **Kishore** (₹50,000 to ₹5 lakh) • **Tarun** (₹5 lakh to ₹10 lakh)
- **Tarun Plus:** category added in Budget 2024-25 • limit raised to **₹20 lakh**
- **Major SEZ centres of U.P.:** Noida • Greater Noida • Moradabad • Bhadohi • Agra • Kanpur
- **Handloom and textile clusters of U.P.:** Gorakhpur • Bhadohi • Varanasi • Agra • Kanpur

14 External Sector (Foreign Trade, Balance of Payments and Exchange Rate)

Balance of Payments (BoP): Current Account and Capital Account PYQ 29



- **Balance of Payments:** systematic record of all economic, monetary and financial transactions between residents of a country and rest of the world in a given period (usually 1 financial year)
- **BoP standard:** released by RBI • **IMF's BPM6** (Balance of Payments and International Investment Position Manual, 6th edition)
- **Current Account — Visible items (Balance of Trade, BoT):** export-import of physical goods only (crude oil, gold, machinery, agricultural products etc.)
- **Balance of Trade:** Exports − Imports • historically in deficit for India • surplus only in **1972-73 and 1976-77**
- **Current Account — Invisibles:** three sub-parts — Services • Income • Transfers
- **(a) Services:** software and IT, tourism, transport, insurance, banking • India's services trade always in **surplus**
- **(b) Income:** profits, interest, dividends from investment (Investment Income) • compensation of employees

- **(c) Transfers (unilateral):** money sent by migrants (**Remittances**) • gifts • grants • donations
- **Capital Account — Foreign Investment: FDI** = long-term, stable (control over physical assets and management) • **FPI/FII** = short-term in stocks and bonds • **'Hot Money'**/flight capital
- **Capital Account — External Loans/Borrowings: ECB** (External Commercial Borrowing — loans raised abroad by Indian companies) • foreign aid (bilateral and multilateral government loans) • short-term Trade Credit
- **Capital Account — Banking capital and NRI Deposits:** deposits in NRI accounts (FCNR-B, NRE, NRO)
- **Autonomous items ('above the line'):** transactions for economic gain • independent of BoP position • determine BoP deficit/surplus
- **Accommodating items ('below the line'):** change in forex reserves by RBI or borrowing from IMF to balance BoP deficit/surplus
- **Twin Deficit:** high **Fiscal Deficit** and **Current Account Deficit (CAD)** at the same time

Points to Note

1. Remittances are in **Current Account** (invisibles – transfers) — but NRI term deposits are in **Capital Account**
2. **Interest, profit, dividends** on foreign investment are in Current Account — the principal **FDI and FPI flows** are in Capital Account
3. India is the **world's top recipient** of **remittances** • over 120 billion US dollars in 2023-24

Forex Reserves, Exchange Rate and Rupee Convertibility PYQ 27

- **4 components of forex reserves (descending):** FCA > Gold > SDR > RTP
- **1. Foreign Currency Assets (FCA):** largest share (~85%) • US dollar, euro, pound sterling, Japanese yen, foreign government bonds
- **2. Gold Reserves:** gold held by RBI • second place
- **3. Special Drawing Rights (SDR):** reserve asset allocated by IMF • held by Government of India • managed through RBI
- **4. Reserve Tranche Position (RTP):** reserve with IMF • member can withdraw any time without conditions or charges
- **Devaluation:** deliberate policy decision by Government/RBI under **fixed exchange rate system** • lowering currency value against foreign currency
- **Depreciation:** automatic fall in value under **market-based (flexible) exchange rate** due to demand and supply
- **Effect of devaluation/depreciation: exports cheaper** (exports rise) • **imports costlier** (imports fall)
- **Devaluations in independent India: 3 times**
- **First — 19 September 1949:** along with devaluation of British pound • Finance Minister John Mathai • **30.5%** cut
- **Second — 6 June 1966:** after 1965 war and drought • Finance Minister Sachindra Chaudhuri • **36.5%** cut • ₹4.76 to ₹7.50 per dollar
- **Third — 1 and 3 July 1991:** BoP crisis • two stages • Finance Minister Dr. Manmohan Singh • about **18-19%** cut
- **LERMS (Liberalised Exchange Rate Management System):** Budget **1992-93** • **C. Rangarajan Committee** recommendation • from **March 1992** • **dual exchange rate** (40% at official rate, 60% at market rate)
- **March 1993:** dual rate ended • market-based unified exchange rate • rupee fully convertible on trade account
- **August 1994:** accepted **Article VIII** of IMF Agreement • **rupee fully (100%) convertible on Current Account**
- **Capital account convertibility:** still **partial** • RBI set up **S.S. Tarapore Committee** twice (**1997 and 2006**) for roadmap
- **NEER (Nominal Effective Exchange Rate):** weighted average value of rupee against basket of major trading partners' currencies (currently 6-currency and 40-currency baskets) • **no** inflation adjustment
- **REER (Real Effective Exchange Rate):** NEER adjusted for **relative inflation** of India and partners • measures real trade competitiveness
- **REER > 100:** currency overvalued • export competitiveness falls
- **FERA 1973 (Foreign Exchange Regulation Act):** stringent law • from 1 January 1974 • violation = **'criminal offence'**
- **FEMA 1999 (Foreign Exchange Management Act):** from **1 June 2000** • replaced FERA • violation = **'civil offence'**

Foreign Direct Investment (FDI), SEZ and Foreign Trade Policy (2023) PYQ 20

- **FDI vs FPI (Arvind Mayaram Committee, 2014): 10% or more** of paid-up equity capital of an Indian listed company = **FDI** • **less than 10%** = **FPI**
- **Automatic Route:** no prior approval of Government/RBI • only inform RBI after investment
- **Government Route:** prior approval of the concerned ministry/department compulsory
- **FIPB abolished: June 2017** • replaced by 'Foreign Investment Facilitation Portal' (FIFP) • administered by **DPIIT**
- **Top FDI source countries:** 1-2. **Mauritius/Singapore** • 3. USA • 4. Netherlands • 5. Japan
- **Singapore vs Mauritius: Singapore first** in annual inflows • Mauritius and Singapore top two in cumulative inflows since 2000
- **Top FDI-receiving sectors:** 1. **Services sector** (financial, banking, insurance etc.) • 2. **Computer software and hardware** • 3. Telecom/Trading
- **Top FDI-receiving states:** 1. **Maharashtra** • 2. Karnataka • 3. Gujarat • 4. Delhi
- **Asia's first EPZ: 1965, Kandla (Gujarat)** • Export Processing Zone
- **SEZ Policy:** on Chinese model • announced in Export-Import Policy of **April 2000**
- **SEZ Act 2005:** effective **10 February 2006**
- **Baba Kalyani Committee (2018):** reviewed SEZ policy • recommended WTO-compatible 'Employment and Economic Enclaves' (3Es) • basis for **'DESH Bill'**
- **Foreign Trade Policy (FTP) 2023:** effective **1 April 2023** • announced 31 March 2023 • no fixed end date/five-year term • **dynamic policy**
- **FTP 2023 target:** total exports (goods + services) **2 trillion US dollars** (2000 billion dollars) by **2030**

- **4 pillars of FTP 2023:** (1) Incentive to Remission • (2) Export promotion through collaboration (exporters, states, districts, Indian missions) • (3) Ease of Doing Business • (4) Emerging areas (e-commerce, SCOMET policy)
- **Towns of Export Excellence (TEE):** **4 new** added to earlier 39 • **3 from U.P.**
- **4 new TEEs:** **Faridabad** – apparel (Haryana) • **Moradabad** – handicrafts (U.P.) • **Mirzapur** – hand-made carpets and dari (U.P.) • **Varanasi** – handloom and handicrafts (U.P.)
- **Top trading partners:** **USA** and **China** two largest • third **United Arab Emirates (UAE)**
- **Top export destinations:** 1. **USA** • 2. UAE • 3. Netherlands
- **Trade surplus/deficit:** surplus with **USA and Netherlands** • heavy deficit with **China and Russia**
- **Top import sources:** 1. **China** • 2. Russia • 3. UAE • 4. USA/Saudi Arabia
- **Top exported items:** 1. Petroleum products • 2. Engineering goods • 3. Gems and jewellery/electronic goods and drugs
- **Top imported items:** 1. Crude petroleum and products • 2. Electronic goods • 3. Gold • 4. Coal and coke

One-liner Facts

- **Balance of Trade vs Current Account:** Balance of Trade has only **visible items** (goods trade) • Current Account has both visibles + invisibles
- **Marshall-Lerner Condition:** devaluation improves BoP only if sum of export and import demand elasticities is **greater than 1** (ex + em > 1)
- **J-Curve Effect:** right after devaluation trade deficit first **widens (worsens)** • later **improves** as exports rise
- **EXIM Bank:** Export-Import Bank of India Act 1981 • established **1 January 1982** • HQ: Mumbai
- **U.P. TEEs in FTP 2023:** **Moradabad, Mirzapur, Varanasi**

15 International Economic Organisations and Agreements

Bretton Woods Institutions: IMF and World Bank Group PYQ 34

- **Bretton Woods Conference:** July 1944 • Bretton Woods, New Hampshire (USA) • **44 countries** • 'United Nations Monetary and Financial Conference'
- **India:** founding member • Indian delegation led by **Sir C.D. Deshmukh**
- **Bretton Woods Twins:** **IMF and IBRD (World Bank)** • chief architects: John Maynard Keynes and Harry Dexter White
- **IMF established:** **27 December 1945** • operations began 1 March 1947 • HQ: Washington D.C. (USA)
- **IMF members:** **191 countries** • 190th Andorra (October 2020) • 191st (latest) **Liechtenstein (October 2024)**
- **Condition for World Bank membership:** IMF membership first is mandatory
- **Special Drawing Rights (SDR) — 'Paper Gold':** international reserve asset created by IMF in **1969** • not a physical currency, a unit of account
- **SDR basket (5 currencies, descending weight):** US Dollar 43.38% • Euro 29.31% • Chinese Yuan/Renminbi 12.28% • Japanese Yen 7.59% • British Pound Sterling 7.44%
- **Yuan's entry:** 1 October 2016 • **5th currency** of the basket
- **IMF quota and voting:** highest **USA (17.43% quota)** • then Japan, China, Germany
- **India's IMF quota:** **2.75%** • voting share 2.63% • 8th largest
- **World Bank Group:** total **5 institutions** • IBRD + IDA = collectively the 'World Bank'
- **IBRD (International Bank for Reconstruction and Development):** 1944 (1945) • loans to middle-income and creditworthy low-income developing countries • **India founding member**
- **IFC (International Finance Corporation):** **1956** • investment and loans to the **private sector** in developing countries without government guarantee • issued **'Masala Bonds'** in India • India founding member
- **IDA (International Development Association):** **1960** • **interest-free/highly concessional** long-term loans to the poorest countries • **'Soft Loan Window'** • India founding member
- **MIGA (Multilateral Investment Guarantee Agency):** **1988** • insurance/guarantee for FDI in developing countries against non-commercial (political) risks • India joined **January 1994**
- **ICSID (International Centre for Settlement of Investment Disputes):** **1966** • investment disputes between foreign investors and host states — arbitration and conciliation • **India not a member**

World Trade Organization (WTO), Agreements and Subsidy Boxes PYQ 32

- **GATT (General Agreement on Tariffs and Trade):** signed **30 October 1947**, Geneva • 23 countries (incl. India) • in force **1 January 1948**
- **Nature of GATT:** not a statutory organisation, a provisional agreement • only **trade in goods**
- **Uruguay Round (1986–1994):** **8th and last round** of GATT • Director-General **Arthur Dunkel**'s **'Dunkel Draft'**
- **Marrakesh Agreement:** **15 April 1994**, Marrakesh (Morocco) • WTO established under it on **1 January 1995**
- **WTO HQ:** **Geneva (Switzerland)** • India founding member (from 1 January 1995)
- **WTO members:** **166 countries** • 164th Afghanistan (2016) • **Comoros and Timor-Leste (East Timor)** admitted at February 2024 Abu Dhabi Ministerial Conference
- **First woman and first African Director-General:** Dr. Ngozi Okonjo-Iweala (Nigeria)
- **Ministerial Conference:** WTO's highest decision-making body • meets at least **every 2 years**
- **MC1:** **Singapore (December 1996)** • 'Singapore Issues' — investment, competition policy, transparency in government procurement, trade facilitation
- **MC4:** **Doha, Qatar (2001)** • launch of **'Doha Development Agenda'**
- **MC9:** **Bali, Indonesia (2013)** • **'Peace Clause'** for India's food security programme • Trade Facilitation Agreement (TFA)
- **MC10:** **Nairobi, Kenya (2015)** • commitment to end agricultural export subsidies
- **MC12:** **Geneva (2022)** • historic agreement on fisheries subsidies
- **MC13:** **Abu Dhabi, UAE (February-March 2024)**
- **TRIPS (Trade-Related Aspects of Intellectual Property Rights):** **7 types** — copyright • trademark • geographical indication • industrial design • patent • integrated circuit layout design • trade secrets/undisclosed information

- **GI Tag (India):** Act of 1999 • first GI tag **Darjeeling Tea (2004)** • registration valid **10 years**
- **TRIMS (Trade-Related Investment Measures):** bars restrictions on foreign investment that distort trade in goods
- **GATS (General Agreement on Trade in Services):** **4 Modes** of service supply
- **GATS Modes:** Mode 1 cross-border supply (BPO from India) • Mode 2 consumption abroad (tourism) • Mode 3 commercial presence (foreign bank branch in India) • Mode 4 movement of natural persons (Indian engineer working in USA)
- **Agreement on Agriculture (AoA):** WTO's 3 subsidy boxes (very important)
- **Green Box:** no/minimal trade distortion • agricultural research, pest control, environmental protection, direct income support to farmers (PM-KISAN) • **no limit/restriction**
- **Amber Box:** domestic support that **directly distorts** production and trade • **MSP**, fertiliser, power, irrigation, seed subsidies
- **De-minimis limit:** of value of agricultural production — **developed 5%** • **developing (incl. India) 10%** • China 8.5%
- **Blue Box:** 'Amber Box with conditions' • subsidies in return for **limiting production** (cutting livestock numbers/sown area) • currently no monetary limit
- **Red Box:** not officially in the Agreement on Agriculture • only symbolic use for prohibited subsidies in non-agricultural sector

Points to Note

1. India is a member of only 4 of the 5 World Bank Group institutions — **not of ICSID**
2. India's **MSP** and fertiliser subsidies fall in the **Amber Box** — de-minimis limit **10%** for developing countries (developed 5%)
3. SDR basket has **5 currencies** (Dollar, Euro, Yuan, Yen, Pound) — **no Swiss Franc or Indian Rupee**

Regional and Other International Organisations (ADB, NDB, AIIB, BRICS, ASEAN, BIMSTEC) PYQ 23

- **Asian Development Bank (ADB):** **19 December 1966** • HQ **Manila (Philippines)** (Mandaluyong) • **69 members** (69th Israel) • **India founding member**
- **ADB shareholding:** **Japan and USA** (equal ~15.6%) • China 6.4% • **India 4th (6.3%)** • President traditionally always from **Japan**
- **New Development Bank (NDB/BRICS Bank):** **July 2014** Fortaleza Declaration (Brazil) • operational from 2015 • HQ **Shanghai (China)**
- **NDB features:** set up by BRICS on **equal voting rights** • initial authorised capital USD 100 billion • first President **K.V. Kamath** (India)
- **NDB new members:** **Bangladesh, UAE, Egypt, Uruguay** • Algeria also approved to join
- **Asian Infrastructure Investment Bank (AIIB):** **January 2016** (agreement 2014) • HQ **Beijing (China)** • **109+ members** • **India founding member**
- **AIIB voting:** highest **China (~26.5%)** • **India second-largest shareholder (~7.6% voting)** • third Russia
- **BRICS:** **2006** • first summit **2009, Yekaterinburg (Russia)** • no permanent HQ (NDB in Shanghai)
- **Term 'BRIC':** **2001, Jim O'Neill** • South Africa joined **2010**
- **BRICS expansion:** new full members from 1 January 2024 **Egypt, Ethiopia, Iran, UAE** • **Indonesia January 2025** • Argentina declined membership

Who is in Which Group — small no. = year joined

	SAARC	BIMSTEC	SCO	BRICS	ASEAN
India	●	●	● 2017	●	✕
Pakistan	●	✕	● 2017		
Bangladesh	●	●			
Nepal · Bhutan · Sri Lanka	●	●			
Maldives · Afghanistan 2007	●	✕			
Myanmar · Thailand		●			●
Indonesia				● 2025	●
China · Russia			●	●	
Iran			● 2023	● 2024	
Kazakh, Kyrgyz, Tajik, Uzbek			●		
Belarus			● 2024		
Turkmenistan			✕		
Egypt · Ethiopia · UAE				● 2024	

● member · ✕ = exam trap, not a member

Trap: India not in ASEAN — Comprehensive Strategic Partner (2022)

- **16th BRICS Summit:** October 2024 • **Kazan (Russia)**
- **ASEAN:** **8 August 1967** (Bangkok Declaration) • HQ **Jakarta (Indonesia)** • **10 members**
- **ASEAN members:** Brunei, Cambodia, Indonesia, Laos, Malaysia, Myanmar, Philippines, Singapore, Thailand, Vietnam • East Timor approved in principle as 11th member
- **India-ASEAN:** **India not a member** • 1992 Sectoral Partner • 1996 Full Dialogue Partner • 2022 Comprehensive Strategic Partner • FTA in goods from **1 January 2010**
- **BIMSTEC:** **6 June 1997** (Bangkok Declaration) • HQ **Dhaka (Bangladesh)** • **7 members**
- **BIMSTEC members:** 5 from South Asia (**India, Bangladesh, Bhutan, Nepal, Sri Lanka**) • 2 from South-East Asia (**Myanmar, Thailand**)

Mnemonic (7 BIMSTEC countries): "MBBS ka imtihaan (NIT) Dhaka mein" — M = Myanmar, B = Bangladesh, B = Bhutan, S = Sri Lanka, N = Nepal, I = India, T = Thailand

- **SAARC:** **8 December 1985** (founded at Dhaka) • HQ **Kathmandu (Nepal)** • **8 members**
- **SAARC members:** India, Pakistan, Bangladesh, Sri Lanka, Nepal, Bhutan, Maldives • **Afghanistan (2007, 8th)**
- **SAFTA:** signed 2004, Islamabad • in force **1 January 2006**
- **Shanghai Cooperation Organisation (SCO):** **15 June 2001** ('Shanghai Five' in 1996) • HQ **Beijing (China)** • RATS at Tashkent • **10 members**
- **SCO members:** China, Russia, Kazakhstan, Kyrgyzstan, Tajikistan, Uzbekistan • **India and Pakistan (9 June 2017, Astana)** • **Iran (July 2023, 9th)** • **Belarus (July 2024, 10th)**
- **G-20:** **1999** (after Asian financial crisis) • first leaders' summit 2008 • no permanent secretariat
- **G-20 members:** 19 countries + European Union + **African Union** (September 2023, New Delhi Summit, 21st permanent member)
- **UNCTAD:** **30 December 1964** • HQ **Geneva (Switzerland)** • UN Conference on Trade and Development (permanent intergovernmental body)
- **World Economic Forum (WEF):** **1971**, Klaus Schwab • HQ **Cologny (Geneva, Switzerland)** • non-profit • annual meeting every January at **Davos**

- **OPEC: September 1960** (Baghdad Conference) • HQ **Vienna (Austria)** • Organization of the Petroleum Exporting Countries
- **OPEC founders and exits:** founders Iran, Iraq, Kuwait, Saudi Arabia, Venezuela • exited: Qatar (2019), Ecuador (2020), Angola (2024)
- **OECD (Organisation for Economic Co-operation and Development): 1961** (replaced 1948 OEEC) • HQ **Paris (France)** • 38 developed countries • **India not a member**

Points to Note

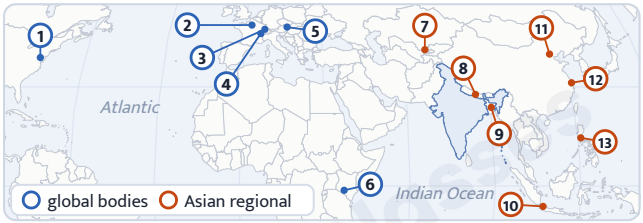
1. **BIMSTEC:** Pakistan, Maldives and Afghanistan are **not** members
2. **SCO:** Turkmenistan is **not** a member

Global Economic Reports and their Publishers

PYQ 38

HQs of Economic Bodies

no. = point on map



1. **Washington D.C.** — IMF
2. **Paris** — OECD · IEA · FATF
3. **Basel** — BIS
4. **Geneva** — WTO · UNCTAD · ILO · WIPO · WEF (Cologny)
5. **Vienna** — OPEC
6. **Nairobi** — UNEP
7. **Tashkent** — SCO's RATS
8. **Kathmandu** — SAARC
9. **Dhaka** — BIMSTEC
10. **Jakarta** — ASEAN
11. **Beijing** — AIIB · SCO
12. **Shanghai** — NDB (BRICS Bank)
13. **Manila** — ADB

Trap: Beijing = AIIB, SCO; Shanghai = NDB · WEF meets at Davos · no permanent HQ for BRICS, G-20

- **IMF: World Economic Outlook (WEO)** (twice a year — April and October) • Global Financial Stability Report (GFSR) • Fiscal Monitor
- **World Bank:** World Development Report (WDR) • **Global Economic Prospects (GEP)** • Remittances and Migration Report • Logistics Performance Index (LPI) • Human Capital Index (HCI)
- **World Bank — Business Ready (B-READY):** replaced the discontinued 'Ease of Doing Business' report
- **UNCTAD:** World Investment Report (WIR) • Trade and Development Report (TDR) • Least Developed Countries Report • Technology and Innovation Report
- **WEF:** Global Competitiveness Report • **Global Gender Gap Report** • Global Risks Report
- **WEF (contd.):** Travel and Tourism Development Index • Energy Transition Index • Future of Jobs Report
- **UNDP:** Human Development Report (HDR) and **Human Development Index (HDI)** — since 1990 • developed by Mahbub-ul-Haq and Amartya Sen
- **UNDP (contd.):** Global Multidimensional Poverty Index (Global MPI) — with Oxford Poverty and Human Development Initiative (OPHI) • **Gender Inequality Index (GII)**
- **ILO (1919, Geneva):** World Employment and Social Outlook (WESO) • Global Wage Report • World Social Protection Report
- **WIPO (1967, Geneva):** Global Innovation Index
- **IFPRI (International Food Policy Research Institute):** Global Food Policy Report
- **Global Hunger Index:** now by **Concern Worldwide and Welthungerhilfe** (not IFPRI)
- **UNEP (1972, Nairobi):** Emissions Gap Report • Adaptation Gap Report • Food Waste Index Report
- **IEA (1974, Paris):** World Energy Outlook
- **FATF (1989, Paris): set up by G-7** • combats money laundering and terror financing • **'Grey List' and 'Black List'** • India 34th member in 2010

One-liner Facts

- **WEO vs GEP:** 'World Economic Outlook' — **IMF** • 'Global Economic Prospects' — **World Bank** (the most famous confusion point in exams)
- **Gender Gap vs GII:** 'Global Gender Gap Report' — **WEF** • 'Gender Inequality Index' — **UNDP** (within Human Development Report)
- **NDB and AIIB:** NDB — **2014 Fortaleza Declaration (6th BRICS Summit)** • in AIIB **India second-largest shareholder** after China
- **ILO:** only **tripartite agency** of the UN (governments, employers, workers) • Nobel Peace Prize **1969**
- **Bank for International Settlements (BIS):** established **1930** • HQ **Basel (Switzerland)** • **'Basel Norms' (Basel-I, II, III)** — capital adequacy of banks

16 Major Government Schemes of the Centre and Uttar Pradesh (Chronology and Matching Special)

Historic Schemes from Independence to before 2014 (Chronology Question Bank)

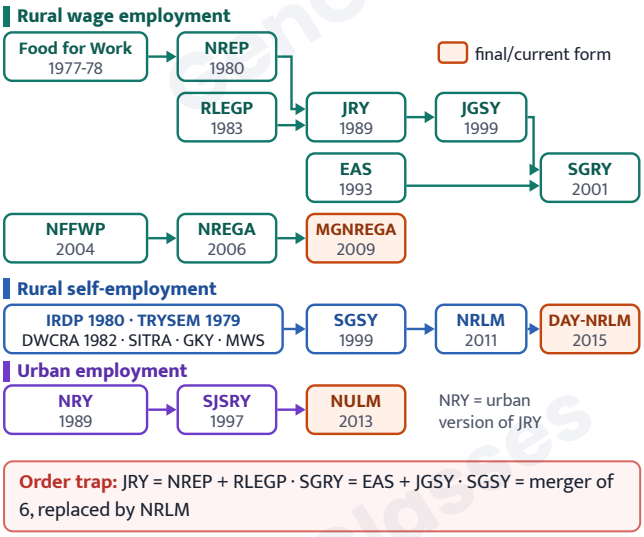
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- **Exam trend:** UPPCS asks at least 2-3 questions every year — chronology of old schemes or list-matching
- **Community Development Programme (CDP): 2 October 1952** • with support of USA's **Ford Foundation** • first programme for all-round rural development
- **National Extension Service (NES): 2 October 1953** • extension of CDP • reviewed by **1957 Balwant Rai Mehta Committee**
- **Intensive Agricultural District Programme (IADP): 1960-61** • **'Package Programme'** • raising foodgrain output in selected districts
- **Food for Work Programme: 1977-78** • Fifth Five-Year Plan • Janata Party government
- **Antyodaya Yojana (first time): 1977-78** • first by **Rajasthan** • upliftment of poor families
- **TRYSEM: 15 August 1979** • Training of Rural Youth for Self-Employment • 18-35 years
- **Integrated Rural Development Programme (IRDP): 2 October 1980** • Sixth Plan • poverty alleviation and rural self-employment • proposed 1978-79, nationwide from 2 October 1980
- **National Rural Employment Programme (NREP): October 1980** • restructured Food for Work
- **DWCRA: September 1982** • Development of Women and Children in Rural Areas • sub-scheme of IRDP
- **Rural Landless Employment Guarantee Programme (RLEGP): 15 August 1983** • first attempt at 100-day employment guarantee for landless rural workers

- **Indira Awaas Yojana (IAY): 1985-86** • sub-scheme of RLEGP • independent scheme **1 January 1996** • became PMAY-Gramin in 2016
- **Jawahar Rozgar Yojana (JRY): 1 April 1989** • Seventh Plan • merger of **NREP + RLEGP**
- **Nehru Rozgar Yojana (NRY): October 1989** • employment for urban poor • urban version of JRY

Scheme Lineage: Mergers and Renaming

1977 → 2015



Order trap: JRY = NREP + RLEGP · SGRY = EAS + JGSY · SGSY = merger of 6, replaced by NRLM

- **Prime Minister's Rozgar Yojana (PMRY): 2 October 1993** • self-employment for educated unemployed youth
- **Employment Assurance Scheme (EAS): 2 October 1993** • drought-prone, desert, tribal blocks (1778 blocks) • 100 days unskilled work in agricultural lean season
- **Mahila Samridhi Yojana: 2 October 1993** • savings habit among rural women via post office accounts
- **MPLADS (Members of Parliament Local Area Development Scheme): 23 December 1993** • P.V. Narasimha Rao • **Rs 5 crore per year** per MP • implemented by Ministry of Statistics
- **National Social Assistance Programme (NSAP): 15 August 1995** • Article 41 • social pensions to elderly, widows, persons with disabilities
- **Mid-Day Meal Scheme: 15 August 1995** • enrolment, attendance, nutrition in primary schools • **renamed 'PM-POSHAN' in September 2021**
- **Sangam Yojana: 15 August 1996** • organising rural **persons with disabilities** into groups with Rs 15,000 aid • a UPPCS favourite
- **Ganga Kalyan Yojana: 1 February 1997** • financial aid to small and marginal farmers for groundwater and tubewell irrigation
- **Swarna Jayanti Shahari Rozgar Yojana (SJSRY): 1 December 1997** • merged old urban schemes incl. Nehru Rozgar Yojana • became NULM in 2013
- **Balika Samridhi Yojana: 15 August 1997**
- **Kasturba Gandhi Balika Vidyalaya Scheme: August 2004** • residential schools for SC/ST/OBC and minority girls in educationally backward blocks
- **Swarnajayanti Gram Swarozgar Yojana (SGSY): 1 April 1999** • **merger of 6 schemes** — IRDP, TRYSEM, DWCRA, SITRA, GKY, MWS • Self-Help Group (SHG) based
- **Jawahar Gram Samridhi Yojana (JGSY): 1 April 1999** • restructured JRY • rural infrastructure
- **Annapurna Scheme: 1 April 2000** (announced in 1999-2000 Budget) • **10 kg free foodgrain** per month to destitute senior citizens not getting old-age pension
- **Janashree Bima Yojana: 10 August 2000** • insurance for rural-urban workers below and marginally above poverty line
- **Pradhan Mantri Gramodaya Yojana (PMGY): 2000-2001** • 5 basic village needs — primary health, primary education, rural housing, drinking water, nutrition
- **Pradhan Mantri Gram Sadak Yojana (PMGSY): 25 December 2000** • Atal Bihari Vajpayee • unconnected villages of 500+ (hill/tribal 250+) population linked by all-weather roads
- **Antyodaya Anna Yojana (AAY): 25 December 2000** • 35 kg foodgrain at subsidised rate to the poorest of BPL families
- **Sarva Shiksha Abhiyan (SSA): 2001 (2000-01)** • free and compulsory elementary education for all children 6-14 years • 86th Constitutional Amendment 2002, Article 21A
- **Sampoorna Grameen Rozgar Yojana (SGRY): 25 September 2001** • merger of **EAS + JGSY**
- **Valmiki Ambedkar Awas Yojana (VAMBAY): December 2001** • housing and community toilets for urban slum dwellers
- **Swajaldhara Yojana: 25 December 2002** • rural drinking water through community participation • 10% cost by village community, 90% Centre
- **Hariyali Yojana: 27 January 2003** • wasteland development, rainwater harvesting, watershed management through Panchayati Raj Institutions
- **Vande Mataram Scheme: 9 February 2004** • free antenatal check-up for pregnant women on the 9th of every month by government and private doctors • forerunner of Surakshit Matritva Yojana
- **National Food for Work Programme (NFFWP): 14 November 2004** • supplementary wage employment in 150 most backward districts • later merged into NREGA
- **National Rural Health Mission (NRHM): 12 April 2005** • affordable and accessible rural healthcare • **ASHA** workers • merged with NUHM in 2013 to form NHM
- **Janani Suraksha Yojana (JSY): 12 April 2005** • reducing maternal and infant mortality via institutional deliveries • 100% centrally sponsored under NRHM
- **Bharat Nirman: 16 December 2005** • **6 components** of rural infrastructure — irrigation, rural roads, rural housing, rural drinking water, rural electrification, rural telephone connectivity
- **Jawaharlal Nehru National Urban Renewal Mission (JNNURM): 3 December 2005** • modernisation of urban infrastructure
- **MGNREGA:** Act **September 2005** • launched **2 February 2006** from **Bandlapalli village** (Anantapur, Andhra Pradesh) in **200 districts** • all-India from **1 April 2008**
- **MGNREGA (contd.):** renamed from 'NREGA' to 'Mahatma Gandhi National Rural Employment Guarantee Act' on **2 October 2009** • legal right to 100 days unskilled work • at least **1/3 (33%) beneficiaries women**
- **Rashtriya Swasthya Bima Yojana (RSBY): 1 April 2008** • Rs 30,000 cashless health insurance for BPL unorganised-sector families • subsumed in Ayushman Bharat
- **Pradhan Mantri Adarsh Gram Yojana (PMAGY): 2009-2010** • integrated development of villages with **over 50% SC population**

- **Swavalamban Yojana: 2010-2011** • co-contributory pension for unorganised-sector workers • replaced by Atal Pension Yojana in 2015
- **National Rural Livelihood Mission (NRLM - Aajeevika): 3 June 2011** • from Banswara (Rajasthan) • **replaced SGSY** • renamed 'Deendayal Antyodaya Yojana - DAY-NRLM' in November 2015
- **Swabhimaan Scheme: 10 February 2011** • banking services to unbanked villages with 2,000+ population
- **SABLA (Rajiv Gandhi Scheme for Empowerment of Adolescent Girls): 19 November 2010 / 2011** • nutrition, health, skills of girls aged 11-18
- **National Urban Livelihood Mission (NULM): 23 September 2013** • replaced SJSRY

Mnemonic (6 Bharat Nirman components): "Bijli, paani, sadak, makaan, sinchai aur telephone mahaan" — Bijli = electrification, Paani = drinking water, Sadak = rural roads, Makaan = rural housing, Sinchai = irrigation, Telephone = connectivity

Points to Note

1. **Golden rule of chronology:** CDP (1952) → TRYSEM (1979) → IRDP (1980) → RLEGP (1983) → JRY (1989) → EAS/PMRY (1993) → NSAP/Mid-Day Meal (1995) → SGSY/JGSY (1999) → PMGSY/AAY (2000) → SGRY (2001) → NRHM/Bharat Nirman (2005) → NREGA (2006) → NRLM (2011)
2. **Bharat Nirman:** 'rural education' or 'rural health' are **not** components — used as distractors in options
3. **Sangam Yojana (1996):** not about linking rivers — about **welfare of persons with disabilities**

Major Central Flagship Schemes from 2014 to 2026

PYQ 42

- **Pradhan Mantri Jan-Dhan Yojana (PMJDY): 28 August 2014** (announced 15 August 2014) • Ministry of Finance • world's largest financial inclusion scheme • motto **"Mera Khata, Bhagya Vidhata"**
- **PMJDY provisions:** zero-balance account • **Rs 2 lakh accident insurance** (accounts opened after 28 August 2018; earlier Rs 1 lakh) • **Rs 10,000 overdraft** (earlier Rs 5,000)
- **PMJDY data: over 55.6% accounts held by women** • most accounts in **Uttar Pradesh**
- **Make in India: 25 September 2014** • Ministry of Commerce and Industry (DPIIT) • India as global design and manufacturing hub • logo: walking lion made of gears
- **Swachh Bharat Mission (SBM): 2 October 2014** • Ministry of Jal Shakti (rural) and Ministry of Housing and Urban Affairs • target ODF by **2 October 2019** (Gandhi's 150th birth anniversary)
- **SBM-Gramin Phase-II: 2020-21 to 2024-25** • ODF Plus and solid-liquid waste management
- **Saansad Adarsh Gram Yojana (SAGY): 11 October 2014** • Ministry of Rural Development • Jayaprakash Narayan's birth anniversary • MPs adopt gram panchayats • no separate budget allocation
- **Shramev Jayate (Pandit Deendayal Upadhyay): 16 October 2014** • Ministry of Labour and Employment • **12-digit Universal Account Number (UAN)** for organised-sector workers
- **Mission Indradhanush: 25 December 2014** • Ministry of Health and Family Welfare • **immunisation** of children up to 2 years and pregnant women
- **Mission Indradhanush diseases:** initially 7 — diphtheria, whooping cough, tetanus, polio, TB, measles, hepatitis-B • later 12 vaccines
- **HRIDAY Scheme: 21 January 2015** • Ministry of Housing and Urban Affairs • National Heritage City Development and Augmentation Yojana • **12 heritage cities** • from UP **Varanasi and Mathura**
- **Beti Bachao, Beti Padhao: 22 January 2015** • **Panipat (Haryana)** • improving Child Sex Ratio (CSR) and girls' education
- **Beti Bachao — 3 ministries:** Women and Child Development • Health and Family Welfare • Ministry of Education
- **Sukanya Samriddhi Yojana: 22 January 2015** • Panipat (Haryana) / Ministry of Finance • account for girl child **below 10 years** • maximum 2 daughters
- **Sukanya deposits:** minimum Rs 250 • maximum Rs 1.5 lakh per year • tax-free under **Section 80C**
- **Soil Health Card Scheme: 19 February 2015** • **Suratgarh (Sri Ganganagar, Rajasthan)** • motto **"Swasth Dhara, Khet Hara"** • every **3-year** cycle
- **Soil Health Card — 12 parameters:** macro-nutrients N, P, K • secondary S • micro-nutrients Zn, Fe, Cu, Mn, Bo • physical pH, EC, OC
- **Pradhan Mantri MUDRA Yojana (PMMY): 8 April 2015** • Ministry of Finance • collateral-free loans to non-corporate, non-farm small and micro enterprises
- **MUDRA categories:** Shishu (up to 50 thousand) • Kishore (50 thousand-5 lakh) • Tarun (5-10 lakh) • **Tarun Plus (10-20 lakh, Budget 2024-25)**
- **UJALA: 1 May 2015** • Ministry of Power (through EESL) • 'Unnat Jyoti by Affordable LEDs for All' • low-cost LED bulbs
- **PM Suraksha Bima Yojana (PMSBY): 9 May 2015** • **Kolkata** (Ministry of Finance) • **18-70 years** • accident cover: death/total disability **2 lakh**, partial 1 lakh • premium Rs 20 per year
- **PM Jeevan Jyoti Bima Yojana (PMJJBY): 9 May 2015** • **Kolkata** (Ministry of Finance) • **18-50 years** • **2 lakh** on death due to any cause • premium Rs 436 per year
- **Atal Pension Yojana (APY): 9 May 2015** (effective 1 June 2015) • **Kolkata** • run by PFRDA • unorganised workers aged **18-40** (not income-tax payers)
- **APY pension:** after **60 years**, guaranteed **Rs 1,000 to Rs 5,000** per month
- **AMRUT and Smart City Mission: 25 June 2015** • Ministry of Housing and Urban Affairs • 100 smart cities • water supply and sewerage in 500 cities • AMRUT 2.0 — **1 October 2021**
- **Digital India Mission: 1 July 2015** • Ministry of Electronics and IT • **9 pillars** • digitally empowered society and knowledge economy
- **Skill India (PMKVY): 15 July 2015** • Ministry of Skill Development and Entrepreneurship • World Youth Skills Day • PMKVY 4.0 under way
- **Startup India: 16 January 2016** • DPIIT (Ministry of Commerce and Industry) • innovation and startup ecosystem • **16 January** = **National Startup Day**
- **Setu Bharatam: 4 March 2016** • Ministry of Road Transport and Highways • all National Highways free of railway level crossings by 2019 (ROB/RUB)
- **Stand-Up India: 5 April 2016** • **Noida (Uttar Pradesh)** (Ministry of Finance) • every bank branch to at least **one SC/ST** and **one woman** borrower

- **Stand-Up India loan:** **Rs 10 lakh to Rs 1 crore** for greenfield enterprises • extended till 2025
- **Pradhan Mantri Ujjwala Yojana (PMUY):** **1 May 2016** • **Ballia (Uttar Pradesh)** • Ministry of Petroleum and Natural Gas • motto **"Swachh Indhan, Behtar Jeevan"** • free LPG connections to BPL women
- **Ujjwala 2.0:** **10 August 2021** • **Mahoba (Uttar Pradesh)**
- **PM Awas Yojana-Gramin (PMAY-G):** **20 November 2016** • **Agra (Uttar Pradesh)** • Urban: 25 June 2015 • aid: plains Rs 1.20 lakh, hilly/difficult Rs 1.30 lakh
- **PMAY — Budget 2024-25:** over 5 years 2 crore additional rural + 1 crore urban = **total 3 crore** new houses
- **Pradhan Mantri Vaya Vandana Yojana (PMVVY):** **21 July 2017** • Ministry of Finance (run by LIC) • pension for senior citizens **60 years or above**
- **Saubhagya (Pradhan Mantri Sahaj Bijli Har Ghar Yojana):** **25 September 2017** • Ministry of Power • nodal agency **REC** • last-mile electricity connections to all un-electrified rural and urban households
- **National Nutrition Mission (POSHAN Abhiyaan):** **8 March 2018** • **Jhunjhunu (Rajasthan)** • Ministry of Women and Child Development
- **POSHAN Abhiyaan goals:** children (0-6 years), adolescent girls, pregnant women — reduce stunting, undernutrition, anaemia • subsumed in Saksham Anganwadi and Poshan 2.0
- **PM-AASHA:** **September 2018** • Ministry of Agriculture and Farmers Welfare • 'Pradhan Mantri Annadata Aay Sanrakshan Abhiyan'
- **3 components of PM-AASHA:** Price Support Scheme (PSS) • Price Deficiency Payment Scheme (PDPS) • Private Procurement and Stockist Scheme (PPSS)
- **Ayushman Bharat-PM Jan Arogya Yojana (PM-JAY):** **23 September 2018** • **Ranchi (Jharkhand)** • world's largest health assurance scheme • **Rs 5 lakh** per family per year cashless secondary-tertiary care
- **PM-JAY update (2024):** all senior citizens **70 years and above** (irrespective of income) — Rs 5 lakh free health cover
- **First component of Ayushman Bharat:** Health and Wellness Centres (now **Ayushman Arogya Mandir**) • **14 April 2018, Bijapur (Chhattisgarh)**
- **PM-KUSUM:** **February/March 2019** • Ministry of New and Renewable Energy • Kisan Urja Suraksha evam Utthan Mahabhiyan • solar pumps on farms and grid-connected solar plants • extended till March 2026
- **PM Shram Yogi Maan-dhan (PM-SYM):** in force **15 February 2019** • launched 5 March 2019, Vastral (Gujarat) • Ministry of Labour and Employment (through LIC)
- **PM-SYM eligibility and benefit:** unorganised workers **18-40 years** • monthly income **Rs 15,000 or less** • fixed pension **Rs 3,000 per month** after 60
- **PM Kisan Samman Nidhi (PM-KISAN):** **24 February 2019** (effective **1 December 2018**) • **Gorakhpur (Uttar Pradesh)** • Ministry of Agriculture • 100% centrally funded
- **PM-KISAN benefit:** all landholding farmer families get **Rs 6,000 per year** • three equal four-monthly instalments of Rs 2,000 • direct income support
- **Jal Jeevan Mission (Har Ghar Jal):** **15 August 2019** • Ministry of Jal Shakti • **55 litres per capita per day** safe drinking water via Functional Household Tap Connections (FHTC)
- **Jal Jeevan Mission (contd.):** first 'Har Ghar Jal' certified state **Goa** • first UT Dadra and Nagar Haveli and Daman and Diu • **extended till 2028 in Budget 2025-26**
- **PM SVANidhi:** **1 June 2020** • Ministry of Housing and Urban Affairs • collateral-free working capital loans to street vendors • instalments Rs 10,000 → 20,000 → 50,000 • implemented by **SIDBI**
- **Garib Kalyan Rozgar Abhiyaan:** **20 June 2020** • **Telihar village (Khagaria, Bihar)** • 125 days of work for returning migrant workers • **6 states, 116 districts** (31 of UP)
- **Pradhan Mantri Matsya Sampada Yojana (PMMSY):** **10 September 2020** • Ministry of Fisheries • Blue Revolution • Rs 20,050 crore • 5 years (2020-25)
- **e-SHRAM Portal:** **26 August 2021** • Ministry of Labour and Employment • first national database of unorganised workers • 16-59 years • 12-digit e-Shram card
- **PM MITRA Parks:** **October 2021** • Ministry of Textiles • 5F vision (Farm → Fibre → Factory → Fashion → Foreign) • **7 Mega Integrated Textile Region and Apparel Parks**
- **PM MITRA Park locations:** **Uttar Pradesh (Lucknow-Hardoi border, 1000 acres)** • Tamil Nadu (Virudhunagar) • Telangana (Warangal) • Gujarat (Navsari) • Karnataka (Kalaburagi) • Madhya Pradesh (Dhar) • Maharashtra (Amravati)
- **Agnipath Scheme:** **14 June 2022** • Ministry of Defence • youth aged 17.5-21 into the three services for **4 years** as 'Agniveers' • 25% retained in permanent cadre
- **Mahila Samman Savings Certificate:** **Budget 2023-24 (April 2023)** • Ministry of Finance • 2-year small savings for women and girls • max deposit **Rs 2 lakh** at **7.5% fixed interest**
- **MISHTI and Amrit Dharohar:** **Budget 2023-24** (launched 5 June 2023) • Ministry of Environment, Forest and Climate Change
- **MISHTI vs Amrit Dharohar:** MISHTI — coastal **mangrove plantation** • Amrit Dharohar — conservation and eco-tourism of **Ramsar sites (wetlands)** over next 3 years
- **PM Vishwakarma Yojana:** **17 September 2023** (Vishwakarma Jayanti) • Ministry of MSME • **100% centrally sponsored** • Rs 13,000 crore (2023-24 to 2027-28) • **18 traditional trades**
- **PM Vishwakarma benefits:** certificate • Rs 15,000 toolkit e-voucher • collateral-free loan **up to Rs 3 lakh** at **5% concessional interest** (1st tranche 1 lakh, 2nd 2 lakh)
- **PM-JANMAN:** **15 November 2023** (Janjatiya Gaurav Divas) • **Khunti (Jharkhand)** • Ministry of Tribal Affairs • Pradhan Mantri Janjati Adivasi Nyaya Maha Abhiyan
- **PM-JANMAN coverage:** 18 states + 1 UT • **75 Particularly Vulnerable Tribal Groups (PVTGs)** • **11 critical interventions** of 9 ministries • budget ~Rs 24,104 crore
- **Lakhpati Didi Scheme:** **15 August 2023** (announcement) • Ministry of Rural Development (under DAY-NRLM) • skills for SHG women (drone didi, LED bulb making, plumbing) • annual household income at least **Rs 1 lakh**
- **Lakhpati Didi target:** raised **from 2 crore to 3 crore** in Budget 2024-25
- **Namo Drone Didi:** **November 2023** • Ministry of Agriculture • 2024-25 to 2025-26 • drones to **15,000 selected women SHGs** • rental agri-services (liquid fertiliser and pesticide spraying) • central subsidy 80% or max Rs 8 lakh

- **PM Surya Ghar: Muft Bijli Yojana: 13 February 2024** (Cabinet approval 15 February 2024) • Ministry of New and Renewable Energy • Rs 75,021 crore • **1 crore households** • **up to 300 units free electricity** per month
- **Surya Ghar subsidy:** 1-2 kW Rs 30,000 to Rs 60,000 • 3 kW or more Rs 78,000
- **Dharti Aaba Janjatiya Gram Utkarsh Abhiyan: 2 October 2024** • **Hazaribagh (Jharkhand)** • Rs 79,156 crore • **63,000+ tribal-majority villages** in 30 states/UTs • 5 crore+ tribal people • 25 schemes of 17 ministries
- **PM Vidyalaxmi Scheme: November 2024** (Cabinet approval) • Ministry of Education • collateral-free, guarantor-free education loans to meritorious students in top 860 Quality Higher Education Institutions (QHEIs)
- **Vidyalaxmi interest support:** family income up to Rs 8 lakh • **3% interest subvention** on loans up to Rs 10 lakh
- **PM Dhan-Dhaanya Krishi Yojana: Budget 2025-26** • Ministry of Agriculture and Farmers Welfare • inspired by 'Aspirational Districts Programme' • in partnership with states
- **Dhan-Dhaanya target: 100 agricultural districts** with low productivity, moderate crop intensity, below-average credit parameters • **1.7 crore farmers** to benefit

Major Schemes of Uttar Pradesh and Budget 2025-26 / 2026-27 Special PYQ 28

- **Mukhyamantri Kanya Sumangala Yojana:** launched **25 October 2019**, Lucknow (in force 1 April 2019) • eligibility: annual family income max **Rs 3 lakh** • at most two daughters in family
- **Kanya Sumangala amount: 6 stages** from birth to graduation/diploma admission • **raised from Rs 15,000 to Rs 25,000 from FY 2024-25**
- **Kanya Sumangala stages:** birth 5,000 • 1-year vaccination 2,000 • Class 1 admission 3,000 • Class 6 admission 3,000 • Class 9 admission 5,000 • graduation/2-year diploma admission Rs 7,000
- **Mukhyamantri Abhyudaya Yojana: 15 February 2021** (classes from Vasant Panchami) • preparation for UPSC/UPPCS, NEET, JEE, NDA, CDS etc. • **free coaching and mentoring** at division and district level
- **Mukhyamantri Yuva Udyami Vikas Abhiyan (MYUVA):** announced in Budget **2024-25** • widely implemented from **24 January 2025** • **1 lakh young entrepreneurs** every year (10 lakh in 10 years)
- **MYUVA loan: interest-free, collateral-free loan up to Rs 5 lakh** for micro-enterprises after skill training
- **Mukhyamantri Krishak Durghatna Kalyan Yojana:** approved **21 January 2020** (effective 14 September 2019) • farmer and earning family members (incl. sharecroppers, 18-70 years) • **Rs 5 lakh** on accidental death/total disability
- **Mukhyamantri Bal Seva Yojana: May 2021** • **Rs 4,000 per month** to children orphaned by COVID-19 • Rs 1,01,000 for education and girls' marriage • Rs 2,500 per month to children orphaned by non-COVID causes (general category)
- **Swami Vivekananda Yuva Sashaktikaran Yojana: August/December 2021** • **free smartphones and tablets** to graduate, postgraduate, technical and diploma students for digital empowerment
- **Panchamrit Yojana (Uttar Pradesh): August 2022** • doubling sugarcane farmers' income and cutting cost • **5 techniques** — trench-method sowing, ratoon management, mulching/trash spreading, drip irrigation, intercropping
- **Nand Baba Dugdh Mission: June 2023** • Rs 1,000 crore • keeping UP the leader in dairy development and milk production • fair milk price for livestock farmers in their village
- **Under Nand Baba Mission:** 'Nandini Krishak Samriddhi Yojana' • 'Mukhyamantri Swadeshi Gau-Samvardhan Yojana'
- **One District One Sport (ODOS): December 2022** • on the lines of ODOP • sports of 10 districts changed under 'Khelo India'
- **ODOS — Athletics: Mainpuri, Etawah, Jaunpur, Ballia**
- **ODOS — Wrestling: Mathura, Budaun, Ambedkar Nagar, Shravasti, Siddharthnagar, Sant Kabir Nagar, Bahraich, Hathras**
- **ODOS — Badminton and Swimming:** Badminton **Aligarh, Gautam Buddh Nagar** • Swimming **Pilibhit**
- **ODOS — Hockey: Jhansi, Lucknow, Rae Bareli, Hardoi, Farrukhabad, Moradabad, Pratapgarh**

One-liner Facts

- **5 central schemes launched from UP:** Ujjwala 1.0 (**Ballia**, 1 May 2016) • Ujjwala 2.0 (**Mahoba**, 10 August 2021) • Stand-Up India (**Noida**, 5 April 2016) • PM-KISAN (**Gorakhpur**, 24 February 2019) • PMAY-Gramin (**Agra**, 20 November 2016)
- **Kanya Sumangala: Rs 25,000 in 6 stages** from birth to graduation (earlier 15,000)
- **PM Surya Ghar (February 2024): 1 crore families** • **up to 300 units free electricity** every month
- **PM Dhan-Dhaanya Krishi Yojana (Budget 2025-26): 100 low-productivity agricultural districts** • **1.7 crore farmers** to benefit
- **SGSY → NRLM:** Swarnajayanti Gram Swarozgar Yojana (1 April 1999) restructured on **3 June 2011** into **National Rural Livelihood Mission (NRLM)**

Part 4: Economy of Uttar Pradesh, Union Budget 2026-27 & Economic Survey

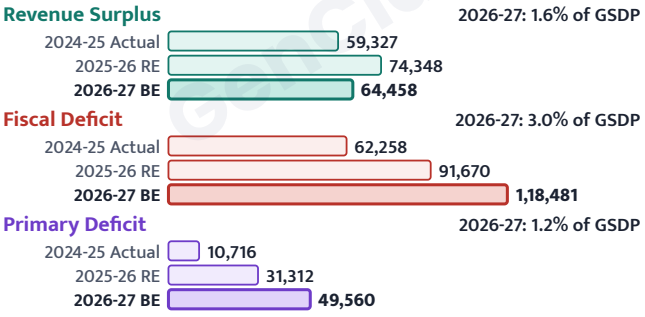
17 Uttar Pradesh Budget 2026-27 & Economic Survey 2025-26: Key Figures PYQ 28

Uttar Pradesh Budget 2026-27: Key Fiscal Indicators

- **Presentation:** February 2026 • State Finance Minister **Suresh Kumar Khanna** • **largest budget** in the state's history so far
- **Total Budget Size (Total Expenditure): Rs 9,12,696 crore** • net expenditure excluding debt repayment (Rs 61,795 crore) **Rs 8,50,901 crore** • 26% higher than 2025-26 Revised Estimates
- **GSDP (2026-27 estimated, current prices): Rs 39,75,500 crore** (about **Rs 39.8 lakh crore**) • **28% growth** over 2025-26 Revised Estimates (Rs 31,00,914 crore)
- **Total Receipts (2026-27): Rs 8,48,233 crore** • net receipts excluding borrowings (Rs 1,15,813 crore) **Rs 7,32,420 crore**
- **Revenue Receipts: Rs 7,28,928 crore** • State's own resources **50%** (Rs 3,61,245 crore) • transfers from Centre **50%** (Rs 3,67,683 crore)
- **State's Own Tax Revenue: Rs 3,34,491 crore** • 8.4% of GSDP
- **State's Share in Central Taxes: Rs 2,68,911 crore** • 36.9% of total revenue receipts
- **Revenue Expenditure: Rs 6,64,471 crore** • 31% higher than 2025-26 Revised Estimates
- **Capital Outlay:** about **Rs 1,78,000 crore** • about 19.5% to 20% of total budget

- **Revenue Surplus:** 2024-25 (Actuals) Rs 59,327 crore • 2025-26 (RE) Rs 74,348 crore • 2026-27 (BE) **Rs 64,458 crore** = **1.6%** of GSDP (surplus)
- **Fiscal Deficit:** 2024-25 (Actuals) Rs 62,258 crore • 2025-26 (RE) Rs 91,670 crore • 2026-27 (BE) **Rs 1,18,481 crore** = **3.0%** of GSDP (exactly 2.98%)

UP fiscal indicators

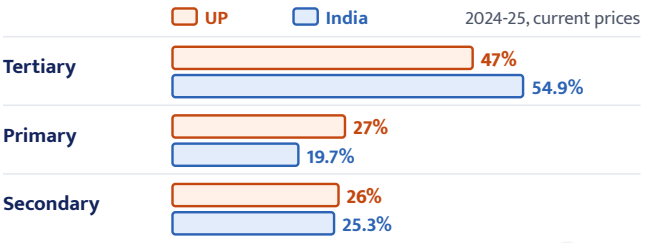


Trap: UP is a revenue **surplus** state (1.6%), while the Centre runs a revenue **deficit** (1.5%)

- **Primary Deficit:** 2024-25 (Actuals) Rs 10,716 crore • 2025-26 (RE) Rs 31,312 crore • 2026-27 (BE) **Rs 49,560 crore** = **1.2%** of GSDP
- **Debt-to-GSDP Ratio (2026-27):** total accumulated debt about **Rs 7 lakh crore** • **23.1%**

Uttar Pradesh Economic Survey 2025-26: Macroeconomic Data PYQ 16

Sectoral share: UP vs India



UP: Tertiary > **Primary** > Secondary
India: Tertiary > **Secondary** > Primary

- **Real GSDP Growth Rate (2024-25, constant 2011-12 prices):** **9.0%** • India's GDP growth in same period 6.5%
- **GSDP at Current Prices (2024-25):** **Rs 29,78,224 crore** (about Rs 30 lakh crore)
- **Per Capita GSDP (2024-25, current prices):** **Rs 1,24,366** • gross estimate Rs 1,26,304 • **11.6% growth** over 2023-24
- **Ratio to National Average:** national average Rs 2,34,859 • UP per capita income 50.2% in 2014-15 → **53.5%** in 2024-25
- **Sectoral Contribution (2024-25, current prices):** Tertiary (Services) **47%** (national 54.9%) • Primary (Agriculture & allied) **27%** (national 19.7%) • Secondary (Manufacturing & Industry) **26%** (national 25.3%)
- **Committed Expenditure (salary, pension, interest):** **57.3%** of total revenue expenditure • **50.40%** of revenue receipts
- **1 Trillion Dollar Economy Target:** by **2030** • required annual growth rate **24% to 24.3%**

Uttar Pradesh Budget 2026-27: Major New Schemes & Allocations PYQ 22

- **Sardar Vallabhbhai Patel Employment & Industrial Zone (new scheme):** MSME promotion • **Rs 575 crore**
- **Mukhyamantri Yuva Udyami Vikas Abhiyan:** youth entrepreneurship • **interest-free loan up to Rs 5 lakh**
- **Urban Infrastructure Development (new scheme):** Meerut, Mathura-Vrindavan, Kanpur Development Authorities • **Rs 750 crore**
- **Technology & AI:** two new missions — 'New and Emerging Technologies' and 'Artificial Intelligence' • data centre clusters in the state
- **Education, Sports, Art & Culture:** **Rs 1,08,154 crore** • Samagra Shiksha Abhiyan Rs 7,738 crore
- **Social Welfare & Nutrition:** **Rs 42,263 crore** • old age/farmer pension Rs 8,950 crore • destitute women pension Rs 3,500 crore
- **Police Department:** **Rs 41,898 crore** • district police Rs 27,200 crore
- **Urban Development:** **Rs 27,532 crore** • PM Awas Yojana-Urban Rs 6,842 crore
- **Rural Development:** PM Awas Yojana-Gramin **Rs 6,102 crore** • rural employment **Rs 5,544 crore** • Livelihood Mission **Rs 4,580 crore**
- **Medical & Health:** **Rs 1,000 crore** for **14 new medical colleges** on PPP model • AYUSH: **Rs 2,868 crore** for development of 3,900 Ayurvedic & Homeopathic hospitals
- **Other Allocations:** Jewar International Airport runway expansion **Rs 750 crore** • diesel pumps → solar pumps **Rs 638 crore** • scooty distribution to girl students **Rs 400 crore**
- **Sugarcane Price:** State Advised Price (SAP) raised by **Rs 30 per quintal**

Points to Note

1. **Revenue Deficit vs Surplus:** Union Budget is in revenue deficit (1.5% of GDP), but **UP is a 'Revenue Surplus' state** (1.6% of GSDP = Rs 64,458 crore in 2026-27) — statement "UP's revenue deficit is steadily declining" is **wrong**
2. **Sectoral Order:** national order Tertiary > Secondary > Primary, but **UP: Tertiary (47%) > Primary (27%) > Secondary (26%)** — agriculture contributes more than industry here

Mnemonic (UP's top expenditure sectors 2026-27): "Shi-Sa-Pu-Sha" — Shi = Shiksha/Education (1.08 lakh crore), Sa = Samaj Kalyan/Social Welfare (42,263 crore), Pu = Police (41,898 crore), Sha = Shahari/Urban Development (27,532 crore)

One-liner Facts

- **UP Population (March 2026 estimate):** **25.19 crore** • **17.8%** of India • **3.0%** of world
- **Total Fertility Rate (TFR):** declined to **2.6** as per SRS (2023) • **2.4** in NFHS-5
- **Tax Revenue Share:** tax revenue (State + Centre) **83%** of total revenue receipts
- **Fiscal Deficit Target (2026-27):** **3.0% of GSDP (Rs 1,18,481 crore)** • within 16th Finance Commission & FRBM Act limits
- **'Jan Vishwas' Principle:** next phase of Ease of Doing Business • announced to simplify licensing & registration

18 Uttar Pradesh: Agriculture, Industry, One District One Product (ODOP) & Infrastructure PYQ 34

UP Agriculture & Animal Husbandry: National Rank & Facts PYQ 18

- **Agro-Climatic Zones:** **9** • Agro-Ecological Zones 20 • Soil Group Zones 8
- **Total Foodgrain Production:** **first** in country • contribution about **18% to 19%**
- **First Rank Products:** Wheat (about 35%) • Sugarcane (about 45%) • Potato • total Milk production • Mango • Amla (Pratapgarh) • Guava • Watermelon • Muskmelon • Green Peas • total Livestock population
- **Second Rank Products:** Rice (first: West Bengal) • Bajra (first: Rajasthan) • Barley (first: Rajasthan)
- **Sugar Production:** competes with Maharashtra for first/second rank • **UP first in Ethanol production**
- **Pulses & Oilseeds:** Madhya Pradesh first in total pulses • UP among top states in **Masoor (Lentil)**
- **Indian Institute of Sugarcane Research (IISR):** **Lucknow** • est. **1952**
- **Indian Institute of Pulses Research (IIPR):** **Kanpur** • est. **1983**
- **Indian Institute of Vegetable Research (IIVR):** **Varanasi** • est. **1999**
- **Indian Grassland & Fodder Research Institute (IGFRI):** **Jhansi** • est. **1962**
- **Central Institute for Subtropical Horticulture (CISH):** **Rehmankheda, Lucknow** • est. **1972** • formerly Central Mango Research Institute
- **National Sugar Institute (NSI):** **Kanpur** • est. **1936**
- **Indian Veterinary Research Institute (IVRI):** **Izatnagar, Bareilly** • est. **1889**

One District One Product (ODOP) Scheme & Major Industrial Centres PYQ 16

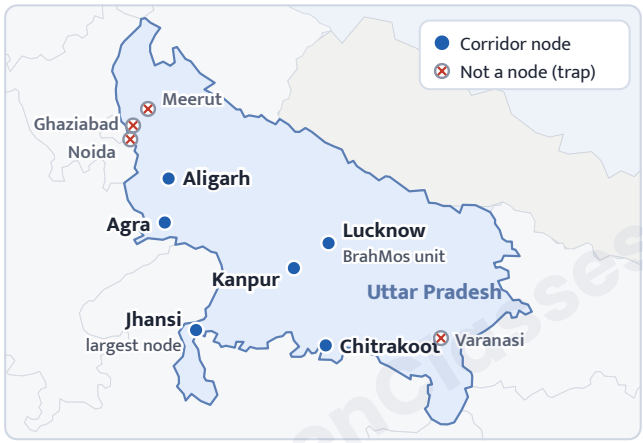
- **Launch:** **24 January 2018** • on first Uttar Pradesh Day
- **Objective:** protection, branding, export promotion of traditional crafts & small industries of all 75 districts • model originally inspired by **Japan**
- **Mainpuri:** **Tarkashi art** (brass wire inlay on wood)
- **Firozabad:** **Glass products** (bangles & glassware)
- **Agra:** Leather products & Petha
- **Aligarh:** Locks & Hardware
- **Moradabad:** Metal craft (Brass City)
- **Bhadohi / Mirzapur:** Carpets (Dari)
- **Kannauj:** Itra (perfume/aromatic oils)
- **Lucknow:** Chikankari & Zari-Zardozi
- **Siddharthnagar:** **Kala Namak Rice** (GI tagged)
- **Pratapgarh:** Amla-based food products
- **Saharanpur:** Wood Carving
- **Meerut:** Sports Goods
- **Jhansi:** Soft Toys
- **Amethi:** **Moonj products**
- **Maharajganj:** Furniture
- **Pilibhit:** Flute (Bansuri) & wooden products
- **Chitrakoot:** Wooden toys
- **Jalaun:** Handmade paper art
- **Lalitpur:** Zari silk sarees & food processing
- **Sonbhadra:** Carpets

Uttar Pradesh: Expressways, Defence Corridor & Infrastructure PYQ 12

- **UP Defence Industrial Corridor:** announced in Budget 2018-19 • **6 nodes: Aligarh, Agra, Jhansi, Chitrakoot, Kanpur, Lucknow**
- **Defence Corridor Specifics:** largest node **Jhansi** • BrahMos missile manufacturing centre **Lucknow**
- **Ganga Expressway:** **Meerut → Prayagraj** • **594 km** • 12 districts • 3.5 km airstrip in Shahjahanpur
- **Purvanchal Expressway:** **Lucknow (Chandsarai) → Ghazipur (Haidaria)** • **340.82 km** • 9 districts • 3.2 km airstrip at Kurebhar, Sultanpur
- **Bundelkhand Expressway:** **Chitrakoot (Gonda village, Bharatkoop) → Etawah (Kudrail village)** • **296.07 km**
- **7 Districts of Bundelkhand Expressway:** Chitrakoot • Banda • Mahoba • Hamirpur • Jalaun • Auraiya • Etawah
- **Agra-Lucknow Expressway:** **302 km** • airstrip in Unnao
- **Yamuna Expressway:** Greater Noida → Agra • **165.5 km** • India's first 6-lane access-controlled expressway
- **International Airports:** set to become country's first state with **5 international airports**
- **The 5 Airports:** Lucknow (Chaudhary Charan Singh) • Varanasi (Lal Bahadur Shastri) • Kushinagar • Ayodhya (Maharishi Valmiki) • Noida International (**Jewar, Gautam Buddh Nagar** — developed by Zurich Airport International)

UP Defence Industrial Corridor

6 nodes · Budget 2018-19



Mnemonic: **A-Aa-Ka-La Jha-Chi** · Noida, Ghaziabad, Meerut, Varanasi: **not** nodes

- **National Waterway-1 (NW-1):** Prayagraj → Haldia • Ganga • 1620 km • country's first **Multi-Modal Terminal** at Varanasi (Ramnagar)

Points to Note

1. **Sugarcane vs Sugar:** Indian Institute of Sugarcane Research is in **Lucknow**, National Sugar Institute is in **Kanpur** — do not swap locations
2. **Defence Corridor Nodes: Noida (Gautam Buddh Nagar), Ghaziabad, Meerut, Varanasi NOT included** — only Aligarh, Agra, Kanpur, Lucknow, Jhansi, Chitrakoot

Mnemonic (6 nodes of UP Defence Corridor): "A-Aa-Ka-La Jha-Chi" — A = Aligarh, Aa = Agra, Ka = Kanpur, La = Lucknow, Jha = Jhansi, Chi = Chitrakoot

One-liner Facts

- **UP Area:** 2,40,928 sq km • **7.33%** of India
- **Economic Regions:** **Bundelkhand** has **7 districts** • **Eastern (Purvanchal)** has the most, **28 districts**
- **First Sugar Mill:** **1903, Pratappur (Deoria)**
- **PM MITRA Mega Textile Park:** on border of **Lucknow & Hardoi** • 1000 acres
- **GI Tags:** UP **first** in country • more than 75 GI products • Varanasi region contributes the most
- **Longest Canal System:** **Sharda Canal** • construction began 1920, completed **1928**

19 Union Budget 2026-27: Complete Exam-Oriented Analysis PYQ 31

Union Budget 2026-27: Key Fiscal Figures PYQ 19

- **Presentation:** **1 February 2026** • Union Finance Minister **Nirmala Sitharaman**
- **Total Estimated Expenditure:** **Rs 53,47,315 crore** (about **Rs 53.5 lakh crore**) • **7.7% higher** than 2025-26 RE (Rs 49.6 lakh crore)
- **Revenue Expenditure:** **Rs 41,25,494 crore** • 6.6% growth
- **Capital Expenditure (Capex):** **Rs 11.2 → 12.2 lakh crore** • 11.5% growth • Rs 1,85,000 crore for capex loans to states
- **Total Receipts (excluding borrowings):** **Rs 36,51,547 crore** (about Rs 36.5 lakh crore) • 7.2% growth
- **Net Tax Receipts:** **Rs 28.7 lakh crore** • Gross Tax Revenue growth estimated at 8%
- **Tax Growth Estimates:** Corporate Tax 11% • Income Tax 11.7% • CGST Rs 10,19,020 crore
- **Non-Debt Capital Receipts (incl. disinvestment):** **Rs 1,18,397 crore** • 85% growth
- **Nominal GDP Growth Estimate (2026-27):** **10.0%** (real growth + inflation)
- **Total Resource Transfer to States:** **Rs 26,20,769 crore** • tax devolution Rs 15,26,255 crore + grants & loans Rs 10,94,514 crore
- **Interest Payments:** **Rs 14,03,972 crore** • **26%** of total expenditure • **40%** of total revenue receipts
- **Committed Expenditure (salary, pension, interest):** **65.3%** of Centre's total revenue receipts
- **Fiscal Deficit:** 2025-26 (RE) **4.4%** • 2026-27 (BE) **4.3%** (borrowings Rs 16,95,768 crore) • target of below 4.5% of GDP achieved
- **Revenue Deficit:** 2025-26 (RE) **1.5%** • 2026-27 (BE) **1.5%** • kept stable
- **Debt-to-GDP Ratio:** 2025-26 (RE) **56.1%** • 2026-27 (BE) **55.6%** • target **50%** by **March 2031**

Union Budget 2026-27: Major Policy Announcements & New Schemes PYQ 12

- **Banking Committee:** constitution of '**High Level Committee on Banking for Viksit Bharat**' announced
- **Foreign Investment Simplification:** Persons Resident Outside India (PROI) • equity limit in listed Indian companies under Portfolio Investment Scheme **5%** → **10%**
- **Municipal Bond Incentive:** **Rs 100 crore** on single bond issue above Rs 1,000 crore
- **Income Tax Slabs:** **no change** for Assessment Year 2026-27
- **Champion SMEs:** empowering micro & small enterprises • **'SME Growth Fund'** • outlay **Rs 10,000 crore**
- **Cluster Revival:** **200 Legacy Industrial Clusters** revived through upgraded technology & infrastructure
- **Integrated Textile Programme (5 components):** National Fibre Scheme • Textile Expansion and Employment Scheme • National Handloom and Handicraft Scheme • Tex-Eco Initiative • **Samarth 2.0**
- **Mahatma Gandhi Gram Swaraj Initiative:** proposed to strengthen Khadi, handloom, handicrafts
- **Infrastructure Risk Guarantee Fund:** to boost confidence of private developers
- **New Dedicated Freight Corridor (DFC):** **Surat → Dankuni**
- **National Waterways:** **20 new National Waterways** in next 5 years
- **City Economic Regions (CERs):** mapping based on specific growth drivers • **Rs 5,000 crore per CER** over 5 years
- **High-Speed Rail:** **7 High-Speed Rail Corridors** between select cities
- **Purvodaya States:** **5 tourist destinations** • **4,000 electric buses**
- **Rural Employment Allocation:** Rural Employment Guarantee Scheme (**VB-G RAM G**, replaced MGNREGA) • **42.8% increase** over 2025-26 RE
- **University Townships:** **5 University Townships** in industrial & logistics corridors
- **AVGC Labs:** through **Indian Institute of Creative Technology (IICT), Mumbai** • 15,000 secondary schools & 500 colleges • Animation, Visual Effects, Gaming, Comics content creator labs
- **Standing Committee:** on **'Education to Employment and Enterprise'** • to assess services sector growth & impact of AI on jobs

Points to Note

1. **Fiscal Deficit (2026-27):** Centre **4.3%** of GDP — UP **3.0% (2.98%)** of GSDP
2. **Nominal GDP vs Gross Tax Revenue:** nominal GDP growth assumed **10%**, but Gross Tax Revenue growth **8%** — i.e., Tax Buoyancy **less than 1**

Mnemonic (5 pillars of Integrated Textile Programme): "Fa-Te-Han-E-Sa" — Fa = Fibre Scheme, Te = Textile Expansion, Han = Handloom-Handicraft, E = Tex-Eco, Sa = Samarth 2.0

One-liner Facts

- **Non-Tax Revenue:** **59%** from **Dividends and Profits** of RBI & PSUs alone
- **Outstanding Liabilities Target:** from **55.6%** in 2026-27 to **about 50% of GDP by March 2031**
- **Ministry of Home Affairs:** total allocation Rs 2,55,234 crore • about **68%** on police
- **Railways Operating Ratio:** **98.4%** in 2026-27 • 98.8% in 2025-26 RE
- **New Dedicated Freight Corridor:** Surat (Gujarat) → Dankuni (West Bengal) • announced in Budget 2026-27

20 Economic Survey 2025-26 (India): Key Facts and Trends PYQ 25

GDP Growth, Inflation and External Sector PYQ 15

- **Date of presentation:** **29 January 2026** • tabled in Parliament
- **Real GDP growth (2024-25):** **6.5%**
- **2025-26 (First Advance Estimates):** Real GDP growth **7.4%** • Real GVA growth **7.3%**
- **2026-27 (projected):** Real GDP growth between **6.8% and 7.2%**
- **Medium-term Potential Growth:** GDP growth potential assessed at **7.0%**
- **Private Final Consumption Expenditure (PFCE):** share in GDP rose to **61.5%** in 2025-26 • **highest since 2011-12**
- **Inflation ('Tamed and Anchored'):** Retail (CPI) fell from **4.6%** in 2024-25 to just **1.7%** in 2025-26 (April-December)
- **Nature of decline:** sharpest among major emerging economies • fall of 1.8 percentage points
- **RBI inflation target:** **4% (±2%)** • i.e. band of 2% to 6%
- **Forex Reserves:** **USD 701.4 billion** as of 16 January 2026 • about **11 months of import cover** • covers **over 94%** of total external debt
- **Current Account Deficit (CAD):** **0.8%** of GDP in H1 2025-26 (1.3% in H1 2024-25)
- **Foreign Direct Investment (FDI):** total inflow **USD 81 billion** in 2025 • **13% higher** than previous year
- **Remittances:** India remains the **largest** recipient of migrant remittances in the world

Agriculture, Energy and Social Sector Indicators PYQ 10

- **Foodgrain production (agri year 2024-25):** record **3,577.3 lakh metric tonnes (357.73 million tonnes)** • due to good monsoon • rise of 254.3 lakh metric tonnes over previous year
- **Renewable Energy (2025-26, till 31 December 2025):** total **38.61 GW** new capacity added
- **Capacity break-up:** **Solar 30.16 GW (highest)** • Wind 4.47 GW • Hydro 3.24 GW • Bio-power 0.03 GW
- **Maternal Mortality Ratio (MMR), 1990-2023:** **86% decline** in India • nearly double the global average (48% decline)
- **Under-5 Mortality Rate (U5MR):** **78% decline** in India (global: 61%)
- **Neonatal Mortality Rate (NMR):** **70% decline** in India (global: 54%)
- **Infant Mortality Rate (IMR):** from 40 (per thousand live births) in 2013 to **25** in 2023 • over 37% decline in the last decade

India vs Uttar Pradesh: Economic Indicators

Economic Indicator	India (Economic Survey 2025-26 / Budget 2026-27)	Uttar Pradesh (Economic Survey 2025-26 / Budget 2026-27)
Real GDP/GSDP growth (2024-25)	**6.5%**	**9.0%**
Nominal growth estimate (2026-27)	**10.0%**	**28.0%** (over 2025-26 RE)
Per capita income (2024-25, current prices)	**Rs 2,34,859**	**Rs 1,24,366** (gross: Rs 1,26,304)
Fiscal Deficit (2026-27 BE)	**4.3%** (of GDP)	**3.0%** (of GSDP)
Revenue Deficit / Surplus (2026-27 BE)	**1.5% Revenue Deficit**	**1.6% Revenue Surplus**
Debt-to-GDP ratio (2026-27 BE)	**55.6%**	**23.1%**

Points to Note

1. **GDP vs GVA (2025-26):** First Advance Estimates — real GDP growth **7.4%**, real GVA (Gross Value Added) **7.3%** — very close, be careful in matching questions
2. **CAD vs Trade Deficit:** deficit in Merchandise Trade, but **huge surplus in Services Trade and private transfers (Remittances)** — hence CAD only **0.8%**

Mnemonic (order of decline in health mortality, 1990-2023): "Ma-Pan-Na" — Ma = Maternal Mortality (**86%**) > Pan = Paanch (Under-5) Mortality (**78%**) > Na = Navjaat (Neonatal) Mortality (**70%**)

One-liner Facts

- **Effective Capital Expenditure:** including grants for creation of capital assets • rose from 2016-20 average of 2.7% to **4.0%** of GDP in 2024-25
- **Centre's revenue receipts:** 8.5% of GDP in 2016-20 → **9.1%** in 2022-25
- **Forex Reserves (16 January 2026):** **USD 701.4 billion** • cover **over 94%** of total external debt
- **Foodgrain production (2024-25):** **3,577.3 lakh metric tonnes** • major contribution: rice, wheat, maize, Shree Anna (coarse cereals/millets)
- **Share of solar:** **78% (30.16 GW)** of the 38.61 GW renewable energy added in 2025-26

21 Major Welfare Schemes of Uttar Pradesh and the Centre (Chronology Matching Special) PYQ 42

- **Exam trend:** 3 to 4 questions every year in UPPCS Prelims • chronology or matching of scheme launch years

Master Chronology of Major Central Schemes PYQ 26

- **Pradhan Mantri Jan-Dhan Yojana (PMJDY):** **28 August 2014** • Ministry of Finance • world's largest financial inclusion scheme
- **Make in India:** **25 September 2014** • boost manufacturing • target 25% manufacturing share in GDP
- **Swachh Bharat Mission (SBM):** **2 October 2014** • Drinking Water and Sanitation / Ministry of Housing and Urban Affairs
- **Beti Bachao Beti Padhao:** **22 January 2015** • from **Panipat (Haryana)** • joint initiative of Ministries of Women and Child Development, Health and Education
- **Pradhan Mantri Mudra Yojana (PMMY):** **8 April 2015** • loans to non-corporate small enterprises
- **Mudra loan categories:** Shishu (up to 50 thousand) • Kishore (50 thousand-5 lakh) • Tarun (5-10 lakh) • **Tarun Plus (Rs 10-20 lakh)**

- **Atal Pension Yojana (APY): 9 May 2015** • from Kolkata • age group 18-40 years • monthly pension Rs 1,000 to 5,000
- **Jeevan Jyoti and Suraksha Bima Yojana: 9 May 2015** • Jeevan Jyoti: 18-50 years, premium Rs 436 • Suraksha Bima: 18-70 years, premium Rs 20, accident cover Rs 2 lakh
- **AMRUT and Smart Cities Mission: 25 June 2015** • urban rejuvenation and infrastructure • **10 cities** of Uttar Pradesh in Smart Cities
- **Digital India Mission: 1 July 2015** • government services delivered electronically to citizens
- **Pradhan Mantri Kaushal Vikas Yojana (PMKVY): 15 July 2015** • on World Youth Skills Day • Ministry of Skill Development and Entrepreneurship
- **Startup India: 16 January 2016** • promote innovation and entrepreneurship
- **Pradhan Mantri Fasal Bima Yojana (PMFBY): 18 February 2016** • premium: Kharif **2%** • Rabi **1.5%** • commercial/horticultural **5%**
- **Stand-Up India: 5 April 2016** • bank loans of **Rs 10 lakh to 1 crore** to SC/ST and women entrepreneurs
- **Pradhan Mantri Ujjwala Yojana (PMUY): 1 May 2016** • from **Ballia (UP)** • **Ujjwala 2.0: 10 August 2021, from Mahoba (UP)**
- **Pradhan Mantri Matru Vandana Yojana (PMMVY): 1 January 2017** • Rs 5,000 to pregnant and lactating mothers for the first living child
- **Pradhan Mantri Kisan Sampada Yojana: May 2017** • Ministry of Food Processing Industries • agro-marine processing and agro-processing cluster development
- **Saubhagya (Sahaj Bijli Har Ghar Yojana): 25 September 2017** • on Pt. Deendayal Upadhyaya's birth anniversary • universal household electrification
- **National Nutrition Mission (POSHAN Abhiyaan): 8 March 2018** • from **Jhunjhunu (Rajasthan)** • on International Women's Day • reduce malnutrition and anaemia
- **Ayushman Bharat (PM-JAY): 23 September 2018** • from **Ranchi (Jharkhand)** • cashless health cover of **Rs 5 lakh** per family per year
- **Ayushman expansion:** now **all senior citizens above 70 years** included • irrespective of income
- **PM-KISAN Samman Nidhi: 24 February 2019** • from **Gorakhpur (UP)** • effective from 1 December 2018 • **Rs 6,000 per year** in 3 instalments
- **Pradhan Mantri Shram Yogi Maandhan Yojana: 15 February 2019** • unorganised workers (18-40 years, monthly income up to Rs 15,000) • Rs 3,000 monthly pension after 60 years
- **Jal Jeevan Mission (Har Ghar Jal): 15 August 2019** • **55 litres** per capita per day of clean tap water to rural households
- **PM SVANidhi: 1 June 2020** • working capital loans to street vendors • Ministry of Housing and Urban Affairs
- **PM Gati Shakti National Master Plan: 13 October 2021** • digital platform linking 16 ministries for multi-modal connectivity
- **PM Vishwakarma Yojana: 17 September 2023** • on Vishwakarma Jayanti • artisans of **18 traditional trades/crafts** • collateral-free loan up to Rs 3 lakh at 5% interest
- **PM Surya Ghar: Muft Bijli Yojana: 15 February 2024** • rooftop solar on 1 crore homes • **up to 300 units free electricity** per month

Major Schemes of Uttar Pradesh PYQ 16

- **Mukhyamantri Kanya Sumangala Yojana: 25 October 2019** • from Lucknow • effective from 1 April 2019
- **Sumangala assistance: 6 stages** from birth to graduation/diploma admission • total raised from Rs 15,000 to **Rs 25,000** • eligibility: annual family income up to Rs 3 lakh, maximum 2 children
- **Mukhyamantri Abhyudaya Yojana: 15 February 2021** (classes from Basant Panchami) • free coaching for Civil Services, JEE, NEET, NDA, CDS etc.
- **Mukhyamantri Bal Seva Yojana: 29 May 2021** • upkeep and education of children orphaned by COVID-19 or other causes • COVID orphans: Rs 4,000 per month • general category: Rs 2,500 per month
- **Uttar Pradesh Matribhumi Yojana: September 2021** • direct participation of NRIs/private individuals in rural infrastructure • cost: **60% by donor, 40% by State Government**
- **Panchamrit Yojana (UP):** doubling farmers' income and sugarcane productivity • 5 techniques: trench method • ratoon management • mulching • intercropping • drip irrigation
- **Nand Baba Dugdh Mission: June 2023** • outlay Rs 1,000 crore • keep UP a leader in milk production and processing

Points to Note

1. **Venue of Ujjwala 1.0 vs 2.0:** 1.0 — **1 May 2016, Ballia (eastern UP)**; 2.0 — **10 August 2021, Mahoba (Bundelkhand, UP)**
2. **PM-KISAN vs Ayushman Bharat:** Ayushman Bharat (**September 2018**) first, PM-KISAN (**February 2019**) later — both appear together in chronology questions

Mnemonic (order of major 2015 schemes): "Be-Mu-A-A-Di-Kau" — Be = Beti Bachao (January 2015) → Mu = Mudra (April 2015) → A = Atal Pension/Insurance (May 2015) → A = AMRUT/Smart City (June 2015) → Di = Digital India (1 July 2015) → Kau = Kaushal Vikas (15 July 2015)

One-liner Facts

- **Kanya Sumangala assistance:** total **Rs 25,000** in 6 categories
- **Implementation of PM SVANidhi:** not Ministry of Finance — **Ministry of Housing and Urban Affairs**
- **PM Vishwakarma:** fully centrally funded (Central Sector Scheme) • nodal: **Ministry of Micro, Small and Medium Enterprises (MSME)**
- **Two biggest central schemes launched from UP: Ujjwala (Ballia, 2016)** • **PM-KISAN (Gorakhpur, 2019)**
- **Mudra 'Tarun Plus':** fourth category added after Budget announcement • **Rs 10 to 20 lakh** to successful entrepreneurs who repaid earlier Tarun loans

22 Demography of Uttar Pradesh (Census 2011) and Poverty Index PYQ 38

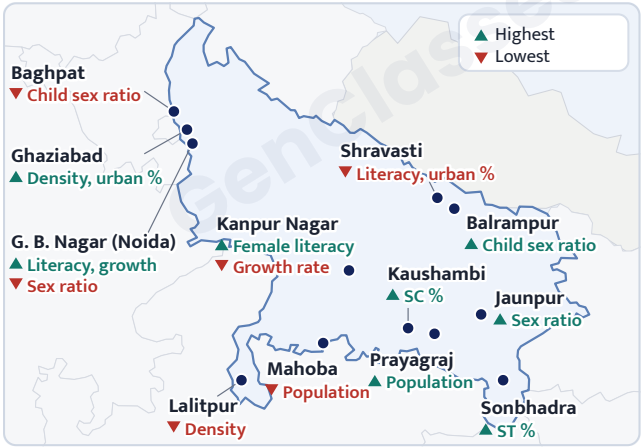
UP Census 2011: Final Figures and District-wise Ranking PYQ 28

- **Total population (2011): 19,98,12,341** (about 19.98 crore) • **16.51%** of India • **fifth** in world after China, India, USA, Indonesia
- **Male / Female:** male **52.29%** (10.44 crore) • female **47.71%** (9.53 crore)

- **Rural population: 77.73%** (15.53 crore) • largest rural population in the country
- **Urban population: 22.27%** (4.44 crore) • **second** in urban population after Maharashtra
- **Decadal growth rate (2001-2011): 20.22%** • above national average 17.7% • 15th in the country
- **Population density: 829 persons/sq km** • 447 above national average 382 • **fourth** after Bihar, West Bengal, Kerala
- **Overall sex ratio: 912** • 31 below national average 943 • 898 in 2001 (improvement of 14 points)
- **Child sex ratio (0-6): 902** • 916 in 2001 (decline of 14 points)
- **Total literacy: 67.72%** • below national average 73.0%
- **Male / Female literacy:** male **77.30%** • female **57.20%** • gap **20.10%**
- **Scheduled Castes (SC): 20.69%** of state population • UP **first** in total SC number • Punjab first in percentage
- **Scheduled Tribes (ST):** only **0.57%** of state population
- **Total population (districts):** highest: **Prayagraj** > Moradabad > Ghaziabad • lowest: **Mahoba** < Chitrakoot < Hamirpur

Census 2011: district extremes

UP



- **Decadal growth rate (districts):** highest: **Gautam Buddh Nagar (49.1%)** > Ghaziabad > Shravasti • lowest: **Kanpur Nagar (9.9%)** < Hamirpur < Baghpat
- **Population density (districts):** highest: **Ghaziabad (3971)** > Varanasi > Lucknow • lowest: **Lalitpur (242)** < Sonbhadra < Hamirpur
- **Overall sex ratio (districts):** highest: **Jaunpur (1024)** > Azamgarh (1019) > Deoria (1017) • lowest: **Gautam Buddh Nagar (851)** < Hamirpur/Baghpat (861)
- **Child sex ratio 0-6 (districts):** highest: **Balrampur (950)** > Sant Kabir Nagar > Bahraich • lowest: **Baghpat (841)** < Gautam Buddh Nagar < Ghaziabad
- **Total literacy (districts):** highest: **Gautam Buddh Nagar (80.12%)** > Kanpur Nagar > Auraiya • lowest: **Shravasti (46.74%)** < Bahraich < Balrampur
- **Female literacy (districts):** highest: **Kanpur Nagar (75.05%)** > Lucknow > Gautam Buddh Nagar • lowest: **Shravasti (34.78%)** < Balrampur < Bahraich
- **Male literacy (districts):** highest: **Gautam Buddh Nagar (88.06%)** > Auraiya > Etawah • lowest: **Shravasti (57.16%)** < Bahraich < Balrampur
- **Urban population % (districts):** highest: **Ghaziabad (67.55%)** > Lucknow > Kanpur Nagar • lowest: **Shravasti (3.46%)** < Kushinagar < Maharajganj
- **Scheduled Caste % (districts):** highest: **Kaushambi (34.72%)** > Sitapur > Hardoi • lowest: **Baghpat (11.44%)** < Bareilly < Balrampur
- **Scheduled Tribe % (districts):** highest: **Sonbhadra (20.67%)** > Lalitpur > Deoria • lowest: **Baghpat (0.001%)** < Kannauj < Budaun

Multidimensional Poverty Index (MPI) and Unemployment in Uttar Pradesh PYQ 10

- **NITI Aayog MPI:** UP **first** in the country in number of people exiting poverty
- **Exited poverty: 5.94 crore people** between 2013-14 and 2022-23 • 3.43 crore between 2015-16 and 2019-21 • highest of any state
- **Headcount Ratio: 37.68%** in 2015-16 → **22.93%** in 2019-21 → about **17.40%** in 2022-23 estimates
- **Least multidimensionally poor districts:** Lucknow • Kanpur Nagar • Gautam Buddh Nagar • Ghaziabad
- **Most multidimensionally poor districts:** Bahraich • Shravasti • Balrampur • Budaun
- **Periodic Labour Force Survey (PLFS):** unemployment rate (usual status) down from 6.2% in 2017-18 to about **2.4% to 3.0%** • notable rise in female Labour Force Participation Rate (LFPR)

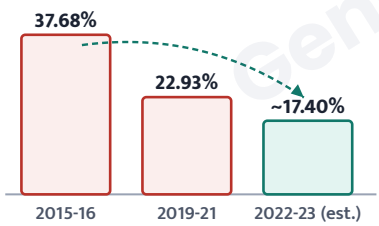
Points to Note

1. **Top district in total vs female literacy: Gautam Buddh Nagar** first in total and male literacy, but **Kanpur Nagar (75.05%)** first in female literacy (Gautam Buddh Nagar third)
2. **SC number vs percentage:** highest SC population (in number) **Sitapur**; highest percentage (34.72%) **Kaushambi**
3. **Highest male-female literacy gap:** not Shravasti — **Maharajganj** (and Kanpur Dehat); lowest gap **Kanpur Nagar**

Mnemonic (5 most populous districts): "Pra-Mu-Ga-Aa-La" — Pra = Prayagraj > Mu = Moradabad > Ga = Ghaziabad > Aa = Azamgarh > La = Lucknow

UP multidimensional poverty ratio

NITI Aayog MPI



5.94 crore out of poverty 2013-14 to 2022-23

3.43 crore out of poverty 2015-16 to 2019-21

Least poor: Lucknow · Kanpur Nagar · Gautam Buddh Nagar · Ghaziabad

Most poor: Bahraich · Shravasti · Balrampur · Budaun

Mnemonic (3 districts with sex ratio above 1000): "Jau-Aa-De" — Jau = Jaunpur (1024) > Aa = Azamgarh (1019) > De = Deoria (1017)

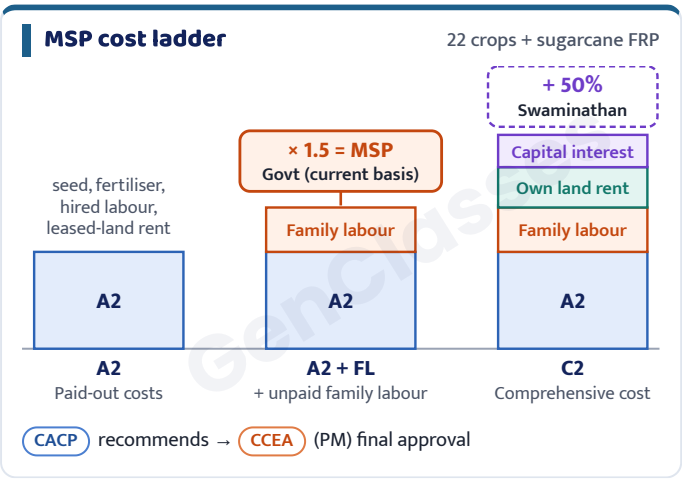
One-liner Facts

- **Sex ratio above 1000:** only **3 districts** — Jaunpur, Azamgarh, Deoria

- **Million Plus Cities: 7** — Kanpur, Lucknow, Ghaziabad, Agra, Varanasi, Meerut, Prayagraj
- **Urban / rural population (in number):** urban highest in **Lucknow** or **Ghaziabad** (Ghaziabad first in percentage: 67.55%) • rural highest in **Prayagraj**
- **Slum population:** UP among **leading states** after Maharashtra and Andhra Pradesh • highest slum population in the state in **Meerut**
- **Fastest fall in MPI: Uttar Pradesh** (5.94 crore people out of poverty) • followed by Bihar and Madhya Pradesh

23 Commission for Agricultural Costs and Prices (CACP), Minimum Support Price (MSP) and Key Indices PYQ 29

Basic Principles and Crops of Minimum Support Price (MSP) PYQ 19



- **MSP recommendation: Commission for Agricultural Costs and Prices (CACP)**
- **History of CACP:** set up in **January 1965** (as 'Agricultural Prices Commission') • renamed CACP in **1985** • attached office of Ministry of Agriculture and Farmers Welfare
- **Final announcement/approval of MSP: Cabinet Committee on Economic Affairs (CCEA)** chaired by the Prime Minister
- **Total crops (22 + 1):** MSP for **22 Mandated Crops** + **Fair and Remunerative Price (FRP)** for **sugarcane**
- **Kharif crops (14):** Paddy (rice) • Jowar • Bajra • Ragi • Maize • Arhar (Tur) • Moong • Urad • Groundnut • Sunflower seed • Soybean • Sesamum • Nigerseed (Ramtil) • Cotton
- **Rabi crops (6):** Wheat • Barley • Gram • Masur (Lentil) • Rapeseed and Mustard • Safflower
- **Commercial crops (2):** Copra (coconut) • Raw Jute
- **Cost A2:** all actual direct expenses by farmer in cash and kind • seeds, fertilisers, pesticides, hired labour, rent on leased-in land, irrigation, fuel etc.
- **Cost A2 + FL:** Cost A2 + **Imputed value of unpaid Family Labour**
- **Current MSP basis:** Centre fixes MSP at least **1.5 times (150%)** of **A2 + FL** cost
- **Cost C2 (comprehensive cost):** Cost A2 + FL + **imputed rent of owned land** + imputed interest on fixed capital assets
- **Swaminathan Commission:** recommended MSP at **C2** cost plus 50%

Global and National Economic Indices and Issuing Bodies PYQ 10

- **Human Development Index (HDI): UNDP** • developed in 1990 by Mahbub-ul-Haq and Amartya Sen • 3 dimensions, 4 indicators
- **Global Multidimensional Poverty Index (Global MPI): UNDP and OPHI** (Oxford Poverty and Human Development Initiative) • 3 dimensions (health, education, standard of living) • **10 indicators** (NITI Aayog's National MPI has **12**)
- **World Economic Outlook (WEO) and Global Financial Stability Report: International Monetary Fund (IMF)** • twice a year (April and October)
- **Global Economic Prospects and Logistics Performance Index (LPI): World Bank** • 'Ease of Doing Business' discontinued • replaced by new **'B-READY' (Business Ready)**
- **Global Gender Gap Report: World Economic Forum (WEF)** • 4 dimensions: Economic Participation • Education • Health and Survival • Political Empowerment
- **Global Hunger Index (GHI): Concern Worldwide and Welthungerhilfe** • 4 indicators: undernourishment • child stunting (low height for age) • child wasting (low weight for height) • child mortality
- **Global Innovation Index (GII): World Intellectual Property Organization (WIPO)** • India in top 40 with steady improvement
- **Export Preparedness Index and SDG India Index: NITI Aayog** • promote competitive federalism among states
- **Financial Stability Report (India): Reserve Bank of India (RBI)** • twice a year

Points to Note

1. **Sugarcane FRP vs SAP:** Centre (CCEA) issues **FRP (Fair and Remunerative Price)** — **Rangarajan Committee** formula (linked to sugar Recovery Rate)
2. **UP's SAP (State Advised Price):** always higher than FRP • raised by Rs 30/quintal in Budget 2026-27
3. **Global MPI (10 indicators) vs National MPI (12 indicators):** NITI Aayog added 2 extra indicators — **'Maternal Health' and 'Bank Account'**

Mnemonic (6 Rabi MSP crops): "Ge-Jau-Cha-Ma-Sa-Ku" — Ge = Gehun (Wheat), Jau = Barley, Cha = Chana (Gram), Ma = Masur (Lentil), Sa = Rapeseed/Sarson (Mustard), Ku = Kusum (Safflower)

One-liner Facts

- **MSP fixation:** at least **1.5 times** of CACP's **A2 + FL cost**
- **Legal basis of sugarcane FRP: 'Sugarcane (Control) Order, 1966'** under **Essential Commodities Act, 1955**
- **Economic Survey:** prepared in Department of Economic Affairs (DEA), Ministry of Finance, under guidance of **Chief Economic Adviser (CEA)**
- **B-READY (Business Ready):** World Bank's new annual report series replacing the controversial 'Ease of Doing Business'
- **Food Corporation of India (FCI):** under **Food Corporations Act, 1964** on **14 January 1965** • first HQ Chennai • present New Delhi

24 Last-Minute Grand Summary: 10 Sure-Shot Points

- **UP Budget 2026-27 size: Rs 9,12,696 crore** • net expenditure Rs 8,50,901 crore

- **UP GSDP (2026-27 estimated):** **Rs 39.8 lakh crore** • real GSDP growth **9.0%** in 2024-25
- **UP Fiscal Deficit and Revenue Surplus (2026-27):** fiscal deficit **3.0% (2.98%)** of GSDP • revenue surplus **1.6% (Rs 64,458 crore)**
- **UP per capita income (2024-25):** **Rs 1,24,366** • sectoral contribution: services 47% > agriculture 27% > industry 26%
- **Union Budget 2026-27 size:** **Rs 53,47,315 crore** • capital expenditure **Rs 12.2 lakh crore**
- **Central deficit and debt (2026-27):** fiscal deficit **4.3%** (2025-26 RE: 4.4%) • revenue deficit **1.5%** • debt-to-GDP **55.6%** (target 50% by 2031)
- **Economic Survey 2025-26:** 2025-26 real GDP growth **7.4%** (GVA **7.3%**) • 2026-27 projection **6.8% to 7.2%** • retail inflation **1.7%** (April-December 2025)
- **External sector (January 2026):** forex reserves **USD 701.4 billion** (11 months import cover) • CAD **0.8%** of GDP • FDI (2025) **USD 81 billion**
- **Foodgrain production (2024-25):** **3,577.3 lakh metric tonnes**
- **UP's first rank:** foodgrains • wheat • sugarcane • potato • milk • ethanol — **first** in all

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